# COMP2211: Introduction to Artificial Intelligence

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# 1 Introduction and History of Artificial Intelligence

## 1.1 About Artificial Intelligence

### 1.1.1 What is Artificial Intelligence?

There is not a widely accepted definition of artificial intelligence. John McCarthy (one of the founders of AI) coined the term in 1955:

**Definition of AI (John McCarthy, 1955)**

AI is the **science and engineering of making intelligent machines**, especially intelligent computer programs.

From our observations, AI borrows characteristics from human intelligence and applies them as algorithms in a computer-friendly way.

**Historical Note**

John McCarthy, artificial intelligence and timesharing pioneer, was photographed playing chess at Stanford's IBM 7090 in 1967.

### 1.1.2 Why Study Artificial Intelligence (AI)?

- **Brighter career.** You can work as a Machine Learning Engineer, Data Scientist, Business Intelligence Developer, Research Engineer, etc., once you have studied AI.
- **AI is versatile (skillful).** AI is not just limited to the computer and space-related industries. Still, it also plays a significant role in industries directly related to a common person, like healthcare, automobile, and even the banking and finance sector.
- **Skill of the century.** It is undeniably true that someday, AI will replace many jobs that humans do and create many different job opportunities in related fields.

### 1.1.3 Academic Disciplines to AI

AI is **interdisciplinary**, and its foundations are in various fields.

- **Philosophy and cognition science:** Logic, methods of reasoning, foundation of learning, language, rationality.
- **Mathematics:** Important to write the logic and algorithm for machine learning. Good knowledge of mathematics is a must skill to develop a model of AI.
- **Neuroscience:** Provide information about how the human brain works and how neurons respond to a particular event. This enables AI scientists to develop programming models to work like the human brain.
- **Psychology:** Study and find the process of thinking of humans and animals.
- **Computer Science:** Write the codes for making the neural network for artificial intelligence. Computer programmers should have very high programming skills and knowledge of Mathematics and other disciplines used with AI.
- **Linguistics:** Knowledge representation, grammar.

**Interdisciplinary Nature of AI**

AI is built on top of many disciplines: philosophy and cognition science, mathematics, neuroscience, psychology, computer science, and linguistics. No single field alone is sufficient.

### 1.1.4 Importance of AI

AI plays an important role in many application domains:

- **Gaming and entertainment:** AI guides the actions of non-human player characters.
- **Speech recognition:** AI converts speech to text.
- **Understanding natural language:** AI carries out a dialogue with a computer using natural language.
- **Computer vision:** AI identifies and locates objects in digital images and videos.
- **Expert systems:** AI emulates the decision-making ability of a human expert.
- **Healthcare:** AI assists diagnosis, provides telemedicine, assists surgery using robots, monitors vital stats.
- **Air transport:** AI delivers safer air transport while reducing its environmental impact.
- **Banking and Financial Institutions:** AI automates services, manage risk.
- **Logistics:** AI delivers goods using autonomous vehicles.
- **E-commerce:** AI personalizes content for customers to boost sales. AI filters spam and fake reviews.
- **Hiring:** AI goes through thousands of CVs and ascertains if there's a good fit.

### 1.1.5 Confusing Terms: AI, ML, Neural Networks, and Deep Learning

The terms Artificial Intelligence, Machine Learning, Neural Networks, and Deep Learning tend to be used interchangeably in conversation, leading to some confusion around the nuances between them. But how are they related?

**Relationship between AI, ML, NN, and DL**

- **Machine learning (ML)** is a **sub-field of artificial intelligence** that provides systems with the ability to automatically learn and improve from experience without being explicitly programmed.
- In ML, there are different algorithms (e.g., **neural networks**) that help to solve problems.
- **Deep learning (DL)** is a **sub-field of machine learning**, which uses neural networks to analyze different factors with a structure similar to the human neural system.

In short: DL $\subset$ ML $\subset$ AI, with neural networks being one family of algorithms inside ML.

**Common Confusion**

Do not treat "AI", "machine learning", "neural networks", and "deep learning" as synonyms. They form a nested relationship: deep learning is a sub-field of machine learning, machine learning is a sub-field of AI, and neural networks are just one kind of ML algorithm (there are other ML algorithms too).

### 1.1.6 Advantages of AI

- **Reduction in human error:** Computers do not make mistakes if they are programmed properly.
- **Takes risks instead of humans:** Overcome many risky limitations of humans by developing an AI Robot which can do the risky things for us.
- **Available 7x24:** Using AI, we can make machines work 7x24 without any breaks, and they don't even get bored, unlike humans.
- **Helps in repetitive work:** Using AI, we can productively automate mundane tasks and can remove "boring" tasks for humans.

- **Digital assistance:** Use digital assistants to interact with users which save the need for human resources.
- **Faster decisions:** Using AI alongside other technologies, we can make machines make decisions faster than a human and carry out actions quicker.
- **New inventions:** AI is powering many inventions in almost every domain which will help humans solve the majority of complex problems.

### 1.1.7 Disadvantages of AI

- **High costs of creation:** As AI updates every day, the hardware and software need to get updated with time to meet the latest requirements. Machines need repairing and maintenance, which need plenty of costs.
- **Making humans lazy:** AI is making humans lazy with its applications automating most of the work.
- **Unemployment:** AI is replacing most repetitive tasks and other works with robots. Human interference is becoming less, which will cause a major problem in the employment standards. Every organization is looking to replace the minimum qualified individuals with AI robots that can do similar work with more efficiency.
- **No emotions:** Machines can not develop a bond with humans, which is an essential attribute for Team Management.
- **Lacking out of box thinking:** Machines can perform only those tasks which they are designed or programmed to do. Anything out of that tends to crash or give irrelevant outputs, which could be a major backdrop.

**Balanced View**

When discussing AI (e.g., in exams or essays), always present both sides: advantages (accuracy, risk-taking, 24/7 availability, automation, speed, new inventions) and disadvantages (cost, laziness, unemployment, no emotions, no out-of-box thinking).

### 1.1.8 Prerequisites for AI

- A stronghold on **Mathematics**, namely discrete math, calculus, statistics and probability.
- A good amount of experience in **programming languages** like Python, or Java.
- A stronghold in understanding and writing **algorithms**.
- A strong background in **data analytical skills**.
- The **will to learn** machine learning languages.

## 1.2 History of Artificial Intelligence

### 1.2.1 Brief History of AI

The evolution of AI can be traced through a series of milestones, from the birth of the field in the 1950s to the modern era of large language models (LLMs).

### 1.2.2 Different Periods

1. **1950–1956:** The birth of Artificial Intelligence.
2. **1956–1974:** Symbolic AI.
3. **1974–1980:** The first AI winter.
4. **1980–1987:** Boom.
5. **1987–1993:** The second AI winter.
6. **1993–2011:** AI finally achieved some of its oldest goals, e.g., it began to be used successfully throughout the technology industry. The success was due to increasing computer power.

7. **2011–Present:** Deep learning, big data and artificial general intelligence.

**AI Winters**

AI history is cyclical: periods of excitement and funding (booms) were followed by periods of reduced funding and interest, known as **AI winters** (1974–1980 and 1987–1993).

### 1.2.3 1950 — The Birth of AI: Alan Turing

English mathematician and computer scientist **Alan Turing** wrote a landmark paper titled "Computing Machinery and Intelligence" that asked: "Can machines think?".

- He felt that such machines would eventually be constructed.
- But he also realized a bigger problem: "How would we know if we have succeeded?".

**Prediction:** Turing predicted that by 2000, a machine might have a 30% chance of fooling a layman for 5 minutes.

### 1.2.4 The Turing Test

**The Turing Test**

A test to **empirically determine whether a computer has achieved intelligence**.

- In these tests, one of the humans functions as the **questioner**, while the second human and the computer function as **respondents**.
- Using a specified format and context, the questioner interrogates the respondents within a specific subject area.
- After a preset length of time or number of questions, the questioner is then asked to decide which respondent was human and which was a computer.

### 1.2.5 1956 — The Birth of AI: The Dartmouth Conference

- **John McCarthy** coined the term "artificial intelligence" as the topic of the **Dartmouth Conference**, the first conference devoted to the subject.
- In 1955, J. McCarthy, M.L. Minsky, N. Rochester, and C.E. Shannon published a proposal for the Dartmouth summer research project on artificial intelligence.

### 1.2.6 1959 — Symbolic AI: Machine Learning

**Arthur Samuel** coined the term "machine learning", reporting on programming a computer "so that it will learn to play a better game of checkers than can be played by the person who wrote the program". Arthur Samuel is a pioneer in the field of computer gaming and AI.

### 1.2.7 1965 — Symbolic AI: ELIZA

The first **natural language processing** computer program, **ELIZA**, was created. ELIZA is a computer program that emulates a Rogerian psychotherapist.

### 1.2.8 1980s — Boom: Expert Systems

**Edward Albert Feigenbaum** developed the first **expert system** in artificial intelligence. He is known as the father of expert systems.

#### 1.2.9 1990s — AI: Human-Robot Interaction

**Cynthia Breazeal**, a pioneer of social robotics and human–robot interaction, created the robot **Kismet** at MIT in the 1990s.

- Kismet was designed to engage in social interaction with humans, marking a significant step forward in the field of human-robot interaction.
- Breazeal's work has opened up new possibilities for how humans and robots can interact and coexist.

#### 1.2.10 1997 — AI: Deep Blue

An IBM computer called **IBM Deep Blue** beat the world chess champion, **Garry Kasparov**, after a six-game match: two wins for IBM, one for the champion and three draws.

#### 1.2.11 2002 — AI: Roomba

iRobot launched **Roomba**, an autonomous vacuum cleaner that avoids obstacles.

#### 1.2.12 2009 — AI: Self-Driving Car

Google built the first **self-driving car** to handle urban conditions.

#### 1.2.13 2011 — AI: Watson Supercomputer

IBM's **Watson** supercomputer defeated humans in the final Jeopardy match.

#### 1.2.14 2011–2014 — DL, Big Data, AGI: Personal Assistants

Personal assistants like **Siri**, **Google Now**, and **Cortana** use speech recognition to answer questions and perform simple tasks.

#### 1.2.15 2014 — DL, Big Data, AGI: GAN

**Ian Goodfellow** comes up with the **Generative Adversarial Network (GAN)**.

#### 1.2.16 2016 — DL, Big Data, AGI: AlphaGo

**AlphaGo** beats professional Go player **Lee Sedol** 4–1.

#### 1.2.17 2018 — DL, Big Data, AGI: AI Courses at Universities

Most universities have courses in Artificial Intelligence, including HKUST:

- **COMP 2211** Introduction Artificial Intelligence (Old name: Exploring Artificial Intelligence; 1st Offering: Spring 2022, 2nd Offering: Fall 2022, 3rd Offering: Spring 2023, 4th Offering: Fall 2023, ...)
- **COMP 3211** Learning, Reasoning, and Decision Making in AI (Old name: Fundamentals of Artificial Intelligence)
- **COMP 4211** Machine Learning
- **COMP 4221** Introduction to Natural Language Processing
- **COMP 4222** Machine Learning with Structured Data
- **COMP 4421** Image Processing
- **COMP 4471** Deep Learning in Computer Vision

- **COMP 4901V** Large-Scale Deep Perception, Localization, and Planning for Autonomous Vehicles

#### 1.2.18 2022 — DL, Big Data, AGI: ChatGPT

The release of **ChatGPT (Chat Generative Pre-trained Transformer)**, a large language model trained by OpenAI, demonstrated the enormous potential of AI for transforming the way we communicate and interact with machines.

**ChatGPT**

ChatGPT is an AI-powered **large language model** developed by OpenAI, capable of generating human-like text based on context and past conversations.

#### 1.2.19 2023 — DL, Big Data, AGI: Bard

The release of **Bard**. Bard is an experimental conversational AI chat service developed by Google. It operates in a similar manner to ChatGPT, but with a notable distinction: **Bard retrieves information directly from the web as a source of knowledge**.

**Check Your Understanding: AI Timeline**

Match each milestone to its year and period:

1. Turing's paper "Computing Machinery and Intelligence" and the Turing Test.
2. McCarthy coins "artificial intelligence" at the Dartmouth Conference.
3. Arthur Samuel coins "machine learning" with a checkers program.
4. ELIZA, the first NLP program.
5. Feigenbaum's first expert system.
6. Breazeal's social robot Kismet at MIT.
7. Deep Blue beats Garry Kasparov at chess.
8. Roomba autonomous vacuum cleaner.
9. Google's first urban self-driving car.
10. Watson wins Jeopardy.
11. Siri / Google Now / Cortana personal assistants.
12. Goodfellow's GAN.
13. AlphaGo beats Lee Sedol 4–1.
14. Release of ChatGPT.
15. Release of Google's Bard.

Answers: 1950, 1956, 1959, 1965, 1980s, 1990s, 1997, 2002, 2009, 2011, 2011–2014, 2014, 2016, 2022, 2023.

### 1.3 Implementations of Artificial Intelligence

#### 1.3.1 Some Useful AI & Machine Learning Libraries

- **TensorFlow:** It is a machine learning framework from Google. It is a fast, flexible, and scalable open-source machine learning library for research and production. With TensorFlow 2.0 and newer versions, more efficiency and convenience was brought to the game.
- **Keras:** It is the high-level application programming interface (API) built on top of TensorFlow. It is incredibly user-friendly and easy to pick up. It is good for fast experimentation.
- **PyTorch:** It is TensorFlow's direct competitor developed by Facebook, and is widely used in research projects. It allows almost unlimited customization and is well adapted to running tensor operations on GPUs.

- **Scikit-learn:** It is another user-friendly framework that contains a great variety of useful tools: classification, regressions and clustering models, as well as pre-processing, dimensionality reduction and evaluation tools.

### 1.3.2 Comparisons

- **TensorFlow vs PyTorch:** TensorFlow has a very difficult learning curve but has good documentation and lots of examples available. PyTorch is slightly easier to use than TensorFlow but its documentation is weak and skimpy.
- **Good choice for beginners:** Scikit-learn and Keras.

**Choosing a Library**

- Beginners: start with **Scikit-learn** or **Keras**.
- Research with maximum flexibility: **PyTorch**.
- Production-scale systems with rich documentation: **TensorFlow**.

**Keras vs. TensorFlow**

Keras is not a standalone competitor of TensorFlow — it is a **high-level API built on top of TensorFlow**. PyTorch is TensorFlow's direct competitor.

### 1.3.3 Pros and Cons of using Python for AI

**Pros:**

- Easy to learn and read.
- A vast number of machine learning libraries and useful tools.
- Popularity and large community.
- Many useful machine-learning repositories.
- Easy to integrate with other programming languages.

**Cons:**

- Speed limitations.
- Not suitable for mobile and game development.
- Design limitations.

**Summary**

- AI is the science and engineering of making intelligent machines (McCarthy, 1955); it borrows characteristics of human intelligence and implements them as computer-friendly algorithms.
- AI is interdisciplinary and important across many domains (gaming, speech, NLP, vision, expert systems, healthcare, transport, finance, logistics, e-commerce, hiring).
- Deep Learning $\subset$ Machine Learning $\subset$ AI; neural networks are one family of ML algorithms.
- AI has both advantages (fewer errors, risk-taking, 24/7 availability, automation, faster decisions, new inventions) and disadvantages (cost, laziness, unemployment, no emotions, no out-of-box thinking).
- History: birth (1950–1956), symbolic AI (1956–1974), first winter (1974–1980), boom (1980–1987), second winter (1987–1993), revival (1993–2011), and the deep learning / big data / AGI era (2011–present), with milestones such as the Turing Test, Dartmouth, ELIZA, expert systems, Kismet, Deep Blue, Roomba, self-driving cars, Watson, Siri, GAN, AlphaGo, ChatGPT, and Bard.
- Major libraries: TensorFlow, Keras, PyTorch, Scikit-learn; Python dominates AI due to its simplicity and ecosystem, despite speed and design limitations.

# 2 Naive Bayes Classifier

## 2.1 Fundamentals of Machine Learning

### 2.1.1 What is Machine Learning?

**Definition of Machine Learning**

Machine Learning is the science and engineering of getting computers to **act without being explicitly programmed**.

There are three major types of machine learning:

1. **Supervised learning**
2. **Unsupervised learning**
3. **Reinforcement learning** (not covered in this course; self-study only)

### 2.1.2 Supervised Learning

In supervised learning, we form a **training dataset** consisting of examples with inputs and the correct outputs.

- The correct outputs are called **labels**, so the training dataset is called a **labelled dataset**.
- The labelled dataset is used to train the computer/machine to yield the desired output, i.e., the machine learns the relationship/mapping between the inputs and the outputs.

Supervised learning can be further divided into two types:

1. **Classification**: classify the data into categories (also called classes, represented using different labels). For example, yes or no; positive, negative or neutral.
2. **Regression**: give a real or continuous value as output. For example, salary based on work experience, weight based on height.

**Example: The Idea of Supervised Learning**

Suppose we want to train our machine to do maths. Instead of explicitly programming it, we pass a set of input data and the corresponding answers to the machine, and ask it to learn/figure out the relationship between the data and the answers:

| | | | | | | | | |
|---|---|---|---|---|---|---|---|---|
| 1. | 2 | 4 | 5 = 3 | 5. | 6 | 2 | 2 = 10 |
| 2. | 5 | 2 | 8 = 2 | 6. | 3 | 1 | 1 = 2 |
| 3. | 2 | 2 | 1 = 3 | 7. | 5 | 3 | 4 = 11 |
| 4. | 4 | 2 | 2 = 6 | 8. | 1 | 8 | 1 = 7 |

**Question:** For this example, what is the training dataset? What is the label? Can you figure out the relationship between the data and the labels?

**Answer:**

- The **training dataset** is the set of 8 examples; each example has three inputs (e.g., $2, 4, 5$) and one correct output.
- The **label** of each example is the number after the "=" sign (e.g., 3 for the first example).
- A hidden relationship that fits all examples is:

$$\text{output} = (\text{first} \times \text{second}) - \text{third},$$

e.g., $2 \times 4 - 5 = 3$, $5 \times 2 - 8 = 2$, $6 \times 2 - 2 = 10$, $1 \times 8 - 1 = 7$.

**Real-life applications of supervised learning.**

- **Image classification** — e.g., Facebook can recognize your friend in a picture from an album of tagged photos.
- **Visual recognition** — e.g., the ability of a machine to identify objects, places, people, actions, and images.
- **Signature recognition** — e.g., automatic signature recognition for automating bank cheque processing.
- **Spam detection** — e.g., Google can detect and filter out spam and phishing emails with about 99.9% accuracy.
- **Weather forecasting** — e.g., the HK Observatory incorporates machine learning to strengthen its monitoring and forecasting techniques.

### 2.1.3 Unsupervised Learning

In unsupervised learning:

- We use an **unlabelled dataset** (i.e., the correct outputs are not given) and train the machine to learn on itself.
- The computer/machine tries to **find a pattern** in the unlabelled data and respond.

Unsupervised learning can be further divided into two groups:

1. **Clustering**: group data into clusters that are similar to each other within a cluster, and dissimilar to objects belonging to another cluster. For example, finding out which customers made similar product purchases.
2. **Association**: a rule-based machine learning approach to discover the probability of the co-occurrence of items in a collection. For example, finding out which products were purchased together.

**Example: The Idea of Unsupervised Learning**

Once again, suppose we want to train our machine to do maths. This time we pass a set of input data, but not the corresponding answers, and ask it to figure out the patterns:

| | | | | | | | | |
|---|---|---|---|---|---|---|---|---|
| 1. | 2 | 4 | 5 =? | 5. | 6 | 2 | 2 =? |
| 2. | 5 | 2 | 8 =? | 6. | 3 | 1 | 1 =? |
| 3. | 2 | 2 | 1 =? | 7. | 5 | 3 | 4 =? |
| 4. | 4 | 2 | 2 =? | 8. | 1 | 8 | 1 =? |

**Question:** Is this a suitable task for the machine to learn the patterns?

**Answer:** No. Without any answers (labels), the machine has no signal telling it what kind of pattern to look for — the bare input triples do not reveal an arithmetic rule, nor do they form meaningful clusters. This task is inherently a supervised one; removing the labels makes it ill-posed.

**Real-life applications of unsupervised learning.**

- **Semantic clustering**:
  - Semantically similar words share a similar context.
  - Grouping images/videos based on similarities.
  - Grouping audios based on acoustic similarity.
- **Identifying accident-prone areas**: used to identify accident-prone areas and introduce safety measures based on the intensity of those accidents.

### 2.1.4 Comparison between Supervised and Unsupervised Learning

| | Supervised Learning | Unsupervised Learning |
|---|---|---|
| **Training data** | Labeled data | Unlabeled data |
| **Labeling** | Supervised learning needs a domain expert to label data | |
| **Categories** | Classification and regression | Clustering and association |
| **Goal** | Calculate outcomes | Discover underlying patterns |
| **Training time** | Shorter | Longer |
| **Accuracy** | High | Low |
| **Optimal strategy** | Depend on the data | Depend on the data and learning algorithm |
| **Algorithms** | Naive Bayes, K-Nearest Neighbour, Decision Tree, Linear Regression, Logistic Regression, Support Vector Machine | K-Means Clustering, Hierarchical Clustering, Apriori Algorithm |

### 2.1.5 Motivating Problem: Disease 'Z'

Suppose we have a dataset consisting of symptoms and the results showing whether patients are suffering from disease 'Z' or not:

| Data | Blood Pressure | Fever | Diabetes | Vomit | Suffering from disease Z |
|---|---|---|---|---|---|
| 1 | High | High | Yes | No | No |
| 2 | High | High | Yes | Yes | No |
| 3 | Low | High | Yes | No | Yes |
| 4 | Normal | Mild | Yes | No | Yes |
| 5 | Normal | No fever | No | No | Yes |
| 6 | Normal | No fever | No | Yes | No |
| 7 | Low | No fever | No | Yes | Yes |
| 8 | High | Mild | Yes | No | No |
| 9 | High | No fever | No | No | Yes |
| 10 | Normal | Mild | No | No | Yes |
| 11 | High | Mild | No | Yes | Yes |
| 12 | Low | Mild | Yes | Yes | Yes |
| 13 | Low | High | No | No | Yes |
| 14 | Normal | Mild | Yes | Yes | No |

**Question:** Can we estimate whether a person suffers from disease 'Z' based on the symptoms (Blood Pressure = High, Fever = No, Diabetes = Yes, Vomit = Yes) from the above table?

**Answer:** Yes — use **Bayes' rule**.

## 2.2 Bayes' Rule

### 2.2.1 Conditional Probability

**Conditional Probability**

Conditional probability, denoted by $P(B \mid A)$, means: what is the probability that an event $B$ occurs, **given that** event $A$ has already occurred?

$$P(B \mid A) = \frac{P(A \cap B)}{P(A)}$$

**Example: Modes of Transport**

The table below shows how undergraduate and postgraduate students travel:

| Transport | Car | Foot | Bicycle | Total |
|---|---|---|---|---|
| Undergraduate Students | 200 | 330 | 120 | 650 |
| Postgraduate Students | 250 | 320 | 80 | 650 |
| **Total** | 450 | 650 | 200 | 1300 |

**Question 1:** What is the probability $P(\text{Car} \mid \text{Undergraduate Students})$?

**Answer:** We condition on the row of undergraduate students (total = 650):

$$P(\text{Car} \mid \text{Undergraduate Students}) = \frac{200}{650} \approx 0.31$$

**Question 2:** What is the probability $P(\text{Bicycle} \mid \text{Postgraduate Students})$?
**Answer:** Conditioning on the postgraduate row (total = 650):

$$P(\text{Bicycle} \mid \text{Postgraduate Students}) = \frac{80}{650} \approx 0.12$$

### 2.2.2 Bayes' Rule

Bayes' rule is named after the 18th-century British mathematician **Thomas Bayes**. It is the most important rule in data science: it is the mathematical rule that describes **how to update a belief, given some evidence**.

**Bayes' Rule**

$$P(B \mid E) = P(B) \times \frac{P(E \mid B)}{P(E)} = \frac{P(B)\,P(E \mid B)}{P(E)}$$

where

- $E$: **Evidence** (also called feature)
- $B$: **Belief** (also called class)
- $P(B \mid E)$: **Posterior probability** — how often the belief happens given that the evidence happens
- $P(B)$: **Prior probability** — how likely the belief is on its own
- $P(E \mid B)$: **Likelihood** — how often the evidence happens given that the belief happens
- $P(E)$: **Marginal probability** — how likely the evidence is on its own

**Example: Smoke and Fire**

Let $E$: Smoke, $B$: Fire.

- $P(B)$: how often there is fire
- $P(E)$: how often there is smoke
- $P(B \mid E)$: how often there is fire when we can see smoke
- $P(E \mid B)$: how often there is smoke when there is fire

So Bayes' rule is a formula telling us $P(\text{Fire} \mid \text{Smoke})$ when we know $P(\text{Smoke} \mid \text{Fire})$.

**Given:** Dangerous fires are rare (1%): $P(B) = P(\text{Fire}) = 0.01$. Smoke is fairly common (10%) due to BBQ: $P(E) = P(\text{Smoke}) = 0.1$. And 90% of dangerous fires make smoke: $P(E \mid B) = P(\text{Smoke} \mid \text{Fire}) = 0.9$.

**Solution:** The probability of a dangerous fire when there is smoke is

$$P(B \mid E) = P(\text{Fire} \mid \text{Smoke}) = \frac{P(\text{Fire})\,P(\text{Smoke} \mid \text{Fire})}{P(\text{Smoke})} = \frac{(0.01)(0.9)}{0.1} = 0.09$$

### 2.2.3 How to Understand Bayes' Rule? A Probability Tree View

We can represent the relationship between $E$ and $B$ as a tree. Starting from the root, we first branch on the belief, then on the evidence:

- With probability $P(B)$ we reach belief $B$; from there the evidence $E$ occurs with probability $P(E \mid B)$, and NOT $E$ occurs with probability $P(\text{NOT } E \mid B)$.

- With probability $P(\text{NOT } B)$ we reach NOT $B$; from there the evidence $E$ occurs with probability $P(E \mid \text{NOT } B)$, and NOT $E$ occurs with probability $P(\text{NOT } E \mid \text{NOT } B)$.

Adding up the two branches on which the evidence $E$ occurs gives the **law of total probability**:

$$P(E) = P(E \mid B)\, P(B) + P(E \mid \text{NOT } B)\, P(\text{NOT } B)$$

It is okay if we know $P(E \mid B)$, $P(B)$, $P(E \mid \text{NOT } B)$, $P(\text{NOT } B)$. So we have

$$P(B \mid E) = \frac{P(B)\, P(E \mid B)}{P(E \mid B)\, P(B) + P(E \mid \text{NOT } B)\, P(\text{NOT } B)} = \frac{P(B)\, P(E \mid B)}{P(E)}$$

**Example: Virus Detection**

A doctor gives a patient a test for a particular virus.

- It is believed that 0.1% of the population has this virus.
- In 99% of the cases in which the virus is present, the test is positive.
- In 95% of the cases in which the virus is not present, the test is negative.

**Question:** If the test turns out to be positive, what is the chance that the virus is present?

**Solution (Bayes' rule).** Let $V$ be the part of the population carrying the virus, and $H$ the remaining part. Then

$$P(V) = 0.001, \qquad P(H) = 1 - 0.001 = 0.999$$

$$P(+ \mid V) = 0.99, \qquad P(- \mid H) = 0.95$$

We want $P(V \mid +) =?$ According to Bayes' rule,

$$P(V \mid +) = \frac{P(V)\, P(+ \mid V)}{P(+)}$$

What is $P(+)$? In fact, by the law of total probability,

$$\begin{aligned} P(+) &= P(+ \mid V)\, P(V) + P(+ \mid H)\, P(H) \\ &= (0.99)(0.001) + (1 - 0.95)(0.999) \\ &= (0.99)(0.001) + (0.05)(0.999) \\ &= 0.05094 \end{aligned}$$

So,

$$P(V \mid +) = \frac{(0.001)(0.99)}{0.05094} \approx 0.02$$

Even with a positive test result, the patient only has about a 2% chance of carrying the virus!

**A Positive Test Does Not Mean the Disease Is Likely**

The virus-detection result ($\approx$ 2%) feels counter-intuitive because the test is "99% accurate". The key is the **base rate**: the virus is extremely rare ($P(V) = 0.001$), so the false positives from the huge healthy population ($0.05 \times 0.999$) vastly outnumber the true positives ($0.99 \times 0.001$). Never ignore the prior $P(B)$ when interpreting Bayes' rule — confusing $P(E \mid B)$ with $P(B \mid E)$ is the classic base-rate fallacy.

### 2.2.4 What If We Have Multiple Pieces of Belief?

Suppose there are $n$ possible beliefs (classes) $B_1, B_2, \ldots, B_n$. The probability tree now has $n$ branches at the top level: branch $B_i$ is taken with probability $P(B_i)$, and from it the evidence $E$ occurs with probability $P(E \mid B_i)$ (and NOT $E$ with $P(\text{NOT } E \mid B_i)$).

**General Form of Bayes' Rule**

$$P(B_i \mid E) = \frac{P(B_i)\,P(E \mid B_i)}{P(E \mid B_1)\,P(B_1) + P(E \mid B_2)\,P(B_2) + \cdots + P(E \mid B_n)\,P(B_n)}$$
$$= \frac{P(B_i)\,P(E \mid B_i)}{\sum_{j=1}^{n} P(E \mid B_j)\,P(B_j)}$$

Each belief $B_i$ is also called a **class**. For instance, $V$ (population carrying the virus) and $H$ (the population that does not carry the virus) are two different classes in the virus detection example.

### 2.2.5 What If We Have Multiple Pieces of Evidence Also?

Say we have $d$ pieces of evidence $E = \{e_1, e_2, e_3, \ldots, e_d\}$. Then

$$P(B_i \mid E) = \frac{P(B_i)\,P(E \mid B_i)}{P(E \mid B_1)\,P(B_1) + P(E \mid B_2)\,P(B_2) + \cdots + P(E \mid B_n)\,P(B_n)}$$
$$= \frac{P(B_i)\,P\big((e_1, e_2, e_3, \ldots, e_d) \,\big|\, B_i\big)}{\sum_{j=1}^{n} P\big((e_1, e_2, e_3, \ldots, e_d) \,\big|\, B_j\big)\,P(B_j)}$$

The difficulty is that the joint likelihood $P\big((e_1, e_2, \ldots, e_d) \,\big|\, B_i\big)$ is hard to estimate from data directly — this is exactly where the naive assumption of Naive Bayes comes in.

## 2.3 The Naive Bayes Model

### 2.3.1 The "Naive" Assumptions

The Bayes' rule is referred to as **Naive Bayes** when we assume that each piece of evidence **conditionally independently** and **equally** contributes to the probability of a sample belonging to a certain belief. In other words, the presence of one particular piece of evidence in a belief does not affect the presence of another one.

**The Two Naive Assumptions**

- **Conditional independence**: for example, given a certain outcome (e.g., going for a walk), the temperature being "Hot" has nothing to do with the humidity being "High", and the outlook being "Rainy" does not affect the wind. Hence the features are assumed to be conditionally independent given the class.
- **Equal contribution**: for example, knowing only temperature and humidity alone cannot predict the outcome accurately — each piece of evidence contributes equally to the outcome.

**The Assumptions Are (Almost) Never True**

The assumptions made by Naive Bayes are **not** generally correct in real-world situations. In fact, the independence assumption is never correct — but the classifier often **works well in practice** despite it. Do not claim the features are truly independent; claim the model is useful anyway.

### 2.3.2 The Naive Bayes Formula

With each piece of evidence making an independent and equal contribution given the belief, Bayes' rule can be transformed to the following:

$$P(B_i \mid E) = \frac{P(B_i)\, P\big((e_1, e_2, e_3, \ldots, e_d) \,\big|\, B_i\big)}{\sum_{j=1}^{n} P\big((e_1, e_2, e_3, \ldots, e_d) \,\big|\, B_j\big)\, P(B_j)}$$

$$= \frac{P(B_i)\, P(e_1 \mid B_i)\, P(e_2 \mid B_i)\, P(e_3 \mid B_i) \cdots P(e_d \mid B_i)}{\sum_{j=1}^{n} P(e_1 \mid B_j)\, P(e_2 \mid B_j)\, P(e_3 \mid B_j) \cdots P(e_d \mid B_j)\, P(B_j)}$$

**Question:** Given a test data sample with evidence $E$, we want to know which belief (class) it belongs to, so we calculate $P(B_1 \mid E), P(B_2 \mid E), \ldots, P(B_n \mid E)$ following the Naive Bayes formula above. However, do we need to strictly follow the formula and compute the actual probability values?

**Answer:** No. If we are only interested in knowing which belief has the highest probability value rather than the actual probability value, we can further simplify the equation by **removing the denominator**, because the denominator remains constant for a given input.

**Naive Bayes Classification Rule**

$$B_{NB} = \underset{B_i}{\operatorname{argmax}}\ P(B_i) \Big( P(e_1 \mid B_i)\, P(e_2 \mid B_i)\, P(e_3 \mid B_i) \cdots P(e_d \mid B_i) \Big)$$

The class with the highest score wins. (If actual probabilities are needed afterwards, normalize the scores so that they sum to 1.)

Now consider a feature $e_j$; suppose $e_j$ has $m$ possible values: $e_j \in \{v_1, v_2, \ldots, v_m\}$. Then the likelihood is estimated from the training data by **counting**:

$$P(e_j = v_k \mid B_i) = \frac{P(e_j = v_k, B_i)}{P(B_i)} = \frac{\text{Count of } (e_j = v_k, B_i)}{\text{Count of } B_i}$$

**Question:** What if there is no observation of $(e_j = v_k, B_i)$, i.e., Count of $(e_j = v_k, B_i) = 0$? This leads to the zero frequency problem below.

### 2.3.3 Zero Frequency Problem and $\alpha$-Laplace Smoothing

**Zero Frequency Problem**

If the categorical feature has a category in the test data set which was not observed in the training data set, then the model will assign a 0 probability to the whole product and will be unable to make a prediction. This is known as **Zero Frequency**. A single zero term wipes out the entire posterior, because everything is multiplied together.

**Solution: $\alpha$-Laplacian (add-$\alpha$) Smoothing**

**Idea:** pretend you have seen every value of the feature given every belief $\alpha$ more times than you actually did:

$$P(e_j = v_k \mid B_i) = \frac{\text{Count of } (e_j = v_k, B_i) + \alpha}{\text{Count of } B_i + m \cdot \alpha}$$

where $m$ is the number of possible values of $e_j$.

- $\alpha = 1$ is called **1-Laplace smoothing**: pretend that you have seen every value 1 more time than you actually did.

### 2.3.4 Worked Example: Predicting Disease 'Z' with Naive Bayes

**Example: Disease 'Z' Prediction (Discrete Features)**

Using the disease-'Z' dataset of Section 2.1.5, for a patient with symptoms (Blood Pressure, Fever, Diabetes, Vomit) = (High, No, Yes, Yes), what is the probability of suffering from disease 'Z'?

**Step 1: Count the occurrences.** From the 14 records (class counts: Yes = 9, No = 5):

| Blood Pressure counts | | |
|---|---|---|
| | **Yes** | **No** |
| High | 2 | 3 |
| Normal | 3 | 2 |
| Low | 4 | 0 |

| Fever counts | | |
|---|---|---|
| | **Yes** | **No** |
| High | 2 | 2 |
| Mild | 4 | 2 |
| No fever | 3 | 1 |

| Diabetes counts | | |
|---|---|---|
| | **Yes** | **No** |
| Yes | 3 | 4 |
| No | 6 | 1 |

| Vomit counts | | |
|---|---|---|
| | **Yes** | **No** |
| Yes | 3 | 3 |
| No | 6 | 2 |

| Disease 'Z' | |
|---|---|
| **Yes** | **No** |
| 9 | 5 |

**Step 2: Convert counts to relative frequencies (likelihoods and priors).** Dividing each count by the corresponding class count (9 for Yes, 5 for No), and the class counts by 14:

$$P(\text{Yes}) = \tfrac{9}{14}, \qquad P(\text{No}) = \tfrac{5}{14}$$

$$\begin{aligned} P(\text{BP=High} \mid \text{Yes}) &= \tfrac{2}{9} & P(\text{BP=High} \mid \text{No}) &= \tfrac{3}{5} \\ P(\text{Fever=No} \mid \text{Yes}) &= \tfrac{3}{9} & P(\text{Fever=No} \mid \text{No}) &= \tfrac{1}{5} \\ P(\text{Diab=Yes} \mid \text{Yes}) &= \tfrac{3}{9} & P(\text{Diab=Yes} \mid \text{No}) &= \tfrac{4}{5} \\ P(\text{Vomit=Yes} \mid \text{Yes}) &= \tfrac{3}{9} & P(\text{Vomit=Yes} \mid \text{No}) &= \tfrac{3}{5} \end{aligned}$$

**Step 3: Apply the Naive Bayes classification rule.**

$$B_{NB} = \underset{B_i}{\operatorname{argmax}}\ P(B_i)\left(P(e_1 \mid B_i)\, P(e_2 \mid B_i)\, P(e_3 \mid B_i) \cdots P(e_d \mid B_i)\right)$$

We compare the two scores (priors times products of likelihoods):

$$\begin{aligned} &P(\text{DiseaseZ=Yes}) \cdot \big(P(\text{BP=High} \mid \text{Yes}) \cdot P(\text{Fever=No} \mid \text{Yes}) \\ &\qquad \cdot P(\text{Diabetes=Yes} \mid \text{Yes}) \cdot P(\text{Vomit=Yes} \mid \text{Yes})\big) \\ &= \frac{9}{14} \times \frac{2}{9} \times \frac{3}{9} \times \frac{3}{9} \times \frac{3}{9} = 0.005291 \\ &P(\text{DiseaseZ=No}) \cdot \big(P(\text{BP=High} \mid \text{No}) \cdot P(\text{Fever=No} \mid \text{No}) \\ &\qquad \cdot P(\text{Diabetes=Yes} \mid \text{No}) \cdot P(\text{Vomit=Yes} \mid \text{No})\big) \\ &= \frac{5}{14} \times \frac{3}{5} \times \frac{1}{5} \times \frac{4}{5} \times \frac{3}{5} = 0.020571 \end{aligned}$$

**Step 4: Decide and (optionally) normalize.** Since $0.020571 > 0.005291$, the result is: **the patient is NOT suffering from disease 'Z'**.
After normalization, the posterior probabilities are

$$\frac{0.020571}{0.020571 + 0.005291} = 0.7954 \text{ (No)}, \qquad \frac{0.005291}{0.020571 + 0.005291} = 0.2046 \text{ (Yes)}$$

**Scores vs. Probabilities**

The argmax scores (0.005291, 0.020571) are unnormalized posteriors — they are enough for **classification** (just pick the larger one). If you need real probabilities, divide each score by the sum of all scores. Note also the potential zero-frequency trap in this very dataset: $P(\text{BP=Low} \mid \text{No}) = \frac{0}{5} = 0$, which would zero-out the "No" score

for any future patient with Low blood pressure unless smoothing is applied.

### 2.3.5 Naive Bayes Implementation using Scikit-Learn

```
import numpy as np
# CategoricalNB is for doing Naive Bayes classifier for categorical \
   features
from sklearn.naive_bayes import CategoricalNB

# Forming training data
# Features: Blood Pressure (0=High,1=Normal,2=Low), Fever \
   (0=High,1=Mild,2=No Fever),
#           Diabetes (0=Yes,1=No), Vomit (0=Yes,1=No)
training = np.array([[0, 0, 0, 1], [0, 0, 0, 0], [2, 0, 0, 1], [1, 1, \
   0, 1], [1, 2, 1, 1],
                     [1, 2, 1, 0], [2, 2, 1, 0], [0, 1, 0, 1], [0, 2, \
   1, 1], [1, 1, 1, 1],
                     [0, 1, 1, 0], [2, 1, 0, 0], [2, 0, 1, 1], [1, 1, \
   0, 0]])

# Forming the label set
# Labels: 0=Yes, 1=No
outcome = np.array([1, 1, 0, 0, 0, 1, 0, 1, 0, 0, 0, 0, 0, 1])

# This is the new data to be evaluated using the trained AI (model)
new_sample = np.array([[0, 2, 0, 0]])

# Train Naive Bayes classifier according to training, outcome
clf = CategoricalNB(alpha=1.0e-10).fit(training, outcome)

# Perform classification on new_sample, and get the probability \
   estimates
pred_class = clf.predict(new_sample)
prob = clf.predict_proba(new_sample)

# Print the results
print(pred_class, prob)
```

**Notes on the Scikit-Learn Code**

- `CategoricalNB` is the Naive Bayes classifier for **categorical** features; every category must be encoded as an integer $(0, 1, 2, \dots)$.
- The hyperparameter `alpha` is exactly the $\alpha$ of $\alpha$-Laplace smoothing. Here `alpha=1.0e-10` $\approx 0$, i.e., smoothing is (almost) switched off so that the results match the hand computation.
- `clf.predict(...)` returns the predicted class; `clf.predict_proba(...)` returns the normalized posterior probability of each class.
- The new sample $[0, 2, 0, 0]$ encodes (BP = High, Fever = No fever, Diabetes = Yes, Vomit = Yes), matching the worked example.

### 2.3.6 Calculation for Continuous Variables: Gaussian Naive Bayes

In the last example, the symptoms Blood Pressure and Fever take discrete values. What if they are continuous? If Blood Pressure and Fever were continuous, the calculation would have been different. We assume the likelihood follows a **Gaussian (normal) distribution**:

## Gaussian (Normal) Probability Density

$$f(x) = \frac{1}{\sqrt{2\pi}\,\sigma}\,\exp\!\left(-\frac{(x-\mu)^2}{2\sigma^2}\right)$$

where $\mu$ is the **mean** and $\sigma$ is the **standard deviation**.

We need to calculate the mean and standard deviation of Blood Pressure and Fever for each belief (i.e., suffering from disease 'Z', and not suffering from disease 'Z'). Suppose:

| **Blood Pressure** | **Mean $\mu$** | **Std. dev. $\sigma$** |
|---|---|---|
| Suffering from disease 'Z' = Yes | 73 | 6.2 |
| Suffering from disease 'Z' = No | 75 | 7.9 |
| **Fever** | **Mean $\mu$** | **Std. dev. $\sigma$** |
| Suffering from disease 'Z' = Yes | 79 | 10.2 |
| Suffering from disease 'Z' = No | 86 | 9.7 |

**Question:** Any potential problem of this approach? (Think: are BP and Fever really independent given the class? Are they really Gaussian? Also see the density-vs-probability note below.)

## Example: Disease 'Z' Prediction (Continuous BP and Fever)

For a patient with Blood Pressure = 66, Fever = 97, Diabetes = Yes, Vomit = Yes:

**Step 1: Gaussian likelihoods for class Yes.**

$$P(\text{BP=66}\,|\,\text{DiseaseZ=Yes}) = \frac{1}{\sqrt{2\pi}\,(6.2)}\,\exp\!\left(-\frac{(66-73)^2}{2\,(6.2)^2}\right) = 0.0340187$$

$$P(\text{Fever=97}\,|\,\text{DiseaseZ=Yes}) = \frac{1}{\sqrt{2\pi}\,(10.2)}\,\exp\!\left(-\frac{(97-79)^2}{2\,(10.2)^2}\right) = 0.00824276$$

**Step 2: Posterior score for class Yes** (Diabetes and Vomit stay discrete, using $\frac{3}{9}$ and $\frac{3}{9}$ from before):

$$\begin{aligned} &P(\text{DiseaseZ=Yes}) \cdot \big(P(\text{BP=66}\,|\,\text{Yes}) \cdot P(\text{Fever=97}\,|\,\text{Yes}) \\ &\qquad \cdot P(\text{Diabetes=Yes}\,|\,\text{Yes}) \cdot P(\text{Vomit=Yes}\,|\,\text{Yes})\big) \\ &= \frac{9}{14} \times (0.0340187) \times (0.00824276) \times \frac{3}{9} \times \frac{3}{9} = 0.00002 \end{aligned}$$

**Step 3: Gaussian likelihoods for class No.**

$$P(\text{BP=66}\,|\,\text{DiseaseZ=No}) = \frac{1}{\sqrt{2\pi}\,(7.9)}\,\exp\!\left(-\frac{(66-75)^2}{2\,(7.9)^2}\right) = 0.0263909$$

$$P(\text{Fever=97}\,|\,\text{DiseaseZ=No}) = \frac{1}{\sqrt{2\pi}\,(9.7)}\,\exp\!\left(-\frac{(97-86)^2}{2\,(9.7)^2}\right) = 0.0216215$$

**Step 4: Posterior score for class No** (discrete likelihoods $\frac{4}{5}$ and $\frac{3}{5}$):

$$\begin{aligned} &P(\text{DiseaseZ=No}) \cdot \big(P(\text{BP=66}\,|\,\text{No}) \cdot P(\text{Fever=97}\,|\,\text{No}) \\ &\qquad \cdot P(\text{Diabetes=Yes}\,|\,\text{No}) \cdot P(\text{Vomit=Yes}\,|\,\text{No})\big) \\ &= \frac{5}{14} \times (0.0263909) \times (0.0216215) \times \frac{4}{5} \times \frac{3}{5} = 0.0000978 \end{aligned}$$

**Step 5: Decide and normalize.** Since $0.0000978 > 0.00002$, the result is: **the patient is NOT suffering from disease 'Z'.**

After normalization:

$$\frac{0.0000978}{0.0000978 + 0.00002} = 0.8302 \text{ (No)}, \qquad \frac{0.00002}{0.0000978 + 0.00002} = 0.1698 \text{ (Yes)}$$

**Density Value ≠ Probability**

The probability of a continuous random variable taking an exact value is 0. Strictly speaking, the numbers 0.0340187, 0.00824276, etc. above are **density values** $f(x)$, not probabilities. For the sake of simplicity we use the notation $P(e_i \mid B_i)$ loosely here; substituting $x = e_i$ into $f(x)$ works for classification because the density ratios approximate the probability ratios of small intervals around $e_i$. For details, refer to the supplementary notes: Why can $P(e_i \mid B_i)$ be found by substituting $x = e_i$ into $f(x)$?

### 2.3.7 Underflow Prevention

Recall the Naive Bayes classifier:

$$B_{NB} = \underset{B_i}{\operatorname{argmax}}\ P(B_i)\left(P(e_1 \mid B_i)\, P(e_2 \mid B_i)\, P(e_3 \mid B_i) \cdots P(e_d \mid B_i)\right)$$

Multiplying lots of probabilities (each between 0 and 1 by definition) can result in **floating-point underflow** — the product becomes smaller than the smallest representable floating-point number.

**Log-Space Trick**

Since $\log(xy) = \log(x) + \log(y)$, it is better to perform all computations by **summing logs of probabilities** rather than multiplying probabilities. Because log is monotonically increasing, the belief with the highest final log-probability score is still the most probable:

$$B_{NB} = \underset{B_i}{\operatorname{argmax}} \left(\log P(B_i) + \sum_{j=1}^{d} \log P(e_j \mid B_i)\right)$$

### 2.3.8 Applications of the Naive Bayes Algorithm

- **Real-time prediction**: the Naive Bayes algorithm is fast and always ready to learn, hence it is best suited for real-time predictions.
- **Multi-class prediction**: the probability of multiple classes of any target variable can be predicted using a Naive Bayes algorithm.
- **Text classification**: where Naive Bayes is mostly used is spam filtering in emails (Naive Bayes is widely used for text classification). Due to its better performance with multi-class problems and its independence rule, the Naive Bayes algorithm performs better, or has a higher success rate, in text classification. Therefore it is also used in sentiment analysis and spam filtering.
- **Recommendation systems**: a Naive Bayes classifier together with collaborative filtering builds a recommendation system that uses machine learning and data mining techniques to filter unseen information and predict whether a user would like a given resource or not.

### 2.3.9 Advantages and Disadvantages of Naive Bayes

**Advantages**

- It is very easy to implement and obtains very good results on large datasets.
- It has **computational efficiency**: the assumption that all features are independent makes a Naive Bayes algorithm very fast compared to complicated algorithms. In some cases, speed is preferred over higher accuracy.
- It works well on large-size datasets.
- It can also be used to predict multiple classes.
- It can also be used in Natural Language Processing for text classification.

**Disadvantages**

- The strong assumption that the features are independent is hardly true in real-life applications.
- If the dataset size is small, it will decrease the precision value.
- When the goal is predicting probability instead of classification, the method provides very **biased** results.
- It has trouble with the **zero frequency problem** (unless smoothing is applied).

### 2.3.10 Practice Problem: Can We Pet the Animal?

**Practice Problem: Petting Animals**

Training dataset:

| Data | Animals | Size | Color | Can we pet them? |
|---|---|---|---|---|
| 1 | Dog | Medium | Black | Yes |
| 2 | Dog | Big | White | No |
| 3 | Rat | Small | White | Yes |
| 4 | Cow | Big | White | Yes |
| 5 | Cow | Small | Brown | No |
| 6 | Cow | Big | Black | Yes |
| 7 | Rat | Big | Brown | No |
| 8 | Dog | Small | Brown | Yes |
| 9 | Dog | Medium | Brown | Yes |
| 10 | Cow | Medium | White | No |
| 11 | Dog | Small | Black | Yes |
| 12 | Rat | Medium | Black | No |
| 13 | Rat | Small | Brown | No |
| 14 | Cow | Big | White | Yes |

**Question:** For the animal (Cow, Medium, Black), can we pet it?

**Solution.** Class counts: Yes = 8, No = 6 (out of 14). Given the Naive Bayes formula

$$P(B_i \mid E) \propto P(B_i)\left(P(e_1 \mid B_i)\,P(e_2 \mid B_i)\,P(e_3 \mid B_i)\right)$$

we have, with (Animals, Size, Color) = (Cow, Medium, Black):

$$P(\text{Pet=Yes}) \cdot \left(P(\text{Cow} \mid \text{Yes}) \cdot P(\text{Medium} \mid \text{Yes}) \cdot P(\text{Black} \mid \text{Yes})\right)$$
$$= \frac{8}{14} \times \frac{3}{8} \times \frac{2}{8} \times \frac{3}{8} = 0.02$$
$$P(\text{Pet=No}) \cdot \left(P(\text{Cow} \mid \text{No}) \cdot P(\text{Medium} \mid \text{No}) \cdot P(\text{Black} \mid \text{No})\right)$$
$$= \frac{6}{14} \times \frac{2}{6} \times \frac{2}{6} \times \frac{1}{6} = 0.0079$$

**Result:** We **can** pet it, since $0.02 > 0.0079$.
After normalization:

$$\frac{0.02}{0.02+0.0079} = 0.7168 \text{ (Yes)}, \qquad \frac{0.0079}{0.02+0.0079} = 0.2832 \text{ (No)}$$

The corresponding Scikit-Learn implementation:

```
import numpy as np
# CategoricalNB is for doing Naive Bayes classifier for categorical \
   features
from sklearn.naive_bayes import CategoricalNB

# Forming training data
# Features: Animals (0=Dog,1=Rat,2=Cow), Size (0=Big,1=Medium,2=Small),
#           Color (0=Black, 1=White, 2=Brown)
training = np.array([[0, 1, 0], [0, 0, 1], [1, 2, 1], [2, 0, 1], [2, \
   2, 2],
                     [2, 0, 0], [1, 0, 2], [0, 2, 2], [0, 1, 2], [2, \
   1, 1],
                     [0, 2, 0], [1, 1, 0], [1, 2, 2], [2, 0, 1]])

# Forming the label set
# Labels: 0=Yes, 1=No
outcome = np.array([0, 1, 0, 0, 1, 0, 1, 0, 0, 1, 0, 1, 1, 0])

# This is the new data to be evaluated using the trained AI (model)
new_sample = np.array([[2, 1, 0]])

# Train Naive Bayes classifier according to training, outcome
clf = CategoricalNB(alpha=1.0e-10).fit(training, outcome)

# Perform classification on new_sample and get the probability estimates
pred_class = clf.predict(new_sample)
prob = clf.predict_proba(new_sample)

# Print the results
print(pred_class, prob)
```

The new sample $[2, 1, 0]$ encodes (Animals = Cow, Size = Medium, Color = Black), and the classifier predicts class 0 (Yes — we can pet it), consistent with the hand computation.

# 3 K-Nearest Neighbors Classifier

## 3.1 Motivating Problem: Predicting T-shirt Size

**Motivating Problem**

Suppose we have the height, weight and T-shirt size of some customers as follows:

| Height (in cm) | 158 | 158 | 158 | 160 | 160 | 163 | 163 | 160 | 163 |
|---|---|---|---|---|---|---|---|---|---|
| Weight (in kg) | 58 | 59 | 63 | 59 | 60 | 60 | 61 | 64 | 64 |
| T-shirt Size | M | M | M | M | M | M | M | L | L |

| Height (in cm) | 165 | 165 | 165 | 168 | 168 | 168 | 170 | 170 | 170 |
|---|---|---|---|---|---|---|---|---|---|
| Weight (in kg) | 61 | 62 | 65 | 62 | 63 | 66 | 63 | 64 | 68 |
| T-shirt Size | L | L | L | L | L | L | L | L | L |

Can we predict the T-shirt size of a new customer given only the height and weight information we have?

**Questions to think about:**

- Can we solve it using the Naive Bayes Classifier? How?
- What is the problem of the Naive Bayes model in this task?

**Why Not Naive Bayes Here?**

Height and weight are continuous numeric attributes, and they are clearly **not conditionally independent** (taller people tend to be heavier). Naive Bayes assumes conditional independence between features given the class, which is violated here and hurts its effectiveness. KNN makes no such assumptions, so it fits this task naturally.

## 3.2 The K-Nearest Neighbor Model

### 3.2.1 What is KNN?

**K-Nearest Neighbor (KNN)**

- K-Nearest Neighbor (aka KNN) is one of the most used machine learning algorithms due to its **simplicity**.
- KNN is a **lazy learning**, **non-parametric** algorithm, as it does not make any assumptions on the data being studied (e.g., the distribution of the data).
- It uses data with several classes to predict the classification of the new sample point. In other words, it captures information of all training data and classifies the new data based on **similarity**.

**Why "Lazy" Learning?**

KNN is called lazy because it does **no real training**: it simply stores/memorizes all the training data. All the computation (distance calculation, sorting, voting) is deferred until a test sample needs to be classified. There is no explicit model-building phase.

### 3.2.2 Parametric Model vs. Non-parametric Model

| | Parametric Model | Non-parametric Model |
|---|---|---|
| **Assumption** | Relies on specific assumptions about the underlying distribution of the population being studied. Typically assumes that the data follows a known probability distribution, and estimates the parameters of this distribution using the available data. | Does not rely on specific assumptions about the underlying distribution of the population being studied. |
| **Basic idea** | There is a set of fixed parameters that are used to determine a probability model that is used in Machine Learning as well. | No need to make any assumption of parameters for the given population or the population we are studying. There is no fixed set of parameters available. |
| **Example** | Naive Bayes: classifies data points based on Bayes' theorem and assuming conditional independence between features. | KNN: classifies data points based on the $k$ nearest neighbours. |

### 3.2.3 Steps of the KNN Algorithm

**The Six Steps of KNN**

1. Prepare training data and test data.
2. Select a value $K$.
3. Determine which distance function is to be used.
4. Compute the distance of the new data to its $n$ training samples.
5. Sort the distances obtained and take the $K$-nearest data samples.
6. Assign the test sample to the class based on the **majority vote** of its $K$ nearest neighbors.

**Which Steps are "Training" and Which are "Testing"?**

Only **Step 1** (preparing/storing the training data) can be regarded as "training" — and that is exactly why KNN is called lazy: the training phase does essentially nothing but memorize the data. **Steps 2–6** happen at testing time: choosing $K$, computing distances, sorting and voting are all performed when a new test sample arrives.

## 3.3 Worked Example: T-shirt Size Prediction

### 3.3.1 Step 1 & 2: Prepare Training/Test Data and Select $K$

**Training data:** the 18 customers given in the motivating problem (height, weight, T-shirt size).

**Testing data:** a new customer with

$$\text{Height} = 161 \text{ cm}, \qquad \text{Weight} = 61 \text{ kg}.$$

Let's pick $K = 5$.

### 3.3.2 Step 3: Determine Which Distance Function to Use

Let $x^{\text{Train}}$ be a training data point, which has $n$ attributes:

$$x^{\text{Train}} = \{x_1^{\text{Train}}, x_2^{\text{Train}}, \ldots, x_n^{\text{Train}}\}$$

and $x^{\text{Test}}$ be a testing data point, which also has $n$ attributes:

$$x^{\text{Test}} = \{x_1^{\text{Test}}, x_2^{\text{Test}}, \ldots, x_n^{\text{Test}}\}.$$

Assume **Euclidean distance** is used:

$$\text{distance}(x^{\text{Train}}, x^{\text{Test}}) = \sqrt{\sum_{i=1}^{n} (x_i^{\text{Train}} - x_i^{\text{Test}})^2}$$

### 3.3.3 Step 4: Compute the Distance of the New Data to Its $n$ Training Samples

For testing data (Height = 161, Weight = 61), e.g., for the first training sample $(158, 58)$:

$$\text{distance} = \sqrt{(158-161)^2 + (58-61)^2} = \sqrt{9+9} = \sqrt{18} \approx 4.24.$$

Repeating for all 18 training samples:

| Height (cm) | 158 | 158 | 158 | 160 | 160 | 163 | 163 | 160 | 163 |
|---|---|---|---|---|---|---|---|---|---|
| Weight (kg) | 58 | 59 | 63 | 59 | 60 | 60 | 61 | 64 | 64 |
| Size | M | M | M | M | M | M | M | L | L |
| Distance | 4.24 | 3.61 | 3.61 | 2.24 | 1.41 | 2.24 | 2.00 | 3.16 | 3.61 |

| Height (cm) | 165 | 165 | 165 | 168 | 168 | 168 | 170 | 170 | 170 |
|---|---|---|---|---|---|---|---|---|---|
| Weight (kg) | 61 | 62 | 65 | 62 | 63 | 66 | 63 | 64 | 68 |
| Size | L | L | L | L | L | L | L | L | L |
| Distance | 4.00 | 4.12 | 5.66 | 7.07 | 7.28 | 8.60 | 9.22 | 9.49 | 11.40 |

#### 3.3.4 Step 5: Sort the Distances and Take the $K$-Nearest Samples ($K = 5$)

| Height (cm) | 160 | 163 | 160 | 163 | 160 | 158 | 158 | 163 | 165 |
|---|---|---|---|---|---|---|---|---|---|
| Weight (kg) | 60 | 61 | 59 | 60 | 64 | 59 | 63 | 64 | 61 |
| Size | M | M | M | M | L | M | M | L | L |
| Distance | 1.41 | 2.00 | 2.24 | 2.24 | 3.16 | 3.61 | 3.61 | 3.61 | 4.00 |

| Height (cm) | 165 | 158 | 165 | 168 | 168 | 168 | 170 | 170 | 170 |
|---|---|---|---|---|---|---|---|---|---|
| Weight (kg) | 62 | 58 | 65 | 62 | 63 | 66 | 63 | 64 | 68 |
| Size | L | M | L | L | L | L | L | L | L |
| Distance | 4.12 | 4.24 | 5.66 | 7.07 | 7.28 | 8.60 | 9.22 | 9.49 | 11.40 |

The 5 nearest neighbors have distances 1.41, 2.00, 2.24, 2.24, 3.16.

#### 3.3.5 Step 6: Assign the Test Sample by Majority Vote

| Height (cm) | 160 | 163 | 160 | 163 | 160 |
|---|---|---|---|---|---|
| Weight (kg) | 60 | 61 | 59 | 60 | 64 |
| Size | M | M | M | M | L |
| Distance | 1.41 | 2.00 | 2.24 | 2.24 | 3.16 |

Among the 5 customers, 4 of them had "Medium T-shirt Sizes" and 1 had "Large T-shirt Size".

**Conclusion of the Worked Example**

We classify the test data as "Medium T-shirt", i.e., the best guess for the customer with height = 161 cm and weight = 61 kg is **Medium T-shirt Size**.

### 3.4 KNN Implementation using Scikit-Learn

```
from sklearn.preprocessing import LabelEncoder      # Import \
   LabelEncoder function
from sklearn.neighbors import KNeighborsClassifier  # Import \
   KNeighborsClassifier function
import numpy as np                                  # Import NumPy

# Assign features and label variables
height = np.array([158,158,158,160,160,163,163,160,163,165,
                   165,165,168,168,168,170,170,170])
weight = \
   np.array([58,59,63,59,60,60,61,64,64,61,62,65,62,63,66,63,64,68])
size = np.array(['M', 'M', 'M', 'M', 'M', 'M', 'M', 'L', 'L',
                 'L', 'L', 'L', 'L', 'L', 'L', 'L', 'L', 'L'])

# Create LabelEncoder that used to convert string labels to numbers
encoder = LabelEncoder()
# Convert string labels into numbers
label = encoder.fit_transform(size)
```

```
# Combine height and weight into single list of tuples
features = list(zip(height, weight))
# Create a KNN classifier and set K=5
model = KNeighborsClassifier(n_neighbors=5)
# Train the model using the training sets
model.fit(features, label)
# Predict output
predicted = model.predict([[161, 61]])   # height = 161, weight = 61
# Convert number to string label
predicted = encoder.inverse_transform(predicted)
print(predicted)
```

Output: `['M']` — the model predicts Medium, matching our manual computation.

## 3.5 Standardization

**Why Standardize?**

When the training data are measured in **different units**, it is important to standardize the variables (i.e., the attributes) before calculating distance. For example, if one attribute is height in cm and the other is weight in kg, then height will influence the distance calculation more (its numeric range is larger). To make the attributes comparable, we standardize them:

$$X_{\text{new}} = \frac{X - \text{mean}}{\text{standard deviation}}$$

where $X$ is the attribute value, $X_{\text{new}}$ is the standardized attribute value, mean is the mean attribute value of all training data, and standard deviation is the standard deviation of the attribute value of all the training data.

### 3.5.1 Effect of Standardization on the T-shirt Example

For the T-shirt data:

$$\text{Mean of height} = 164, \qquad \text{Std of height} = 4.33,$$
$$\text{Mean of weight} = 62.33, \qquad \text{Std of weight} = 2.63.$$

After standardization with $X_{\text{new}} = (X - \text{mean})/\text{std}$, the **5th closest value changed**, as height was dominating earlier before standardization. Testing data: Height = 161 cm and weight = 61 kg.

| Height (cm) | 160 | 163 | 160 | 163 | 160 | 158 | 158 | 163 | 165 |
|---|---|---|---|---|---|---|---|---|---|
| Weight (kg) | 60 | 61 | 59 | 60 | 64 | 59 | 63 | 64 | 61 |
| Size | M | M | M | M | L | M | M | L | L |
| Distance | 1.41 | 2.00 | 2.24 | 2.24 | 3.16 | 3.61 | 3.61 | 3.61 | 4.00 |
| Distance (std.) | 0.44 | 0.46 | 0.60 | 0.79 | 1.16 | 1.03 | 1.03 | 1.23 | 0.92 |

| Height (cm) | 165 | 158 | 165 | 168 | 168 | 168 | 170 | 170 | 170 |
|---|---|---|---|---|---|---|---|---|---|
| Weight (kg) | 62 | 58 | 65 | 62 | 63 | 66 | 63 | 64 | 68 |
| Size | L | M | L | L | L | L | L | L | L |
| Distance | 4.12 | 4.24 | 5.66 | 7.07 | 7.28 | 8.60 | 9.22 | 9.49 | 11.40 |
| Distance (std.) | 1.00 | 1.33 | 1.78 | 1.66 | 1.79 | 2.49 | 2.22 | 2.37 | 3.37 |

Sorting by the standardized distances: $0.44, 0.46, 0.60, 0.79, 0.92, 1.00, \ldots$ — the sample $(165, 61)$ with standardized distance 0.92 now enters the top-5, replacing the sample with raw distance 3.16 (standardized 1.16). The 5 nearest are still 4 M's and 1 L, so the classification remains **M**.

### 3.5.2 Implementation with Standardization

```
from sklearn.preprocessing import LabelEncoder      # Import \
   LabelEncoder function
from sklearn.neighbors import KNeighborsClassifier  # Import \
   KNeighborsClassifier function
import numpy as np                                  # Import NumPy

# Assign features and label variables
height = np.array([158,158,158,160,160,163,163,160,163,165,
                   165,165,168,168,168,170,170,170])
h_mean = np.mean(height); h_std = np.std(height, ddof=1)  # ddof=1 is \
   sample std
height = (height - h_mean) / h_std
weight = \
   np.array([58,59,63,59,60,60,61,64,64,61,62,65,62,63,66,63,64,68])
w_mean = np.mean(weight); w_std = np.std(weight, ddof=1)  # ddof=1 is \
   sample std
weight = (weight - w_mean) / w_std
size = np.array(['M', 'M', 'M', 'M', 'M', 'M', 'M', 'L', 'L',
                 'L', 'L', 'L', 'L', 'L', 'L', 'L', 'L', 'L'])

# Create LabelEncoder that used to convert string labels to numbers
encoder = LabelEncoder()
# Convert string labels into numbers
label = encoder.fit_transform(size)
# Combine height and weight into single list of tuples
features = list(zip(height, weight))
# Create a KNN classifier and set K=5
model = KNeighborsClassifier(n_neighbors=5)
# Train the model using the training sets
model.fit(features, label)
# Predict output (the test point must be standardized with the SAME \
   mean/std)
predicted = model.predict([[(161 - h_mean) / h_std, (61 - w_mean) / \
   w_std]])  # (161, 61)
# Convert number to string label
predicted = encoder.inverse_transform(predicted)
print(predicted)
```

**Standardize the Test Point with Training Statistics**

The test sample must be standardized using the **mean and standard deviation of the training data** (not its own statistics, and not left unstandardized). Also note `np.std(..., ddof=1)` uses the sample standard deviation (divisor $n-1$).

## 3.6 How to Select Distance Functions?

There are a lot of different distance functions available. Some common ones are:

- Euclidean distance (the one we used earlier)
- Manhattan distance (aka City block distance)
- Cosine distance
- Hamming distance

### 3.6.1 Euclidean Distance

$$\text{distance}(x^{\text{Train}}, x^{\text{Test}}) = \sqrt{\sum_{i=1}^{n} (x_i^{\text{Train}} - x_i^{\text{Test}})^2}$$

### 3.6.2 Manhattan Distance

**Manhattan Distance (City-block Distance)**

The sum of the absolute differences between points across all the dimensions:

$$\text{distance}(x^{\text{Train}}, x^{\text{Test}}) = \sum_{i=1}^{n} \left| x_i^{\text{Train}} - x_i^{\text{Test}} \right|$$

where $|\cdot|$ denotes absolute value.

**Manhattan Distance: Example**

Training data: (Height, Weight) = $(160, 60)$; Testing data: (Height, Weight) = $(163, 61)$.

$$\text{distance} = |160 - 163| + |60 - 61| = 3 + 1 = 4.$$

**Question:** When is Manhattan distance preferred over Euclidean distance? (Manhattan is often preferred for high-dimensional data or when movement is restricted to axis-aligned directions, e.g., city blocks / grid paths.)

### 3.6.3 Cosine Distance

**Cosine Distance**

Based on the cosine of the angle $\theta$ between the two vectors:

$$\cos\theta = \frac{x^{\text{Train}} \cdot x^{\text{Test}}}{|x^{\text{Train}}| \times |x^{\text{Test}}|} = \frac{\sum_{i=1}^{n} \left(x_i^{\text{Train}} \times x_i^{\text{Test}}\right)}{\sqrt{\sum_{i=1}^{n} \left(x_i^{\text{Train}}\right)^2} \sqrt{\sum_{i=1}^{n} \left(x_i^{\text{Test}}\right)^2}}$$

$$\text{Distance} = 1 - \cos\theta$$

**Cosine Distance: Example**

Training data: (Height, Weight) = $(160, 60)$; Testing data: (Height, Weight) = $(163, 61)$.

$$\cos\theta = \frac{(160 \times 163) + (60 \times 61)}{\sqrt{160^2 + 60^2}\,\sqrt{163^2 + 61^2}} = 0.99999977$$

$$\text{Distance} = 1 - 0.99999977 = 2.26 \times 10^{-7}.$$

**Interpreting Cosine Distance**

Using Cosine distance, we get values between 0 and 2, where:

- 0 means the training data and test data are 100% similar to each other,
- 2 means they are absolutely different,
- values between 0 and 2 mean varying degrees of dissimilarity.

Cosine distance measures orientation (angle), not magnitude — useful when only the direction of the vector matters.

### 3.6.4 Hamming Distance

**Hamming Distance**

Hamming distance is a way for comparing two binary data strings. While comparing two binary strings of equal length, Hamming distance is the **number of bit positions in which the two bits are different**.

**Hamming Distance: Example**

Suppose there are two strings `1101 1001` and `1001 1101`. Comparing bit by bit:

$$\begin{array}{cccccccc} 1 & 1 & 0 & 1 & 1 & 0 & 0 & 1 \\ 1 & 0 & 0 & 1 & 1 & 1 & 0 & 1 \\ & +1 & & & & +1 & & \end{array}$$

The Hamming distance between the two strings is 2.

**When to Use Hamming Distance**

Hamming distance is for **categorical data**. You will encounter bit strings when you one-hot encode categorical columns of data. More details will be given in a later topic.

## 3.7 How to Select $K$?

### 3.7.1 $K$ and Outliers

**Sensitivity to Outliers**

A **low $K$-value is sensitive to outliers**, and a **higher $K$-value is more resilient to outliers** as it considers more voters to decide the prediction.

### 3.7.2 Good Value of $K$

**Choosing a Good $K$ and Breaking Ties**

To break a tie:
- Decrease $K$ by 1 until we have broken the tie.
- Put more weight on the nearest points than on the farther points.

$K$ should not be too small or too large.
**Rule of thumb:** Set

$$K = \sqrt{N},$$

where $N$ is the number of training examples in the dataset. (An explanation will be given in a supplementary note.)

### 3.7.3 Using Cross-validation to Estimate $K$

Suppose we select $K$ using the $d$-fold cross validation algorithm.

**Input of the $d$-fold cross-validation algorithm:**

- A KNN model
- A list of candidate $K$ values: $[K_1, K_2, \ldots, K_q]$
- A training dataset consisting of $N$ data samples
- The number of folds: $d$

**Output:** the best $K$ value among $[K_1, K_2, \ldots, K_q]$.

**Steps of $d$-fold Cross-validation**

1. Split the training data into $d$ groups, or folds, of approximately equal size.
2. Hold the first group. This is called the **validation set**.
3. Train your classifier on the remaining data.
4. For each value of $K$:
   - Classify each data in the validation set, using its $K$-nearest neighbors in the training set.
   - Record the error.
5. Repeat steps 2–4 for all $d$ choices of the validation set.
6. For each choice of $K$, find the **average error** across validation sets. Choose the value of $K$ with the lowest error.

**Questions:**

- How many errors are computed during the cross-validation process? (For each fold, one error per candidate $K$; with $d$ folds and $q$ candidate values of $K$, a total of $d \times q$ errors are computed, which are then averaged per $K$.)
- How to evaluate the model, i.e., measure the error? (This leads us to the next section — model evaluation.)

## 3.8 Model Evaluation

Model evaluation for classification problems:

- Confusion Matrix
- Precision, Recall, and F1 Score
- Matthew's Correlation Coefficient (MCC)

### 3.8.1 $2 \times 2$ Confusion Matrix for Binary Classification

**The Four Entries of a Confusion Matrix**

- **True Positive (TP):** the number of predictions where the classifier correctly predicts the positive class as positive.
- **True Negative (TN):** the number of predictions where the classifier correctly predicts the negative class as negative.
- **False Positive (FP):** the number of predictions where the classifier incorrectly predicts the negative class as positive.
- **False Negative (FN):** the number of predictions where the classifier incorrectly predicts the positive class as negative.

From the confusion matrix:

$$\text{Accuracy} = \frac{TP + TN}{FP + FN + TP + TN} = 1 - \text{Error}$$

$$\text{Error} = \frac{FP + FN}{FP + FN + TP + TN} = 1 - \text{Accuracy}$$

### 3.8.2 Precision and Recall

**Precision and Recall**

**Precision:** what fraction of samples predicted as a positive class were actually posi-

tive:

$$\text{Precision} = \frac{TP}{TP + FP}$$

**Recall:** what fraction of positive samples were correctly predicted as positive by the classifier:

$$\text{Recall} = \frac{TP}{TP + FN}$$

Interpretation:

- **Precision** tells us how much we can trust the model when it predicts an individual sample as Positive.
- **Recall** measures the ability of the model to find all the Positive samples in the dataset.

**Precision–Recall Trade-off**

The model may have high precision while low recall, or high recall while low precision. Imagine that we simply classify all data as positive:

- Recall $= \frac{TP}{TP + FN} = 1$ (every positive is found, $FN = 0$);
- Precision $= \frac{TP}{TP + FP}$ becomes low, because all negative samples become false positives.

So a high recall alone does **not** mean a good classifier.

### 3.8.3 F1-score

**F1-score**

F1-score combines precision and recall into a single measure. Mathematically, it is the **harmonic mean** of precision and recall:

$$\text{F1-score} = 2 \times \frac{\text{Precision} \times \text{Recall}}{\text{Precision} + \text{Recall}} = \frac{2TP}{2TP + FP + FN}$$

In a perfect world, we want a model that has a precision of 1 and a recall of 1. That means an F1-score of 1, i.e., 100% accuracy — which is often not the case for a machine learning model.

### 3.8.4 Matthew's Correlation Coefficient (MCC)

**Matthew's Correlation Coefficient**

Matthew's Correlation Coefficient (aka MCC) is a **best single-value classification metric** which helps to summarize the confusion matrix (or an error matrix):

$$\text{MCC} = \frac{TN \times TP - FN \times FP}{\sqrt{(TP + FP)(TP + FN)(TN + FP)(TN + FN)}}$$

If the prediction returns good rates for all 4 of these entities (i.e., TP, TN, FP, FN), it is said to be a reliable measure producing high scores.
To suit most correlation coefficients, MCC also ranges between $+1$ and $-1$:

- $+1$ is the best agreement between the predicted and actual values.
- 0 is no agreement — meaning that the prediction is random according to the actuals.
- $-1$ indicates total disagreement.

**Example of MCC**

Confusion matrix with entries:

$$TP = 90, \qquad FP = 4, \qquad TN = 1, \qquad FN = 5.$$

Substituting these values into the formula:

$$\text{MCC} = \frac{1 \times 90 - 5 \times 4}{\sqrt{(90+4)(90+5)(1+4)(1+5)}} = \frac{90-20}{\sqrt{94 \times 95 \times 5 \times 6}} \approx 0.14.$$

0.14 means the classifier is **very close to a random guess classifier**. Hence, MCC helps us to identify the ineffectiveness of the classifier in classifying especially the negative class samples (note $TN = 1$ out of $1 + 4 = 5$ actual negatives) — something that a high accuracy ($\frac{90+1}{100} = 0.91$) alone would hide.

### 3.8.5 Confusion Matrix for Multi-class Classification

Unlike binary classification, there are **no positive or negative classes**. We compute TP, TN, FP, FN per class (one-vs-rest).

Consider the following 3×3 confusion matrix for three classes (Apple, Orange, Mango), reconstructed from the lecture example:

| | | **Predicted** | | |
|---|---|---|---|---|
| | | Apple | Orange | Mango |
| **Actual** | Apple | 7 | 1 | 3 |
| **Actual** | Orange | 8 | 2 | 2 |
| **Actual** | Mango | 9 | 3 | 1 |

**Per-class Metrics: Apple**

To find TP, TN, FP and FN for class **Apple**:

- **TP**: both actual and predicted values are apple. So $TP = 7$.
- **TN**: both actual and predicted values are non-apple. So $TN = 1 + 2 + 2 + 3 = 8$.
- **FP**: the predicted value is apple, but the actual value is non-apple. So $FP = 8 + 9 = 17$.
- **FN**: the predicted value is non-apple, but the actual value is apple. So $FN = 1 + 3 = 4$.

Therefore:

$$\text{Precision} = \frac{TP}{TP + FP} = \frac{7}{7 + 17} = 0.29$$

$$\text{Recall} = \frac{TP}{TP + FN} = \frac{7}{7 + 4} = 0.64$$

$$\text{F1-score} = \frac{2TP}{2TP + FP + FN} = \frac{2(7)}{2(7) + 17 + 4} = \frac{14}{35} = 0.4$$

Similarly, we can calculate the measures for the other classes:

| **Class** | **Precision** | **Recall** | **F1-score** |
|---|---|---|---|
| Apple | 0.29 | 0.64 | 0.40 |
| Orange | 0.33 | 0.17 | 0.22 |
| Mango | 0.17 | 0.08 | 0.11 |

**Question:** How to combine the F1-score of each class to have a single measure for the whole model?

- Micro F1
- Macro F1
- Weighted F1

### 3.8.6 Micro F1

**Micro F1 (Micro-averaged F1-score)**

- It is calculated by considering the **total TP, total FP and total FN** of the model.
- It does not consider each class individually; it calculates the metrics **globally**.

**Micro F1: Worked Example**

For our example:

$$\text{Total } TP = 7 + 2 + 1 = 10$$
$$\text{Total } FP = (8 + 9) + (1 + 3) + (3 + 2) = 17 + 4 + 5 = 26$$
$$\text{Total } FN = (1 + 3) + (8 + 2) + (9 + 3) = 4 + 10 + 12 = 26$$
$$\text{Precision} = \frac{10}{10 + 26} = 0.28, \qquad \text{Recall} = \frac{10}{10 + 26} = 0.28$$
$$\text{Micro F1} = \frac{2TP}{2TP + FP + FN} = \frac{2(10)}{2(10) + 26 + 26} = 0.28$$

Now you can see that since we are calculating the metrics globally, all the measures become equal:

$$\text{Precision} = \text{Recall} = \text{Micro F1} = \text{Accuracy}.$$

### 3.8.7 Macro F1

**Macro F1 (Macro-averaged F1-score)**

It calculates the metrics for each class **individually** and then takes the **unweighted mean** of the measures.

**Macro F1: Worked Example**

According to the data in the table shown earlier:

$$\text{Apple's F1-score} = 0.40, \quad \text{Orange's F1-score} = 0.22, \quad \text{Mango's F1-score} = 0.11$$

Hence,

$$\text{Macro F1} = \frac{0.40 + 0.22 + 0.11}{3} = 0.24.$$

### 3.8.8 Weighted F1

**Weighted F1 (Weighted-averaged F1-score)**

Unlike Macro F1, it takes a **weighted mean** of the measures. The weight for each class is the **total number of samples** of that class.

**Weighted F1: Worked Example**

Since we had 11 Apples, 12 Oranges, and 13 Mangoes:

$$\text{Weighted F1} = \frac{(0.4 \times 11) + (0.22 \times 12) + (0.11 \times 13)}{11 + 12 + 13} = 0.24.$$

### 3.8.9 Error Measurement for Regression Problems

There are many ways to measure errors for regression. Here are a few examples, where $(a_1, a_2, \ldots, a_m)$ are the actual labels and $(p_1, p_2, \ldots, p_m)$ are the predicted labels.

**Regression Error Metrics**

**Mean Absolute Error (MAE):**

$$\text{MAE} = \frac{\sum_{i=1}^{m} |a_i - p_i|}{m}$$

**Mean Square Error (MSE):**

$$\text{MSE} = \frac{\sum_{i=1}^{m} (a_i - p_i)^2}{m}$$

**Mean Absolute Percentage Error (MAPE):**

$$\text{MAPE} = \frac{\sum_{i=1}^{m} \frac{|a_i - p_i|}{a_i}}{m}$$

## 3.9 Analysis on KNN

### 3.9.1 Pros and Cons

**Pros of KNN**

- Easy to understand.
- No assumptions about data.
- Can be applied to both **classification and regression**. (For KNN regression, the resulting value can be calculated by taking the average of the output values of the top $K$ nearest neighbors.)
- Works easily on multi-class problems.

**Cons of KNN**

- Memory intensive / computationally expensive (must store all training data and compute distances to every training sample at prediction time).
- Sensitive to the scale of data (hence standardization is important).
- Struggles when there is a high number of attributes (curse of dimensionality).
- Does not work well with categorical features, since it is difficult to find the distance between dimensions with categorical features.

### 3.9.2 Speed Up KNN

**Ways to Speed Up KNN**

- Reduce the dimension of training data (e.g., using Principal Component Analysis).
- Use good data structures to store the data, e.g., **KD-tree**.
- Parallelize the distance computations.

### 3.9.3 KNN Applications

- Handwritten character classification

- Fast content-based image retrieval
- Intrusion detection
- Fault detection for semiconductor manufacturing processes
- ...

## 3.10 Practice Problem: Purchase Prediction

**Practice Problem**

Suppose we have the age and salary of some customers, as well as whether they purchased a certain item or not:

| Age | 19 | 35 | 26 | 27 | 19 | 27 | 27 | 32 | 25 | 35 | 26 |
|---|---|---|---|---|---|---|---|---|---|---|---|
| Salary (k) | 19 | 20 | 43 | 57 | 76 | 58 | 84 | 150 | 33 | 65 | 80 |
| Purchased | No | No | No | No | No | No | No | Yes | No | No | No |

| Age | 26 | 20 | 32 | 18 | 29 | 47 | 45 | 46 | 48 | 45 | 47 |
|---|---|---|---|---|---|---|---|---|---|---|---|
| Salary (k) | 52 | 86 | 18 | 82 | 80 | 25 | 26 | 28 | 29 | 22 | 49 |
| Purchased | No | No | No | No | No | Yes | Yes | Yes | Yes | Yes | Yes |

Can we predict whether a new customer will purchase the item given only the age and salary of the customer?

### 3.10.1 Step 1 & 2: Prepare Data and Select $K$

**Training data:** the 22 customers above. **Testing data:**

$$\text{Age} = 20, \qquad \text{Salary} = 38\text{k}.$$

Let's pick $K = 5$.

### 3.10.2 Step 3: Determine the Distance Function

Let $x^{\text{Train}} = \{x_1^{\text{Train}}, x_2^{\text{Train}}, \ldots, x_n^{\text{Train}}\}$ and $x^{\text{Test}} = \{x_1^{\text{Test}}, x_2^{\text{Test}}, \ldots, x_n^{\text{Test}}\}$. Using Euclidean distance:

$$\text{distance}(x^{\text{Train}}, x^{\text{Test}}) = \sqrt{\sum_{i=1}^{n} (x_i^{\text{Train}} - x_i^{\text{Test}})^2}$$

### 3.10.3 Step 4: Compute Distances to All Training Samples

For the test point (Age = 20, Salary = 38k), e.g., for the first training sample $(19, 19)$:

$$\text{distance} = \sqrt{(19-20)^2 + (19-38)^2} = \sqrt{1+361} = \sqrt{362} \approx 19.03.$$

| Age | 19 | 35 | 26 | 27 | 19 | 27 | 27 | 32 | 25 | 35 | 26 |
|---|---|---|---|---|---|---|---|---|---|---|---|
| Salary (k) | 19 | 20 | 43 | 57 | 76 | 58 | 84 | 150 | 33 | 65 | 80 |
| Purchased | No | No | No | No | No | No | No | Yes | No | No | No |
| Distance | 19.03 | 23.43 | 7.81 | 20.25 | 38.01 | 21.19 | 46.53 | 112.64 | 7.07 | 30.89 | 42.44 |

| Age | 26 | 20 | 32 | 18 | 29 | 47 | 45 | 46 | 48 | 45 | 47 |
|---|---|---|---|---|---|---|---|---|---|---|---|
| Salary (k) | 52 | 86 | 18 | 82 | 80 | 25 | 26 | 28 | 29 | 22 | 49 |
| Purchased | No | No | No | No | No | Yes | Yes | Yes | Yes | Yes | Yes |
| Distance | 15.23 | 48.00 | 23.32 | 44.05 | 42.95 | 29.97 | 27.73 | 27.86 | 29.41 | 29.68 | 29.15 |

### 3.10.4 Step 5: Sort the Distances and Take the $K = 5$ Nearest

| Age | 25 | 26 | 26 | 19 | 27 | 27 | 32 | 35 | 45 | 46 | 47 |
|---|---|---|---|---|---|---|---|---|---|---|---|
| Salary (k) | 33 | 43 | 52 | 19 | 57 | 58 | 18 | 20 | 26 | 28 | 49 |
| Purchased | No | No | No | No | No | No | No | No | Yes | Yes | Yes |
| Distance | 7.07 | 7.81 | 15.23 | 19.03 | 20.25 | 21.19 | 23.32 | 23.43 | 27.73 | 27.86 | 29.15 |

| Age | 48 | 45 | 47 | 35 | 19 | 26 | 29 | 18 | 27 | 20 | 32 |
|---|---|---|---|---|---|---|---|---|---|---|---|
| Salary (k) | 29 | 22 | 25 | 65 | 76 | 80 | 80 | 82 | 84 | 86 | 150 |
| Purchased | Yes | Yes | No | No | No | No | No | No | No | No | Yes |
| Distance | 29.41 | 29.68 | 29.97 | 30.89 | 38.01 | 42.43 | 42.95 | 44.05 | 46.53 | 48.00 | 112.64 |

### 3.10.5 Step 6: Majority Vote of the 5 Nearest Neighbors

| Age | 25 | 26 | 26 | 19 | 27 |
|---|---|---|---|---|---|
| Salary (k) | 33 | 43 | 52 | 19 | 57 |
| Purchased | No | No | No | No | No |
| Distance | 7.07 | 7.81 | 15.23 | 19.03 | 20.25 |

Among the 5 customers, **5 of them did not purchase the item**.

**Conclusion of the Practice Problem**

We classify the test data as "No", i.e., the best guess for the customer with age = 20 and salary = 38k is that they **will not purchase the item**.

### 3.10.6 Scikit-Learn Implementation

```
from sklearn.preprocessing import LabelEncoder      # Import \
   LabelEncoder function
from sklearn.neighbors import KNeighborsClassifier  # Import \
   KNeighborsClassifier function
import numpy as np                                  # Import NumPy

# Assign features and label variables
age = np.array([19, 35, 26, 27, 19, 27, 27, 32, 25, 35, 26,
                26, 20, 32, 18, 29, 47, 45, 46, 48, 45, 47])
salary = np.array([19, 20, 43, 57, 76, 58, 84, 150, 33, 65, 80,
                   52, 86, 18, 82, 80, 25, 26, 28, 29, 22, 49])
purchased = \
   np.array(['No','No','No','No','No','No','No','Yes','No','No','No',
                      \
   'No','No','No','No','No','Yes','Yes','Yes','Yes','Yes','Yes'])

# Create LabelEncoder that used to convert string labels to numbers
encoder = LabelEncoder()
# Convert string labels into numbers
label = encoder.fit_transform(purchased)
# Combine age and salary into single list of tuples
features = list(zip(age, salary))
# Create a KNN classifier and set K=5
model = KNeighborsClassifier(n_neighbors=5)
# Train the model using the training sets
model.fit(features, label)
# Predict output
predicted = model.predict([[20, 38]])   # age = 20, salary = 38
# Convert number to string label
predicted = encoder.inverse_transform(predicted)
print(predicted)
```

Output: `['No']`.

### 3.10.7 Effect of Standardization on the Practice Problem

$$\begin{aligned} \text{Mean of age} &= 31.86, & \text{Std of age} &= 10.18, \\ \text{Mean of salary} &= 53.73, & \text{Std of salary} &= 32.46. \end{aligned}$$

After standardization using $X_{\text{new}} = \dfrac{X - \text{mean}}{\text{standard deviation}}$, the **5 closest values remain unchanged**. Testing data: Age = 20 and Salary = 38k.

| Age | 25 | 26 | 26 | 19 | 27 | 27 | 32 | 35 | 45 | 46 | 47 |
|---|---|---|---|---|---|---|---|---|---|---|---|
| Salary (k) | 33 | 43 | 52 | 19 | 57 | 58 | 18 | 20 | 26 | 28 | 49 |
| Purchased | No | No | No | No | No | No | No | No | Yes | Yes | Yes |
| Distance | 7.07 | 7.81 | 15.23 | 19.03 | 20.25 | 21.19 | 23.32 | 23.43 | 27.73 | 27.86 | 29.15 |
| Dist. (std.) | 0.51 | 0.61 | 0.73 | 0.59 | 0.90 | 0.92 | 1.33 | 1.57 | 2.48 | 2.57 | 2.67 |

| Age | 48 | 45 | 47 | 35 | 19 | 26 | 29 | 18 | 27 | 20 | 32 |
|---|---|---|---|---|---|---|---|---|---|---|---|
| Salary (k) | 29 | 22 | 25 | 65 | 76 | 80 | 80 | 82 | 84 | 86 | 150 |
| Purchased | Yes | Yes | No | No | No | No | No | No | No | No | Yes |
| Distance | 29.41 | 29.68 | 29.97 | 30.89 | 38.01 | 42.43 | 42.95 | 44.05 | 46.53 | 48.00 | 112.64 |
| Dist. (std.) | 2.76 | 2.50 | 2.68 | 1.69 | 1.17 | 1.42 | 1.57 | 1.37 | 1.58 | 1.48 | 3.65 |

The five smallest standardized distances are $0.51, 0.59, 0.61, 0.73, 0.90$ — the same five neighbors as before, so the prediction stays **No**.

### 3.10.8 Scikit-Learn Implementation with Standardization

```
from sklearn.preprocessing import LabelEncoder      # Import \
   LabelEncoder function
from sklearn.neighbors import KNeighborsClassifier  # Import \
   KNeighborsClassifier function
import numpy as np                                  # Import NumPy

# Assign features and label variables
age = np.array([19, 35, 26, 27, 19, 27, 27, 32, 25, 35, 26,
                26, 20, 32, 18, 29, 47, 45, 46, 48, 45, 47])
a_mean = np.mean(age)
a_std = np.std(age, ddof=1)   # ddof=1 is to make the divisor n-1, \
   i.e., sample std
age = (age - a_mean) / a_std
salary = np.array([19, 20, 43, 57, 76, 58, 84, 150, 33, 65, 80,
                   52, 86, 18, 82, 80, 25, 26, 28, 29, 22, 49])
s_mean = np.mean(salary)
s_std = np.std(salary, ddof=1)  # ddof=1 is to make the divisor n-1, \
   i.e., sample std
salary = (salary - s_mean) / s_std
purchased = \
   np.array(['No','No','No','No','No','No','No','Yes','No','No','No',
                        \
   'No','No','No','No','No','Yes','Yes','Yes','Yes','Yes','Yes'])

# Create LabelEncoder that used to convert string labels to numbers
encoder = LabelEncoder()
# Convert string labels into numbers
label = encoder.fit_transform(purchased)
# Combine age and salary into single list of tuples
features = list(zip(age, salary))
# Create a KNN classifier and set K=5
model = KNeighborsClassifier(n_neighbors=5)
# Train the model using the training sets
model.fit(features, label)
```

```
# Predict output
predicted = model.predict([[(20 - a_mean) / a_std, (38 - s_mean) / \
   s_std]])  # age=20, salary=38
# Convert number to string label
predicted = encoder.inverse_transform(predicted)
print(predicted)
```

Output: `['No']` — consistent with the manual computation.

# 4 K-Means Clustering

## 4.1 Motivation: The Customer Segmentation Problem

**Mall Customers Dataset**

Given the following simplified Mall customers dataset with three attributes: **age**, **income** (in thousands of dollars), and **expense score** (1–100, where 1 means low spending and 100 means high spending).

| Person | 1 | 2 | 3 | 4 | 5 | 6 | 7 | 8 | 9 | 10 |
|---|---|---|---|---|---|---|---|---|---|---|
| Age | 19 | 67 | 35 | 60 | 65 | 49 | 70 | 70 | 57 | 68 |
| Income (×1000) | 15 | 19 | 24 | 30 | 38 | 42 | 46 | 49 | 54 | 59 |
| Expense score (1–100) | 39 | 14 | 35 | 4 | 35 | 52 | 56 | 55 | 51 | 55 |
| Person | 11 | 12 | 13 | 14 | 15 | 16 | 17 | 18 | 19 | 20 |
| Age | 23 | 65 | 27 | 47 | 57 | 43 | 56 | 40 | 37 | 34 |
| Income (×1000) | 62 | 63 | 67 | 71 | 75 | 78 | 79 | 87 | 97 | 103 |
| Expense score (1–100) | 41 | 52 | 56 | 9 | 5 | 17 | 35 | 13 | 32 | 23 |

**Question:** Could we cluster the customers based on their characteristics to determine the targeted advertisement and make the marketing budget more efficient?

## 4.2 What is Clustering?

**Definition of Clustering**

**Clustering** is grouping things into "natural" categories when no class label is available.

### 4.2.1 Why Clustering?

- Labeling a large set of data samples can be **costly**.
- Clustering can be used for finding features that will be useful later for categorization.

### 4.2.2 What is Clustering for?

- **T-shirt sizing:** Group people of similar sizes together to make "small", "medium", and "large" T-shirts.
  - Tailor-made for each person: too expensive.
  - One-size-fits-all: does not fit all.
- **Document organization:** Given a collection of text documents, organize them according to their content similarities to produce a topic hierarchy.
- **Marketing:** Segment customers by their similarity to perform targeted marketing.
- **Image segmentation:** Partition a digital image into multiple image segments, also known as image regions.

## 4.3 K-Means Clustering

**K-Means Clustering**

- K-Means clustering is an **unsupervised learning** algorithm. There is no labeled data for this clustering, unlike supervised learning.
- It performs the division of data into **non-overlapping clusters** that share similarities and are dissimilar to the data belonging to another cluster.
- The term '$K$' is a number telling the system how many clusters you need to create. For example, $K = 3$ refers to three clusters.

**Supervised vs. Unsupervised**

Do not confuse K-Means with K-Nearest Neighbors (KNN). KNN is a supervised classifier that needs labeled training data; K-Means is an unsupervised clustering algorithm that works on unlabeled data. The "K" in the two algorithms also means different things: number of neighbors vs. number of clusters.

### 4.3.1 Notation

Let the set of data points be

$$D = \{x_1, x_2, x_3, \ldots, x_n\}$$

where $x_i = (x_{i1}, x_{i2}, \ldots, x_{id})$ is the $i$th data point, and $d$ is the number of dimensions (the number of features/attributes).

To perform K-Means clustering, we must first specify the desired number of clusters $K$. The K-Means algorithm partitions the given data points into $K$ non-overlapped clusters. Each cluster has a cluster center, called a **centroid**.

### 4.3.2 The K-Means Algorithm

**K-Means Clustering Algorithm**

Given $K$, the K-Means algorithm works as follows:

1. Choose $K$ (random) data points (seeds) to be the initial centroids (cluster centers).
2. Find the distances between each data point in our training set with the $K$ centroids.
3. Assign each data point to the **closest centroid** according to the distance found.
4. Re-compute the centroids using the current cluster memberships.
5. If a convergence criterion is **NOT** met, repeat steps 2 to 4.

**Question:** What steps are training? (Steps 2–4 are the iterative training loop.)

### 4.3.3 Worked Example: Mall Customers Dataset

**Example: K-Means on the Mall Customers Dataset ($K = 3$)**

Perform K-Means clustering on the simplified Mall customers dataset with attributes age, income, and expense score (the 20-person table given above).

**Step 1: Randomly pick 3 data points as initial centroids.**

- 1st centroid: $(70, 46, 56)$
- 2nd centroid: $(27, 67, 56)$
- 3rd centroid: $(37, 97, 32)$

**Step 2: Find the distances between each data point with the 3 centroids**

(Euclidean distance is used).

| Person | 1 | 2 | 3 | 4 | 5 | 6 | 7 | 8 | 9 | 10 | 11 | 12 | 13 | 14 | 15 | 16 | 17 | 18 | 19 | 20 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| DC1 | 62 | 50 | 46 | 55 | 23 | 22 | 0 | 3 | 16 | 13 | 52 | 18 | 48 | 58 | 60 | 57 | 42 | 67 | 65 | 75 |
| DC2 | 55 | 75 | 49 | 72 | 52 | 34 | 48 | 47 | 33 | 42 | 16 | 38 | 0 | 51 | 60 | 44 | 38 | 49 | 40 | 49 |
| DC3 | 84 | 86 | 73 | 76 | 65 | 60 | 65 | 63 | 51 | 54 | 39 | 48 | 40 | 36 | 40 | 25 | 26 | 22 | 0 | 11 |

where DC1, DC2, DC3 are the distances between the data points and the 1st, 2nd, and 3rd centroids, respectively. For example, for Person 1 at $(19, 15, 39)$:

$$\text{DC1} = \sqrt{(19-70)^2 + (15-46)^2 + (39-56)^2} = \sqrt{2601 + 961 + 289} = \sqrt{3851} \approx 62$$

**Step 3: Assign each data point to the closest centroid.**

| Person | 1 | 2 | 3 | 4 | 5 | 6 | 7 | 8 | 9 | 10 | 11 | 12 | 13 | 14 | 15 | 16 | 17 | 18 | 19 | 20 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Cluster | 2 | 1 | 1 | 1 | 1 | 1 | 1 | 1 | 1 | 1 | 2 | 1 | 2 | 3 | 3 | 3 | 3 | 3 | 3 | 3 |

**Step 4: Re-compute the centroids using the current cluster memberships.**
New 1st centroid (persons 2, 3, 4, 5, 6, 7, 8, 9, 10, 12):

$$x_1 = (67 + 35 + 60 + 65 + 49 + 70 + 70 + 57 + 68 + 65)/10 = 60.6$$
$$x_2 = (19 + 24 + 30 + 38 + 42 + 46 + 49 + 54 + 59 + 63)/10 = 42.4$$
$$x_3 = (14 + 35 + 4 + 35 + 52 + 56 + 55 + 51 + 55 + 52)/10 = 40.9$$

New 2nd centroid (persons 1, 11, 13):

$$x_1 = (19 + 23 + 27)/3 = 23$$
$$x_2 = (15 + 62 + 67)/3 = 48$$
$$x_3 = (39 + 41 + 56)/3 = 45.33$$

New 3rd centroid (persons 14, 15, 16, 17, 18, 19, 20):

$$x_1 = (47 + 57 + 43 + 56 + 40 + 37 + 34)/7 = 44.86$$
$$x_2 = (71 + 75 + 78 + 79 + 87 + 97 + 103)/7 = 84.29$$
$$x_3 = (9 + 5 + 17 + 35 + 13 + 32 + 23)/7 = 19.14$$

**Iterations at a glance:**

| Round | 1st centroid | 2nd centroid | 3rd centroid |
|---|---|---|---|
| 1st round | $(70, 46, 56)$ | $(27, 67, 56)$ | $(37, 97, 32)$ |
| 2nd round | $(60.6, 42.4, 40.9)$ | $(23, 48, 45.3)$ | $(44.9, 84.3, 19.1)$ |
| 3rd round | $(63.4, 44.4, 41.6)$ | $(26, 42, 42.8)$ | $(44.9, 84.3, 19.1)$ |
| 4th round | $(63.4, 44.4, 41.6)$ | $(26, 42, 42.8)$ | $(44.9, 84.3, 19.1)$ |

The 3rd and 4th rounds produce identical centroids, so the algorithm has **converged**.
**Conclusion:**

- **Cluster 1:** The average age is 63 years old, the average annual income is \$44K, and the average expense score is 42 of 100.
- **Cluster 2:** The average age is 26 years old, the average annual income is \$42K, and the average expense score is 43 of 100.
- **Cluster 3:** The average age is 45 years old, the average annual income is \$84K, and the average expense score is 19 of 100.

### 4.3.4 Implementation using Scikit-Learn

```
# Import the required libraries
import numpy as np
from sklearn.cluster import KMeans
import matplotlib.pyplot as plt
```

```
# Unlabled training data
data = np.array([[19, 15, 39], [67, 19, 14], [35, 24, 35], [60, 30, \
   4], [65, 38, 35],
[49, 42, 52], [70, 46, 56], [70, 49, 55], [57, 54, 51], [68, 59, 55],
[23, 62, 41], [65, 63, 52], [27, 67, 56], [47, 71, 9], [57, 75, 5],
[43, 78, 17], [56, 79, 35], [40, 87, 13], [37, 97, 32], [34, 103, 23]])

# Initial centroids
init_centroids = np.array([[70, 46, 56], [27, 67, 56], [37, 97, 32]])

# Create a KMeans object by specifying
# - Number of clusters (n_clusters) = 3, initial centroids (init) = \
   init_centroids
# - Number of time the k-means algorithm will be run with different
#   centroid seeds (n_init) = 1
# - Maximum number of iterations of the k-means algorithm for a single
#   run (max_iter) = 4
kmeans = KMeans(n_clusters=3, init=init_centroids, n_init=1, max_iter=4)

kmeans.fit(data)          # Compute k-means clustering
labels = kmeans.predict(data)          # Predict the closest cluster \
   each
                                       # sample in data belongs to
centroids = kmeans.cluster_centers_    # Get resulting centroids

fig = plt.figure(figsize=(10, 10))     # Figure width = 10 inches, \
   height = 10 inches
ax = fig.add_subplot(projection='3d')  # Defining 3D axes so that we \
   can plot 3D data

# Get boolean arrays representing entries with labels = 0, 1, and 2
a = np.array(labels == 0); b = np.array(labels == 1); c = \
   np.array(labels == 2)

# Plot centroids with color = black, size = 50 units, transparency = \
   20%, and put label
ax.scatter(centroids[:,0], centroids[:,1], centroids[:,2],
           c="black", s=50, alpha=0.8, label="Centroids")
# Plot data in the different clusters (1st in red, 2nd in green, 3rd \
   blue)
ax.scatter(data[a,0], data[a,1], data[a,2], c="red", s=40, label="1st \
   Cluster")
ax.scatter(data[b,0], data[b,1], data[b,2], c="green", s=40, \
   label="2nd Cluster")
ax.scatter(data[c,0], data[c,1], data[c,2], c="blue", s=40, label="3rd \
   Cluster")
ax.legend()                            # Show legend
ax.set_xlabel("Age")                   # Put x-axis label "Age"
ax.set_ylabel("Income (K)")            # Put y-axis label "Income (K)"
ax.set_zlabel("Expense Score (1-100)") # Put z-axis label "Expense \
   Score (1-100)"
ax.set_title("Customer Segmentation - K-Means Clustering")  # Put \
   figure title
```

## 4.4 Analysis on K-Means Clustering

### 4.4.1 K-Means Stopping Criterion

**When Does K-Means Stop?**

- **No/minimum re-assignments** of data points to different clusters, or
- **No/minimum change of centroids**, or
- **Minimum decrease in the Sum of Squared Error (SSE)** between successive iterations:

$$SSE = \sum_{j=1}^{k} \sum_{x \in C_j} \text{dist}(x, m_j)^2$$

where
  - $C_j$ is the $j$th cluster,
  - $m_j$ is the centroid of cluster $C_j$,
  - $\text{dist}(x, m_j)$ is the distance between data point $x$ and centroid $m_j$.

### 4.4.2 Common Questions

1. **How to choose $K$?**
   The following methods are used to find the optimal value of $K$ for K-Means clustering:
   - **Elbow method**
   - **Silhouette method**

   These methods will be discussed in advanced level machine learning courses.
2. **What distance metric should be used for K-Means?**
   It depends on your data. Normally, K-Means uses **Euclidean distance**.
3. **Do we need to standardize the data before doing K-Means clustering?**
   **Yes.** Due to the fact that clustering algorithms, including K-Means, use distance-based measurements to determine the similarity between data points, it is recommended that the data be standardized with a **mean of zero** and a **standard deviation of one**, because every dataset has features with different measurement units, such as age or income.

**Standardize Before Clustering**

Features with large numeric ranges (e.g., income in the tens of thousands) will dominate the Euclidean distance over features with small ranges (e.g., expense score 1–100). Standardizing each feature to mean 0 and standard deviation 1 prevents any single feature from dominating the distance computation.

### 4.4.3 Clustering Quality

**High Quality Clustering**

A high quality clustering:

- **Maximizes inter-clusters distance (Isolation)** — i.e., the distance between clusters.
- **Minimizes intra-clusters distance (Compactness)** — i.e., the distance between data points in the same cluster.

The quality of a clustering result depends on the algorithm, the distance function, and the application.

### 4.4.4 Weaknesses of K-Means

**Weakness 1: Sensitive to Outliers**

K-Means is **sensitive to outliers**:
- Outliers are data points that are very far away from other data points.
- Outliers could be errors in the data recording or some special data points with very different values.
- Outliers can drag centroids away and lead to undesirable clustering.

**How to deal with outliers?**
- Remove some data points in the clustering process that are much further away from the centroids than other data points. To be safe, we may want to monitor these possible outliers over a few iterations and then decide to remove them.
- Perform **random sampling**. Since in sampling we only choose a small subset of the data points, the chance of selecting an outlier is very small.
- Assign the rest of the data points to the clusters by distance or similarity comparison, or classification.

**Weakness 2: Sensitive to Initial Seeds**

The algorithm is **sensitive to the initial seeds**. Using not-so-good seeds can produce not-so-good clustering results, while different (better) seeds can produce good results. In practice, K-Means is often run multiple times with different random seeds (e.g., via `n_init` in scikit-learn) and the best run is kept.

**Weakness 3: Only Works for Hyper-Spherical Clusters**

The K-Means algorithm is **not suitable for discovering clusters that are not hyper-ellipsoids (or hyper-spheres)**. If the true clusters have elongated, curved, or irregular shapes, K-Means will fail to recover them.

### 4.4.5 Pros and Cons

- **Pros:**
  - Easy to understand and implement.
  - It is efficient, given $K$ and the number of iterations is small.
- **Cons:**
  - It is only applicable if the **mean is defined**. For categorical data, **K-mode** is used instead, i.e., the centroid is represented by the most frequent values.
  - The user needs to specify $K$.
  - It is sensitive to outliers.

**Summary**

- Despite its weaknesses, K-Means is still the **most popular** clustering algorithm due to its simplicity and efficiency — and other clustering algorithms have their own lists of weaknesses.
- There is no clear evidence that any other clustering algorithm performs better in general, although they may be more suitable for some specific types of data or applications.
- Comparing different clustering algorithms is a difficult task — no one knows the correct clusters.

### 4.4.6 Remark: Dimension Reduction using PCA

**PCA Before K-Means**

**Principal Component Analysis (PCA)** is one of the easiest, most intuitive, and most frequently used methods for **dimensionality reduction**, projecting data onto its orthogonal feature subspace.

- The main idea of PCA is to reduce the dimensionality of a data set consisting of many variables correlated with each other, while retaining the variation present in the dataset to the maximum extent.
- It is a common practice to **apply PCA before K-Means clustering** is performed.
- It is believed that it improves the clustering results in practice (noise reduction).

## 4.5 Leader Clustering (Exam Supplement)

**Leader Clustering**

**Leader Clustering** is a K-means-like clustering method that receives two parameters: an integer $K$ and a real-valued threshold $T$.

1. Start by selecting $K$ instances (called **leaders**) and assign each training instance to the cluster of its nearest leader.
2. Scan the instances: if an instance's distance to every current leader exceeds the threshold $T$, the instance itself becomes a **new leader** (a new cluster is created); otherwise it joins the cluster of its nearest leader.

Unlike K-Means, the number of clusters can **grow during training**.

**Exam-Style Practice: Leader Clustering vs. K-Means (Midterm 2024S Problem 6)**

**(a) Which method handles outliers better?** Leader Clustering. An outlier far from all leaders simply becomes a new leader: a new cluster is generated for it **without influencing the other clusters**. In K-Means, an outlier drags its cluster's centroid and distorts the clustering.

**(b) Does Leader Clustering mitigate K-Means' drawback of having to specify $K$?** Yes — the number of clusters may increase during training, so we no longer need to know $K$ in advance. But we now have to specify the threshold $T$ instead: the clustering result is **sensitive to** $T$ (a small $T$ creates many clusters; a large $T$ creates few).

## 4.6 Practice Problem: Medicine Clustering

**Practice Problem: Group Medicines with K-Means ($K = 2$)**

Given 4 types of medicines, each with two attributes (weight index and pH index):

| Medicine | A | B | C | D |
|---|---|---|---|---|
| Weight Index | 1 | 2 | 4 | 5 |
| pH Index | 1 | 1 | 3 | 4 |

Group these medicines into $K = 2$ groups using K-Means clustering. Use $(1, 1)$ and $(2, 1)$ as the initial centroids (i.e., seeds) and perform K-Means clustering until there are no re-assignments of data points to different clusters.

### Solution

**Step 1: Use the 2 given data points as initial centroids.**

- 1st centroid: $(1, 1)$
- 2nd centroid: $(2, 1)$

**Step 2: Find the distances between each data point with the 2 centroids** (Euclidean distance).
For example, for medicine C at $(4, 3)$:

$$\text{DC1} = \sqrt{(4-1)^2 + (3-1)^2} = \sqrt{9+4} = \sqrt{13} \approx 3.6$$
$$\text{DC2} = \sqrt{(4-2)^2 + (3-1)^2} = \sqrt{4+4} = \sqrt{8} \approx 2.8$$

| Medicine | A | B | C | D |
|---|---|---|---|---|
| DC1 | 0 | 1 | 3.6 | 5 |
| DC2 | 1 | 0 | 2.8 | 4.2 |

where DC1, DC2 are the distances between the data points and the 1st and 2nd centroids, respectively.
**Step 3: Assign each data point to the closest centroid.**

| Medicine | A | B | C | D |
|---|---|---|---|---|
| DC1 | 0 | 1 | 3.6 | 5 |
| DC2 | 1 | 0 | 2.8 | 4.2 |
| Cluster | 1 | 2 | 2 | 2 |

**Step 4: Re-compute the centroids using the current cluster memberships.**
New 1st centroid (cluster 1 = {A}):

$$x_1 = 1, \qquad x_2 = 1$$

New 2nd centroid (cluster 2 = {B, C, D}):

$$x_1 = (2+4+5)/3 = 3.67, \qquad x_2 = (1+3+4)/3 = 2.67$$

**Step 5: Find the distance between each data point with the 2 centroids.**
1st centroid: $(1, 1)$; 2nd centroid: $(3.67, 2.67)$.

| Medicine | A | B | C | D |
|---|---|---|---|---|
| DC1 | 0 | 1 | 3.6 | 5 |
| DC2 | 3.1 | 2.4 | 0.5 | 1.9 |

For example, for medicine A: $\text{DC2} = \sqrt{(1-3.67)^2 + (1-2.67)^2} = \sqrt{7.13 + 2.79} \approx 3.1$.
**Step 6: Assign each data point to the closest centroid.**

| Medicine | A | B | C | D |
|---|---|---|---|---|
| DC1 | 0 | 1 | 3.6 | 5 |
| DC2 | 3.1 | 2.4 | 0.5 | 1.9 |
| Cluster | 1 | 1 | 2 | 2 |

Medicine B is re-assigned from cluster 2 to cluster 1.
**Step 7: Re-compute the centroids using the current cluster memberships.**
New 1st centroid (cluster 1 = {A, B}):

$$x_1 = (1+2)/2 = 1.5, \qquad x_2 = (1+1)/2 = 1$$

New 2nd centroid (cluster 2 = {C, D}):

$$x_1 = (4+5)/2 = 4.5, \qquad x_2 = (3+4)/2 = 3.5$$

**Step 8: Find the distance between each data point with the 2 centroids.**
1st centroid: $(1.5, 1)$; 2nd centroid: $(4.5, 3.5)$.

| Medicine | A | B | C | D |
|---|---|---|---|---|
| DC1 | 0.5 | 0.5 | 3.2 | 4.6 |
| DC2 | 4.3 | 3.5 | 0.7 | 0.7 |

**Step 9: Assign each data point to the closest centroid.**

| Medicine | A | B | C | D |
|---|---|---|---|---|
| DC1 | 0.5 | 0.5 | 3.2 | 4.6 |
| DC2 | 4.3 | 3.5 | 0.7 | 0.7 |
| Cluster | 1 | 1 | 2 | 2 |

The assignments are the same as in Step 6 — no re-assignments occur, so the stopping criterion is met.

**Step 10: Re-compute the centroids (they stay the same).**

New 1st centroid:

$$x_1 = (1+2)/2 = 1.5, \qquad x_2 = (1+1)/2 = 1$$

New 2nd centroid:

$$x_1 = (4+5)/2 = 4.5, \qquad x_2 = (3+4)/2 = 3.5$$

**Iterations at a glance:**

| Round | 1st centroid | 2nd centroid |
|---|---|---|
| 1st round | $(1, 1)$ | $(3.67, 2.67)$ |
| 2nd round | $(1.5, 1)$ | $(4.5, 3.5)$ |
| 3rd round | $(1.5, 1)$ | $(4.5, 3.5)$ |

(The initial seeds were $(1, 1)$ and $(2, 1)$; after round 1 the centroids are $(1, 1)$ and $(3.67, 2.67)$.)

**Conclusion:**

- **Cluster 1** (medicines A, B): The average weight index is 1.5, and the average pH index is 1.
- **Cluster 2** (medicines C, D): The average weight index is 4.5, and the average pH index is 3.5.

### 4.6.1 Implementation using Scikit-Learn

```
# Import the required libraries
import numpy as np
from sklearn.cluster import KMeans
import matplotlib.pyplot as plt

# Unlabled training data
data = np.array([[1, 1], [2, 1], [4, 3], [5, 4]])

# Initial centroids
init_centroids = np.array([[1, 1], [2, 1]])

# Create a KMeans object by specifying
# - Number of clusters (n_clusters) = 2, initial centroids (init) = \
   init_centroids
# - Number of time the k-means algorithm will be run with different
#   centroid seeds (n_init) = 1
# - Maximum number of iterations of the k-means algorithm for a single
#   run (max_iter) = 3
kmeans = KMeans(n_clusters=2, init=init_centroids, n_init=1, max_iter=3)

kmeans.fit(data)          # Compute k-means clustering
labels = kmeans.predict(data)          # Predict the closest cluster \
   each
```

```
                                        # sample in data belongs to
centroids = kmeans.cluster_centers_     # Get resulting centroids

fig, ax = plt.subplots()  # Defining 2D axes so that we can plot 2D data

# Get boolean arrays representing entries with labels = 0 and 1
a = np.array(labels == 0); b = np.array(labels == 1)

# Plot centroids with color = black, size = 50 units, transparency = \
   20%, and put label
ax.scatter(centroids[:,0], centroids[:,1], c="black", s=50, alpha=0.8, \
   label="Centroids")
# Plot data in the different clusters (1st in red, 2nd in green) with \
   transparency = 50%
ax.scatter(data[a,0], data[a,1], c="red", s=40, alpha=0.5, label="1st \
   Cluster")
ax.scatter(data[b,0], data[b,1], c="green", s=40, alpha=0.5, \
   label="2nd Cluster")
ax.legend()                         # Show legend
ax.set_xlabel("Weight Index")       # Put x-axis label "Weight Index"
ax.set_ylabel("pH Index")           # Put y-axis label "pH Index"
ax.set_title("Medicine - K-Means Clustering")  # Put figure title
```

# 5 Artificial Neural Networks: Neurons

## 5.1 Classification

### 5.1.1 Recap: What is Classification?

**Classification**

**Classification** is the process of predicting the **class** of given data. Classes are also called **labels** or **categories**.

### 5.1.2 Classification Examples

- **Spam detection in email service:** 2 classes — spam and not spam.
- **Handwritten digit recognition:** 10 classes — $0, 1, 2, \ldots, 9$.
- **Image classification:** 3 classes — cat, dog, none of them.

### 5.1.3 Why Image Classification?

- Image recognition and classification is a **subdomain of computer vision**. It is an algorithm that looks at an image and assigns it a label from a collection of predefined labels or categories (e.g., a dog, a cat).
- Image classification and recognition are **vital components in robotics**, such as autonomous vehicles or domestic robots.
- It is also important in **security systems** such as face recognition, **image search engines** such as Google or Bing image search, and **medical imaging** such as cancer detection.

### 5.1.4 Handwritten Digits Recognition using MLP

We will build an **Artificial Neural Network** to recognize/classify handwritten digits. This is the running application that motivates everything in this chapter and the next.

## 5.2 Artificial Neural Network and Artificial Neuron

### 5.2.1 Artificial Neural Network

**Artificial Neural Network (ANN)**

- Artificial neural networks (ANN) are **one of the most powerful artificial intelligence and machine learning algorithms**.
- An ANN is considered a **universal function approximator** that transforms inputs into outputs.
- As the name suggests, it **draws inspiration from neurons in our brain** and the way they are connected.

### 5.2.2 Biological Neuron vs. Artificial Neuron

An artificial neuron mirrors the structure of a biological neuron:

| Biological Neuron | Artificial Neuron |
|---|---|
| Dendrites | Inputs |
| Cell Nucleus (computation unit) | Node |
| Axon | Output |
| Synapse | Weight |
| Neuron | Node = a linear function & an activation function |

### 5.2.3 What is an Artificial Neuron?

- An **artificial neuron** is a simple **biological neuron model** in an artificial neural network.
- It performs certain calculations to detect input data capabilities.
- One of the most simplest models of neuron is called the **perceptron** (or **threshold logic unit**).

**Neuron = Linear Function + Activation Function**

Neuron = a linear function & an activation function

- **Linear function:** a linear transformation — the **weighted sum of inputs and bias**.
- **Activation function:** a mathematical operation, deciding **whether a perceptron/neuron should be activated or not**.
- **Note:** The primary role of the activation function is to **transform the summed weighted input** from the node into an **output value** to be fed to the next hidden layer or as output.

### 5.2.4 An Example of Neuron

**Example: Computing the Output of a Single Neuron**

A neuron with two inputs computes

$$\text{output} = f(w_1 \times x_1 + w_2 \times x_2 + \theta)$$

Suppose $x_1 = 3$, $x_2 = 5$, $w_1 = 0.2$, $w_2 = 0.3$, $\theta = 0.3$, and the activation function is the sigmoid $f(x) = \dfrac{1}{1+e^{-x}}$.

**Solution.** First compute the weighted sum (linear part), then apply the activation

function:

$$\text{output} = f(0.2 \times 3 + 0.3 \times 5 + 0.3) = f(2.4) = \frac{1}{1 + e^{-2.4}} = 0.91683$$

The neuron outputs 0.91683 (a value between 0 and 1, close to 1 because the weighted sum 2.4 is positive and fairly large).

### 5.2.5 Sigmoid/Logistic Activation Function

**Sigmoid/Logistic Activation Function**

$$f(x) = \frac{1}{1 + e^{-x}}$$

- Takes **any real value** as input and outputs values in the range **0 to 1**.
- The **larger** the input, the closer the output value will be to 1; the **smaller** the input, the closer the output will be to 0.
- One of the **most widely used** activation functions.
- Commonly used for models where we have to **predict the probability as an output**.
- **Differentiable** with a **smooth gradient**.
- The limitations will be discussed later after we learn MLP.

### 5.2.6 Binary Step Activation Function

**Binary Step Activation Function**

$$f(x) = \begin{cases} 0 & \text{if } x < 0 \\ 1 & \text{if } x \geq 0 \end{cases}$$

- When using the binary step activation function, a neuron is called a **Perceptron** (or **threshold logic unit**).
- **Cannot provide multi-value outputs**, thus cannot be used for multi-class problems.
- The **gradient of the step function is zero**, which causes a hindrance in the **backpropagation** process in MLP (covered later).
- Suitable to **represent some logical operations** in a neuron.

**Sigmoid vs. Binary Step — Gradient Matters**

The sigmoid is differentiable with a smooth gradient, which is exactly what gradient-based training (backpropagation in MLPs) needs. The binary step function has **zero gradient almost everywhere**, so it **cannot** be used together with backpropagation. Also remember: the binary step only outputs 0 or 1, so it cannot handle multi-class problems on its own.

### 5.2.7 Perceptron — Logical AND Example

We will work on the problem of the **AND** logical operation. The truth table of logical AND is:

| $x_1$ | $x_2$ | **Output** |
|---|---|---|
| 0 | 0 | 0 |
| 0 | 1 | 0 |
| 1 | 0 | 0 |
| 1 | 1 | 1 |

**Setup:**

- The weights and bias are randomly generated, say $w_1 = 0.1$, $w_2 = 0.5$, $\theta = -0.8$.
- The learning rate is $\eta = 0.2$.
- The activation function is the binary step function:

$$f(x) = \begin{cases} 0 & \text{if } x < 0 \\ 1 & \text{if } x \geq 0 \end{cases}$$

### 5.2.8 Perceptron Learning Rules

**Notation:**

| | |
|---|---|
| $x_1$ and $x_2$ are inputs | $\Delta w_1$ is the change of $w_1$ |
| $\theta$ is the bias | $\Delta w_2$ is the change of $w_2$ |
| $w_1$ and $w_2$ are weights | $\Delta\theta$ is the change of $\theta$ |
| $O$ is the computed output | $\eta$ is the learning rate |
| $T$ is the target (label) | |

**Perceptron Learning Rules**

1. If the output is **correct** (i.e., $T$ is the same as $O$), the weights $w_1$ and $w_2$ are **not updated**.
2. If the output is **incorrect** (i.e., $T$ is different from $O$), the weights $w_1$ and $w_2$ are **updated** according to the following rules such that the output of the perceptron for the new weights is closer to $T$:

$$\Delta w_i = \eta(T - O)\, x_i \qquad \Delta\theta = \eta(T - O)$$
$$w_i = w_i + \Delta w_i \qquad \theta = \theta + \Delta\theta$$

where $i \in \{1, 2\}$.

**When Do Updates Happen?**

Updates happen **only on misclassified examples**. Note the factor $(T - O)$: since both $T$ and $O$ are in $\{0, 1\}$, the error term $(T - O)$ is $+1$ (when $T = 1, O = 0$), $-1$ (when $T = 0, O = 1$), or 0 (correct, no update). Consequently, $\Delta w_i = 0$ whenever the input $x_i = 0$ — an input that did not contribute to the weighted sum does not get its weight changed.

### 5.2.9 Worked Example: Training the AND Perceptron

**AND Gate — Full Perceptron Learning Trace ($\eta = 0.2$)**

Initial weights: $w_1 = 0.1$, $w_2 = 0.5$, $\theta = -0.8$.

| $x_1$ | $x_2$ | $T$ | $O$ | $\Delta w_1$ | $w_1$ | $\Delta w_2$ | $w_2$ | $\Delta\theta$ | $\theta$ |
|---|---|---|---|---|---|---|---|---|---|
| **Initial** | | | | | | | | | |
| - | - | - | - | - | 0.1 | - | 0.5 | - | -0.8 |
| **Round 1** | | | | | | | | | |
| 0 | 0 | 0 | 0 | 0 | 0.1 | 0 | 0.5 | 0 | -0.8 |
| 0 | 1 | 0 | 0 | 0 | 0.1 | 0 | 0.5 | 0 | -0.8 |
| 1 | 0 | 0 | 0 | 0 | 0.1 | 0 | 0.5 | 0 | -0.8 |
| 1 | 1 | 1 | 0 | 0.2 | 0.3 | 0.2 | 0.7 | 0.2 | -0.6 |
| **Round 2** | | | | | | | | | |
| 0 | 0 | 0 | 0 | 0 | 0.3 | 0 | 0.7 | 0 | -0.6 |
| 0 | 1 | 0 | 1 | 0 | 0.3 | -0.2 | 0.5 | -0.2 | -0.8 |
| 1 | 0 | 0 | 0 | 0 | 0.3 | 0 | 0.5 | 0 | -0.8 |
| 1 | 1 | 1 | 1 | 0 | 0.3 | 0 | 0.5 | 0 | -0.8 |
| **Round 3** | | | | | | | | | |
| 0 | 0 | 0 | 0 | 0 | 0.3 | 0 | 0.5 | 0 | -0.8 |
| 0 | 1 | 0 | 0 | 0 | 0.3 | 0 | 0.5 | 0 | -0.8 |
| 1 | 0 | 0 | 0 | 0 | 0.3 | 0 | 0.5 | 0 | -0.8 |
| 1 | 1 | 1 | 1 | 0 | 0.3 | 0 | 0.5 | 0 | -0.8 |

**Step-by-step solution.** For each example, compute the weighted sum $s = w_1x_1 + w_2x_2 + \theta$ and apply the binary step: $O = 1$ if $s \geq 0$, else $O = 0$.
**Round 1** ($w_1 = 0.1$, $w_2 = 0.5$, $\theta = -0.8$):

- **Step 1:** $(x_1, x_2) = (0, 0)$, $T = 0$. $s = 0.1(0) + 0.5(0) - 0.8 = -0.8 < 0 \Rightarrow O = 0$. Correct ($T = O$): no update.
- **Step 2:** $(0, 1)$, $T = 0$. $s = 0.1(0) + 0.5(1) - 0.8 = -0.3 < 0 \Rightarrow O = 0$. Correct: no update.
- **Step 3:** $(1, 0)$, $T = 0$. $s = 0.1(1) + 0.5(0) - 0.8 = -0.7 < 0 \Rightarrow O = 0$. Correct: no update.
- **Step 4:** $(1, 1)$, $T = 1$. $s = 0.1(1) + 0.5(1) - 0.8 = -0.2 < 0 \Rightarrow O = 0$. **Incorrect** ($T \neq O$), so update:

$$\Delta w_1 = \eta(T - O)x_1 = 0.2 \times 1 \times 1 = 0.2 \;\Rightarrow\; w_1 = 0.1 + 0.2 = 0.3$$

$$\Delta w_2 = \eta(T - O)x_2 = 0.2 \times 1 \times 1 = 0.2 \;\Rightarrow\; w_2 = 0.5 + 0.2 = 0.7$$

$$\Delta\theta = \eta(T - O) = 0.2 \times 1 = 0.2 \;\Rightarrow\; \theta = -0.8 + 0.2 = -0.6$$

**Round 2** ($w_1 = 0.3$, $w_2 = 0.7$, $\theta = -0.6$):

- **Step 1:** $(0, 0)$, $T = 0$. $s = -0.6 < 0 \Rightarrow O = 0$. Correct: no update.
- **Step 2:** $(0, 1)$, $T = 0$. $s = 0.3(0) + 0.7(1) - 0.6 = 0.1 \geq 0 \Rightarrow O = 1$. **Incorrect**, so update:

$$\Delta w_1 = 0.2 \times (0 - 1) \times 0 = 0 \;\Rightarrow\; w_1 = 0.3$$

$$\Delta w_2 = 0.2 \times (0 - 1) \times 1 = -0.2 \;\Rightarrow\; w_2 = 0.7 - 0.2 = 0.5$$

$$\Delta\theta = 0.2 \times (0 - 1) = -0.2 \;\Rightarrow\; \theta = -0.6 - 0.2 = -0.8$$

- **Step 3:** $(1, 0)$, $T = 0$. $s = 0.3(1) + 0.5(0) - 0.8 = -0.5 < 0 \Rightarrow O = 0$. Correct: no update.
- **Step 4:** $(1, 1)$, $T = 1$. $s = 0.3(1) + 0.5(1) - 0.8 = 0 \geq 0 \Rightarrow O = 1$. Correct: no update.

**Round 3** ($w_1 = 0.3$, $w_2 = 0.5$, $\theta = -0.8$):

- **Step 1:** $(0, 0)$, $T = 0$. $s = -0.8 < 0 \Rightarrow O = 0$. Correct.
- **Step 2:** $(0, 1)$, $T = 0$. $s = 0.5(1) - 0.8 = -0.3 < 0 \Rightarrow O = 0$. Correct.
- **Step 3:** $(1, 0)$, $T = 0$. $s = 0.3(1) - 0.8 = -0.5 < 0 \Rightarrow O = 0$. Correct.
- **Step 4:** $(1, 1)$, $T = 1$. $s = 0.3(1) + 0.5(1) - 0.8 = 0 \geq 0 \Rightarrow O = 1$. Correct.

All four examples are classified correctly in Round 3, so training stops. **Final weights and bias:** $w_1 = 0.3$, $w_2 = 0.5$, $\theta = -0.8$.

**Edge Case: Weighted Sum Exactly Equal to Zero**

The binary step is defined as $f(x) = 1$ when $x \geq 0$. In Round 2 Step 4 and Round 3

Step 4, the weighted sum is exactly 0, which counts as "activated" ($O = 1$). Do not use $x > 0$ by mistake — that would flip these outputs and break the solution.

### 5.2.10 Perceptron Implementation from Scratch

```
import math  # Import math module

class Perceptron:
    def __init__(self):
        """ Perceptron initialization """
        self.w = [0.1, 0.5]      # Weights
        self.theta = -0.8        # Bias
        self.learningRate = 0.2  # Eta

    def response(self, x):
        """ Perceptron output """
        # Calculate weighted sum
        y = x[0] * self.w[0] + x[1] * self.w[1] + self.theta
        # If weighted sum >= 0, return 1. Otherwise return 0
        if y >= 0:
            return 1
        else:
            return 0

    def updateWeights(self, x, iterError):  # iterError: T - O
        """ Weights update """
        # wi = wi + eta * (T-O) * xi
        self.w[0] += self.learningRate * iterError * x[0]
        self.w[1] += self.learningRate * iterError * x[1]

    def updateBias(self, iterError):
        """ Bias update """
        # theta = theta + eta * (T-O)
        self.theta += self.learningRate * iterError

    def train(self, data):
        """ Training """
        learned = True  # Should perform training
        round = 0       # Initialize round to 0
        while learned:              # While learned
            totalError = 0.0        # Initialize
            for x in data:          # For each data
                r = self.response(x)           # Calculate output
                if x[2] != r:                  # If different
                    roundError = x[2] - r      # Error
                    self.updateWeights(x, roundError)  # Update weights
                    self.updateBias(roundError)        # Update bias
                    totalError += abs(roundError)      # Update total \
   error
            round += 1
            if math.isclose(totalError, 0) or round >= 100:
                print("Total number of rounds (epochs): ", round)
                print("Final weights: ", self.w)
                print("Final bias: ", self.theta)
                learned = False

""" Main function """
perceptron = Perceptron()  # Create Perceptron object
trainset = [[0,0,0], [0,1,0], [1,0,0], [1,1,1]]  # Define training set
perceptron.train(trainset)  # Perform training
```

Each training example is a triple `[x1, x2, T]`; `x[2]` is the target label. Training stops when a full pass over the data makes zero errors (`math.isclose(totalError, 0)`) or when the safety cap of 100 rounds is reached.

### 5.2.11 Perceptron Implementation using Scikit-Learn

```
import numpy as np  # Import NumPy
from sklearn.linear_model import Perceptron  # Import Perceptron class \
   from Scikit-Learn

inputs = np.array([[0,0], [0,1], [1,0], [1,1]])  # Inputs
outputs = np.array([0, 0, 0, 1])                 # Expected outputs

# Create and fit a perceptron model
# Set learning rate (eta0)
model = Perceptron(eta0=0.2)
model.fit(inputs, outputs)

# Use the trained model to predict the outputs
predicted_outputs = model.predict([[0,0], [1,0], [1,1], [0,1]])
print(predicted_outputs)  # Print the predicated outputs
print(model.coef_)        # Print the final weights
print(model.intercept_)   # Print the bias
```

After fitting, `model.coef_` stores the learned weights, while `model.intercept_` stores the bias. The learning rate is set through the parameter `eta0`.

### 5.2.12 Stopping Rules

Training can be stopped using any of the following criteria:

1. **Use maximum training time.** The training may go a bit beyond the specified time limit in order to complete the current cycle.
2. **The maximum number of training cycles allowed.** If the maximum number of cycles is exceeded, then training stops.
3. **Use minimum accuracy change.** Training will continue until the specified accuracy change is attained.

### 5.2.13 Terminologies — Learning and Epoch

**Learning and Epoch**

- **Learning** is the process of **updating weights** in the perceptron.
- **Epoch** refers to **one cycle through the full training dataset**.

In the AND example, we set weights $w_1 = 0.1$, $w_2 = 0.5$ initially, but they cause some errors. Then, we update the weight values (ending with $w_1 = 0.3$, $w_2 = 0.5$, $\theta = -0.8$) and predict all instances correctly. The whole process takes only a few rounds/epochs — in the trace above, weight updates happen in Rounds 1 and 2, and Round 3 passes through the full dataset with zero errors, confirming convergence.

**Observation.** According to the results of the perceptron learning procedure, $w_1 = 0.3$, $w_2 = 0.5$, $\theta = -0.8$. The relationship between the inputs $x_1$, $x_2$ and the output $y$ is

$$y = \begin{cases} 0 & \text{if } 0.3x_1 + 0.5x_2 - 0.8 < 0 \\ 1 & \text{otherwise} \end{cases} = \begin{cases} 0 & \text{if } 3x_1 + 5x_2 < 8 \\ 1 & \text{otherwise} \end{cases}$$

### 5.2.14 Decision Boundary

$$y = \begin{cases} 0 & \text{if } 3x_1 + 5x_2 < 8 \\ 1 & \text{otherwise} \end{cases}$$

The straight line defined by $3x_1 + 5x_2 = 8$ is called the **Decision Boundary** of the perceptron.

**Decision Boundary**

In a binary classification problem, a **decision boundary** or **decision surface** is a **hypersurface that partitions the underlying vector space into two sets**, one for each class. The classifier will classify all the points on **one side** of the decision boundary as belonging to one class and all those on the **other side** as belonging to the other class.

### 5.2.15 Problem: Can a Perceptron Learn XOR?

**Question: Perceptron Learning for the XOR Gate**

Can we apply the same perceptron learning procedure for the XOR gate, which has the truth table below? If so, show all the steps. If not, explain why.

| $x_1$ | $x_2$ | **Output** |
|---|---|---|
| 0 | 0 | 0 |
| 0 | 1 | 1 |
| 1 | 0 | 1 |
| 1 | 1 | 0 |

**Answer: No**, a perceptron cannot implement XOR. The reason is that the labels in XOR are **not linearly separable**, i.e., we cannot draw a straight line to separate the points $(0, 0)$, $(1, 1)$ from the points $(0, 1)$, $(1, 0)$. To solve the problem, we need a **multi-layer perceptron (MLP)**.

**Single Perceptron = Linear Separator Only**

A single perceptron can only learn **linearly separable** functions (AND, OR, ...) because its decision boundary is a single straight line $w_1x_1 + w_2x_2 + \theta = 0$. XOR is not linearly separable, so no choice of $w_1$, $w_2$, $\theta$ can classify all four points correctly — the learning procedure would never converge. Stacking perceptrons into multiple layers (MLP) overcomes this limitation.

### 5.2.16 Practice Problem: OR Gate

**Practice: Apply the Perceptron Learning Procedure to the OR Gate**

Please apply the perceptron learning procedure for the OR gate. The truth table of logical OR is:

| $x_1$ | $x_2$ | **Output** |
|---|---|---|
| 0 | 0 | 0 |
| 0 | 1 | 1 |
| 1 | 0 | 1 |
| 1 | 1 | 1 |

Assume the weights and bias are randomly generated, say $w_1 = 0.1$, $w_2 = 0.5$,

$\theta = -0.8$. Also, we set learning rate $\eta = 0.2$. The activation function is

$$f(x) = \begin{cases} 0 & \text{if } x < 0 \\ 1 & \text{if } x \geq 0 \end{cases}$$

**Solution.** Full trace ($\eta = 0.2$):

| $x_1$ | $x_2$ | $T$ | $O$ | $\Delta w_1$ | $w_1$ | $\Delta w_2$ | $w_2$ | $\Delta\theta$ | $\theta$ |
|---|---|---|---|---|---|---|---|---|---|
| **Initial** | | | | | | | | | |
| - | - | - | - | - | 0.1 | - | 0.5 | - | -0.8 |
| **Round 1** | | | | | | | | | |
| 0 | 0 | 0 | 0 | 0 | 0.1 | 0 | 0.5 | 0 | -0.8 |
| 0 | 1 | 1 | 0 | 0 | 0.1 | 0.2 | 0.7 | 0.2 | -0.6 |
| 1 | 0 | 1 | 0 | 0.2 | 0.3 | 0 | 0.7 | 0.2 | -0.4 |
| 1 | 1 | 1 | 1 | 0 | 0.3 | 0 | 0.7 | 0 | -0.4 |
| **Round 2** | | | | | | | | | |
| 0 | 0 | 0 | 0 | 0 | 0.3 | 0 | 0.7 | 0 | -0.4 |
| 0 | 1 | 1 | 1 | 0 | 0.3 | 0 | 0.7 | 0 | -0.4 |
| 1 | 0 | 1 | 0 | 0.2 | 0.5 | 0 | 0.7 | 0.2 | -0.2 |
| 1 | 1 | 1 | 1 | 0 | 0.5 | 0 | 0.7 | 0 | -0.2 |
| **Round 3** | | | | | | | | | |
| 0 | 0 | 0 | 0 | 0 | 0.5 | 0 | 0.7 | 0 | -0.2 |
| 0 | 1 | 1 | 1 | 0 | 0.5 | 0 | 0.7 | 0 | -0.2 |
| 1 | 0 | 1 | 1 | 0 | 0.5 | 0 | 0.7 | 0 | -0.2 |
| 1 | 1 | 1 | 1 | 0 | 0.5 | 0 | 0.7 | 0 | -0.2 |

Step-by-step details (only the steps with updates are expanded; all other steps are already correct, so $\Delta w_1 = \Delta w_2 = \Delta\theta = 0$):

**Round 1** ($w_1 = 0.1$, $w_2 = 0.5$, $\theta = -0.8$):

- **Step 1:** $(0,0)$, $T = 0$. $s = -0.8 < 0 \Rightarrow O = 0$. Correct: no update.
- **Step 2:** $(0,1)$, $T = 1$. $s = 0.1(0) + 0.5(1) - 0.8 = -0.3 < 0 \Rightarrow O = 0$. **Incorrect**:

  $$\Delta w_1 = 0.2 \times 1 \times 0 = 0 \;\Rightarrow\; w_1 = 0.1, \qquad \Delta w_2 = 0.2 \times 1 \times 1 = 0.2 \;\Rightarrow\; w_2 = 0.7,$$
  $$\Delta\theta = 0.2 \times 1 = 0.2 \;\Rightarrow\; \theta = -0.6$$

- **Step 3:** $(1,0)$, $T = 1$. $s = 0.1(1) + 0.7(0) - 0.6 = -0.5 < 0 \Rightarrow O = 0$. **Incorrect**:

  $$\Delta w_1 = 0.2 \times 1 \times 1 = 0.2 \;\Rightarrow\; w_1 = 0.3, \qquad \Delta w_2 = 0.2 \times 1 \times 0 = 0 \;\Rightarrow\; w_2 = 0.7,$$
  $$\Delta\theta = 0.2 \times 1 = 0.2 \;\Rightarrow\; \theta = -0.4$$

- **Step 4:** $(1,1)$, $T = 1$. $s = 0.3 + 0.7 - 0.4 = 0.6 \geq 0 \Rightarrow O = 1$. Correct: no update.

**Round 2** ($w_1 = 0.3$, $w_2 = 0.7$, $\theta = -0.4$):

- **Step 1:** $(0,0)$, $T = 0$. $s = -0.4 < 0 \Rightarrow O = 0$. Correct.
- **Step 2:** $(0,1)$, $T = 1$. $s = 0.7 - 0.4 = 0.3 \geq 0 \Rightarrow O = 1$. Correct.
- **Step 3:** $(1,0)$, $T = 1$. $s = 0.3 - 0.4 = -0.1 < 0 \Rightarrow O = 0$. **Incorrect**:

  $$\Delta w_1 = 0.2 \times 1 \times 1 = 0.2 \;\Rightarrow\; w_1 = 0.5, \qquad \Delta w_2 = 0, \qquad \Delta\theta = 0.2 \;\Rightarrow\; \theta = -0.2$$

- **Step 4:** $(1,1)$, $T = 1$. $s = 0.5 + 0.7 - 0.2 = 1.0 \geq 0 \Rightarrow O = 1$. Correct.

**Round 3** ($w_1 = 0.5$, $w_2 = 0.7$, $\theta = -0.2$):

- **Step 1:** $(0,0)$, $T = 0$. $s = -0.2 < 0 \Rightarrow O = 0$. Correct.
- **Step 2:** $(0,1)$, $T = 1$. $s = 0.7 - 0.2 = 0.5 \geq 0 \Rightarrow O = 1$. Correct.
- **Step 3:** $(1,0)$, $T = 1$. $s = 0.5 - 0.2 = 0.3 \geq 0 \Rightarrow O = 1$. Correct.
- **Step 4:** $(1,1)$, $T = 1$. $s = 0.5 + 0.7 - 0.2 = 1.0 \geq 0 \Rightarrow O = 1$. Correct.

The training **converges in 3 epochs** if the initial weights are $w_1 = 0.1$, $w_2 = 0.5$, the initial bias is $\theta = -0.8$ and the learning rate is $\eta = 0.2$. The **final weights and bias** are:

$$w_1 = 0.5, \qquad w_2 = 0.7, \qquad \theta = -0.2$$

(Equivalently, the learned decision boundary is $0.5x_1 + 0.7x_2 - 0.2 = 0$, i.e., $5x_1 + 7x_2 = 2$.)

**Summary**

- **Classification** predicts the class (label/category) of given data; examples include spam detection (2 classes), handwritten digit recognition (10 classes) and image classification. Image classification is a key subdomain of computer vision, vital in robotics, security, image search and medical imaging.
- An **ANN** is a universal function approximator inspired by biological neurons: dendrites → inputs, nucleus → node, axon → output, synapse → weight.
- **Neuron = linear function (weighted sum + bias) + activation function**. Example: with $x_1 = 3$, $x_2 = 5$, $w_1 = 0.2$, $w_2 = 0.3$, $\theta = 0.3$ and sigmoid activation, output $= f(2.4) = \frac{1}{1+e^{-2.4}} = 0.91683$.
- **Sigmoid:** $f(x) = \frac{1}{1+e^{-x}}$, range $(0, 1)$, differentiable with smooth gradient, used for probability outputs. **Binary step:** $f(x) = 0$ if $x < 0$ and 1 if $x \geq 0$; defines the **perceptron** (threshold logic unit); zero gradient ⇒ incompatible with backpropagation; binary outputs only.
- **Perceptron learning rule:** if $T = O$, no update; otherwise $\Delta w_i = \eta(T - O)x_i$, $\Delta\theta = \eta(T - O)$, $w_i \leftarrow w_i + \Delta w_i$, $\theta \leftarrow \theta + \Delta\theta$.
- Worked traces: **AND** converges to $w_1 = 0.3$, $w_2 = 0.5$, $\theta = -0.8$; **OR** converges in 3 epochs to $w_1 = 0.5$, $w_2 = 0.7$, $\theta = -0.2$ (with $w_1 = 0.1$, $w_2 = 0.5$, $\theta = -0.8$, $\eta = 0.2$ initially).
- **Learning** = updating weights; an **epoch** = one full cycle through the training dataset. **Stopping rules:** maximum training time, maximum number of cycles, minimum accuracy change.
- The **decision boundary** (e.g., $3x_1 + 5x_2 = 8$ for AND) partitions the vector space into two half-spaces, one per class. A single perceptron can only learn **linearly separable** problems — it **cannot learn XOR**; that requires a **multi-layer perceptron**.
- Implementations: a perceptron can be coded from scratch (weights, bias, response, update, training loop with zero-error stop) or via scikit-learn (`Perceptron(eta0=0.2)`, `fit`, `predict`, `coef_`, `intercept_`).

# 6 Artificial Neural Networks: Multi-Layer Perceptron

## 6.1 From a Single Artificial Neuron to Multi-Layer Perceptron

### 6.1.1 Limitations of a Single Artificial Neuron

Recall that the **artificial neuron** is a simple biological neuron model used in an artificial neural network. A single neuron (perceptron) has a couple of important limitations:

1. It can only represent a **limited set of functions**.
2. It can only distinguish (by the value of its output) the sets of inputs that are **linearly separable** in the inputs.

**The XOR Problem**

One of the simplest examples of non-separable sets is the logical function **XOR**. No single straight line can separate the inputs $(0, 0), (1, 1)$ (output 0) from $(0, 1), (1, 0)$ (output 1), so a single perceptron cannot learn XOR.

### 6.1.2 Remedy: Connecting Perceptrons Together

How do we remedy these limitations? The output of one perceptron can be connected to the input of other perceptron(s). This makes it possible to extend the computational possibilities of a single perceptron.

**Multi-Layer Perceptron**

Connecting perceptrons so that the output of one feeds the input of others gives the **Multi-Layer Perceptron (MLP)**, which can represent non-linearly-separable functions such as XOR.

## 6.2 Multi-Layer Perceptron Neural Network

### 6.2.1 Architecture

A **multi-layer perceptron (MLP) neural network** is a type of **feed-forward neural network**. ("Feed-forward" means the nodes in this network do not form a cycle.) It consists of three types of layers:

- **Input layer** (also called layer $i$),
- **Hidden layer** (also called layer $j$),
- **Output layer** (also called layer $k$).

Notation used in the network diagram:

- $x_1, x_2, \ldots, x_n$ are the **inputs**.
- $\sum$ is a **summation** (weighted sum of incoming signals).
- $w_{ab}$ is the **weight** connecting node $a$ to node $b$.
- $f$ is an **activation function**.
- $\theta$ is a **bias**.

### 6.2.2 Training an MLP: Practical Questions

**How to initialize the weights and biases?**

Initialize them to some **small random values**.

**How to perform training?**

1. Let the network calculate the output with the given inputs (**forward propagation**).
2. Calculate the **error/loss function** (i.e., the difference between the calculated outputs and the target outputs).
3. Update the weights and biases between the hidden and output layer (**backward propagation**).
4. Update the weights and biases between the input and hidden layer (**backward propagation**).
5. Go back to step 1.

**When to stop training?**

- After a **fixed number of iterations** through the loop.
- Once the **training error falls below some threshold**.
- Stop at a **minimum of the error on the validation set**.

**Training Cost**

Training can be very slow in networks with multiple hidden layers!

### 6.2.3 Weight and Bias Update Rules

Assume the activation function is the **sigmoid function** $\sigma(x) = \dfrac{1}{1+e^{-x}}$, and the error/loss function is

$$E = \frac{1}{2}\sum_{\text{all } k}(O_k - T_k)^2.$$

The formulas for updating weights and biases are derived by **minimizing the loss function using gradient descent**.

**Output layer (layer $k$):**

$$\delta_k = (O_k - T_k)\, O_k(1 - O_k)$$
$$w_{jk} \leftarrow w_{jk} - \eta\, \delta_k O_j, \qquad \theta_k \leftarrow \theta_k - \eta\, \delta_k$$

**Hidden layer (layer $j$):**

$$\delta_j = O_j(1 - O_j)\sum_{k \in K} \delta_k\, w_{jk}$$
$$w_{ij} \leftarrow w_{ij} - \eta\, \delta_j O_i, \qquad \theta_j \leftarrow \theta_j - \eta\, \delta_j$$

**Meaning of the Symbols**

- $O_i$ is the input in layer $i$; $\theta_j$ is the bias of node in layer $j$.
- $O_j$ is the output of node in layer $j$; $\theta_k$ is the bias of node in layer $k$.
- $O_k$ is the output of node in layer $k$; $T_k$ is the target output of node in layer $k$.
- $w_{ij}$ is the weight connecting node in layer $i$ to node in layer $j$.
- $w_{jk}$ is the weight connecting node in layer $j$ to node in layer $k$.
- $\delta_k$ is the change of parameters between hidden and output layer, used to update $w_{jk}$ and $\theta_k$.
- $\delta_j$ is the change of parameters between input and hidden layer, used to update $w_{ij}$ and $\theta_j$.
- $\eta$ is the **learning rate**.

## 6.3 Gradient Descent

### 6.3.1 Intuitive Idea of Gradient Descent

Consider an error/loss function plotted against a weight. It has **many local minima** (points where the gradient is 0, i.e., the slope is horizontal).

- If we choose an initial weight (say point #1) at a certain learning rate, and the slope at that point is negative, then by moving towards the negative of the slope at that point, we converge to the minimum near that starting region (say point #4).
- But if we start at a different initial weight, we may descend into a completely different local minimum.

**Local Minima**

Gradient descent only guarantees convergence to a **local** minimum, not the global minimum. The result depends on the **initial weights** and the **learning rate**.

### 6.3.2 Formal Update Rule

To minimize the function $E = \frac{1}{2}\sum_{\text{all } k}(O_k - T_k)^2$, we can follow the **negative of the gradient** (slope in 2D), and thus go in the direction of **steepest descent**. This is **gradient descent**.

Formally, for a parameter $\alpha$ ($\alpha$ can be a weight or a bias), if we start at a point $\alpha_0$ and move a positive distance $\eta$ in the direction of the negative gradient, then our new and improved $\alpha_1$ will look like this:

$$\alpha_1 = \alpha_0 - \eta \nabla E(\alpha_0)$$

More generally, we can write a formula for tuning $\alpha_t$ into $\alpha_{t+1}$ (the subscript $t$ in $\alpha_t$ represents the iteration step):

$$\alpha_{t+1} = \alpha_t - \eta \nabla E(\alpha_t)$$

Starting from an initial guess $\alpha_0$, we keep improving little by little until we find a local minimum $\alpha_T$, i.e., $\nabla E(\alpha_T) = 0$.

**Implementation**

This process may take thousands of iterations, so we typically implement gradient descent with a computer.

### 6.3.3 Why Gradient Descent Instead of a Closed-Form Solution?

**Question:** Why is gradient descent used rather than directly finding a closed-form mathematical solution?

**Answers:**

- For most **non-linear regression problems**, there is **no closed-form solution**.
- Even for those with a closed-form solution, gradient descent is **computationally cheaper (faster)** to find the solution.

### 6.3.4 Sigmoid/Logistic Activation Function Review

For multi-layer perceptrons, the **Sigmoid function** is used as an activation function for neurons since it is **continuous and differentiable** (i.e., it can be used to find the weight updating rules easily).

$$\sigma(x) = \frac{1}{1 + e^{-x}}$$

**Derivative of the Sigmoid**

$$\frac{d\,\sigma(x)}{d\,x} = z \cdot (1 - z), \qquad \text{where } z = \sigma(x).$$

This simple form (expressed using the output itself) is exactly why the update rules contain the factors $O_k(1 - O_k)$ and $O_j(1 - O_j)$.

### 6.3.5 Summary of the Learning Steps

1. **Forward propagation:** Run the network forward with your input data to get the network output.

2. **Backward propagation:** For each output node, compute

$$\delta_k = (O_k - T_k)\, O_k(1 - O_k).$$

3. **Backward propagation:** For each hidden node, compute

$$\delta_j = O_j(1 - O_j) \sum_{k \in K} \delta_k\, w_{jk}.$$

4. **Backward propagation:** Update the weights and biases as follows:

$$w_{jk} \leftarrow w_{jk} - \eta\, \delta_k O_j, \qquad \theta_k \leftarrow \theta_k - \eta\, \delta_k,$$
$$w_{ij} \leftarrow w_{ij} - \eta\, \delta_j O_i, \qquad \theta_j \leftarrow \theta_j - \eta\, \delta_j,$$

where $\eta$ denotes the learning rate; typically, $\eta$ is a value between 0 and 1.

## 6.4 Worked Example: Learning XOR with an MLP

**XOR Logical Operation**

Suppose that we will work on the problem of the XOR logical operation. The truth table of logical XOR is:

| $x_1$ | $x_2$ | $T$ |
|---|---|---|
| 0 | 0 | 0 |
| 0 | 1 | 1 |
| 1 | 0 | 1 |
| 1 | 1 | 0 |

Assume the weights are randomly generated, say $w_1 = -0.65$, $w_2 = 0.64$, $w_3 = 1.11$, $w_4 = 0.84$, $w_5 = 0.86$, and $w_6 = -1.38$. Also, assume the biases are randomly generated, say $\theta_1 = 0$, $\theta_2 = 0$, and $\theta_3 = 0$. Finally, assume $\eta = 0.5$. The activation function is $f(x) = \dfrac{1}{1 + e^{-x}}$.

The network has: two inputs $x_1, x_2$; two hidden nodes $j_1, j_2$ with $w_1, w_2$ feeding $j_1$ and $w_3, w_4$ feeding $j_2$; one output node $k$ fed by $w_5$ (from $j_1$) and $w_6$ (from $j_2$).

### 6.4.1 Round 1 — Step 1: Forward Propagation

Inputs: $x_1 = 0$, $x_2 = 0$; Actual Output: $T = 0$; $\eta = 0.5$.

Weights: $w_1 = -0.65$, $w_2 = 0.64$, $w_3 = 1.11$, $w_4 = 0.84$, $w_5 = 0.86$, $w_6 = -1.38$.
Biases: $\theta_1 = 0$, $\theta_2 = 0$, $\theta_3 = 0$.

**Calculations:**

$$\sum\nolimits_1 = x_1 \cdot w_1 + x_2 \cdot w_2 = 0 \cdot (-0.65) + 0 \cdot (0.64) = 0$$
$$\text{Output } (O_{j1}): \; f(\textstyle\sum_1 + \theta_1) = f(0 + 0) = 0.5$$
$$\textstyle\sum_2 = x_1 \cdot w_3 + x_2 \cdot w_4 = 0 \cdot 1.11 + 0 \cdot 0.84 = 0$$
$$\text{Output } (O_{j2}): \; f(\textstyle\sum_2 + \theta_2) = f(0 + 0) = 0.5$$
$$\textstyle\sum_3 = O_{j1} \cdot w_5 + O_{j2} \cdot w_6 = 0.5 \cdot (0.86) + 0.5 \cdot (-1.38) = -0.26$$
$$\text{Output } (O_k): \; f(\textstyle\sum_3 + \theta_3) = f(-0.26 + 0) = 0.435364$$

### 6.4.2 Round 1 — Step 1: Backward Propagation

$$\delta_k = (O_k - T_k)\, O_k(1 - O_k) = (0.435364 - 0)(0.435364)(1 - 0.435364) = 0.107022$$

**Update hidden-to-output weights and output bias:**

$$\text{New } w_5 = \text{Old } w_5 - \eta\,\delta_k O_{j1} = 0.86 - (0.5)(0.107022)(0.5) = 0.833245$$

$$\text{New } w_6 = \text{Old } w_6 - \eta\,\delta_k O_{j2} = -1.38 - (0.5)(0.107022)(0.5) = -1.406756$$

$$\text{New } \theta_3 = \text{Old } \theta_3 - \eta\,\delta_k = 0 - (0.5)(0.107022) = -0.053511$$

**Hidden node deltas:**

$$\delta_{j1} = O_{j1}(1 - O_{j1}) \sum_{k \in K} \delta_k w_{jk} = 0.5(1 - 0.5)(0.107022)(0.86) = 0.023010$$

$$\delta_{j2} = O_{j2}(1 - O_{j2}) \sum_{k \in K} \delta_k w_{jk} = 0.5(1 - 0.5)(0.107022)(-1.38) = -0.036923$$

**Update input-to-hidden weights and hidden biases:**

$$\text{New } w_1 = \text{Old } w_1 - \eta\,\delta_{j1} x_1 = -0.65 - 0.5(0.023010)(0) = -0.65$$

$$\text{New } w_2 = \text{Old } w_2 - \eta\,\delta_{j1} x_2 = 0.64 - 0.5(0.023010)(0) = 0.64$$

$$\text{New } w_3 = \text{Old } w_3 - \eta\,\delta_{j2} x_1 = 1.11 - 0.5(-0.036923)(0) = 1.11$$

$$\text{New } w_4 = \text{Old } w_4 - \eta\,\delta_{j2} x_2 = 0.84 - 0.5(-0.036923)(0) = 0.84$$

$$\text{New } \theta_1 = \text{Old } \theta_1 - \eta\,\delta_{j1} = 0 - (0.5)(0.023010) = -0.011505$$

$$\text{New } \theta_2 = \text{Old } \theta_2 - \eta\,\delta_{j2} = 0 - (0.5)(-0.036923) = 0.018462$$

**Zero Inputs Freeze Weights**

Since $x_1 = x_2 = 0$ in this step, the input-to-hidden weights $w_1, w_2, w_3, w_4$ do not change (the update term $\eta\,\delta_j x_i$ is zero). Only the biases of the hidden nodes change. The weights connected to the hidden layer $(w_5, w_6)$ do change because the hidden outputs $O_{j1}, O_{j2}$ are non-zero.

### 6.4.3 Round 1 — Step 2: Forward Propagation

Inputs: $x_1 = 0$, $x_2 = 1$; Actual Output: $T = 1$; $\eta = 0.5$.

Weights: $w_1 = -0.65$, $w_2 = 0.64$, $w_3 = 1.11$, $w_4 = 0.84$, $w_5 = 0.833245$, $w_6 = -1.406756$.

Biases: $\theta_1 = -0.011505$, $\theta_2 = 0.018462$, $\theta_3 = -0.053511$.

**Calculations:**

$$\textstyle\sum_1 = x_1 \cdot w_1 + x_2 \cdot w_2 = 0 \cdot (-0.65) + 1 \cdot (0.64) = 0.64$$

$$\text{Output } (O_{j1}): \; f(\textstyle\sum_1 + \theta_1) = f(0.64 + (-0.011505)) = 0.652148$$

$$\textstyle\sum_2 = x_1 \cdot w_3 + x_2 \cdot w_4 = 0 \cdot 1.11 + 1 \cdot 0.84 = 0.84$$

$$\text{Output } (O_{j2}): \; f(\textstyle\sum_2 + \theta_2) = f(0.84 + 0.018462) = 0.702339$$

$$\textstyle\sum_3 = O_{j1} \cdot w_5 + O_{j2} \cdot w_6 = 0.652148 \cdot 0.833245 + 0.702339 \cdot (-1.406756) = -0.444621$$

$$\text{Output } (O_k): \; f(\textstyle\sum_3 + \theta_3) = f(-0.444621 - 0.053511) = 0.377980$$

### 6.4.4 Round 1 — Step 2: Backward Propagation

$$\delta_k = (O_k - T_k)\, O_k(1 - O_k) = (0.377980 - 1)(0.377980)(1 - 0.377980) = -0.146244$$

**Update hidden-to-output weights and output bias:**

$$\text{New } w_5 = \text{Old } w_5 - \eta\,\delta_k O_{j1} = 0.833245 - (0.5)(-0.146244)(0.652148) = 0.880931$$

$$\text{New } w_6 = \text{Old } w_6 - \eta\,\delta_k O_{j2} = -1.406756 - (0.5)(-0.146244)(0.702339) = -1.355400$$

$$\text{New } \theta_3 = \text{Old } \theta_3 - \eta\,\delta_k = -0.053511 - (0.5)(-0.146244) = 0.019611$$

**Hidden node deltas:**

$$\delta_{j1} = O_{j1}(1-O_{j1}) \sum_{k\in K} \delta_k w_{jk} = 0.652148\,(1-0.652148)(-0.146244)(0.833245) = -0.027463$$

$$\delta_{j2} = O_{j2}(1-O_{j2}) \sum_{k\in K} \delta_k w_{jk} = 0.702339\,(1-0.702339)(-0.146244)(-1.406756) = 0.043010$$

**Update input-to-hidden weights and hidden biases:**

$$\text{New } w_1 = \text{Old } w_1 - \eta\,\delta_{j1} x_1 = -0.65 - 0.5(-0.027463)(0) = -0.65$$

$$\text{New } w_2 = \text{Old } w_2 - \eta\,\delta_{j1} x_2 = 0.64 - 0.5(-0.027463)(1) = 0.653732$$

$$\text{New } w_3 = \text{Old } w_3 - \eta\,\delta_{j2} x_1 = 1.11 - 0.5(0.043010)(0) = 1.11$$

$$\text{New } w_4 = \text{Old } w_4 - \eta\,\delta_{j2} x_2 = 0.84 - 0.5(0.043010)(1) = 0.818495$$

$$\text{New } \theta_1 = \text{Old } \theta_1 - \eta\,\delta_{j1} = -0.011505 - (0.5)(-0.027463) = 0.002227$$

$$\text{New } \theta_2 = \text{Old } \theta_2 - \eta\,\delta_{j2} = 0.018462 - (0.5)(0.043010) = -0.003043$$

### 6.4.5 Round 10000 — Step 4: Backward Propagation (Converged)

After many iterations ($\eta = 0.5$), the parameters converge to:

$$\begin{aligned}
&\text{New } w_5 = 9.533777, \quad \text{New } w_6 = -9.290053,\\
&\text{New } w_1 = -6.251654, \quad \text{New } w_2 = 6.229623,\\
&\text{New } w_3 = -5.717901, \quad \text{New } w_4 = 5.967069,\\
&\text{New } \theta_3 = 4.417774, \quad \text{New } \theta_1 = -3.406953, \quad \text{New } \theta_2 = 2.851217.
\end{aligned}$$

**Round 10001, Forward Propagation (verification):**

| Input | Target | Network Output |
|---|---|---|
| $(x_1 = 0,\ x_2 = 0)$ | 0 | $y = 0.016973$ |
| $(x_1 = 0,\ x_2 = 1)$ | 1 | $y = 0.984139$ |
| $(x_1 = 1,\ x_2 = 0)$ | 1 | $y = 0.980513$ |
| $(x_1 = 1,\ x_2 = 1)$ | 0 | $y = 0.015179$ |

**XOR Learned**

After 10000 rounds of training, the MLP outputs are very close to the XOR targets $(0, 1, 1, 0)$ — something a single perceptron can never achieve.

## 6.5 Multi-Layer Perceptron Implementation from Scratch

### 6.5.1 Initialization

```
import numpy as np # Import NumPy

class MultiLayerPerceptron:
    def __init__(self):
        """ Multi-layer perceptron initialization """
        self.wij = np.array([ # Weights between input and hidden layer
            [-0.65, 0.64],    # w1, w2
            [1.11, 0.84]      # w3, w4
        ])
        self.wjk = np.array([ # Weights between hidden and output layer
            [0.86],           # w5
```

```
            [-1.38]           # w6
        ])
        self.tj = np.array([  # Biases of nodes in the hidden layer
            [0.0],            # Theta 1
            [0.0]             # Theta 2
        ])
        self.tk = np.array([[0.0]]) # Bias in the output layer, Theta 3
        self.learning_rate = 0.5    # Eta
        self.max_round = 10000      # Number of rounds
```

### 6.5.2 Sigmoid and Forward Propagation

```
    def sigmoid(self, z, sig_cal=False):
        """ Sigmoid function and the calculation of z * (1-z) """
        # If sig_cal is True, return sigmoid
        if sig_cal: return 1 / (1 + np.exp(-z))
        # If sig_cal is False, return z * (1-z)
        return z * (1 - z)

    def forward(self, x, predict=False):
        """ Forward propagation """
        # Get the training example as a column vector. Shape (2,1)
        sample = x.reshape(len(x), 1)
        # Compute the hidden node outputs. Shape (2,1)
        yj = self.sigmoid(self.wij.dot(sample) + self.tj, sig_cal=True)
        # Compute the output of node in the output layer. Shape (1,1)
        yk = self.sigmoid(self.wjk.transpose().dot(yj) + self.tk,
                          sig_cal=True)
        # If predict is True, return the output of node in the layer \
    node
        if predict: return yk
        # Return (data sample, hidden node outputs, predicted output)
        return (sample, yj, yk)
```

### 6.5.3 Backpropagation

```
    def backpropagation(self, values, Tk):
        Oi = values[0] # Input sample
        Oj = values[1] # Hidden node outputs
        Ok = values[2] # Predicted output
        """ back propagation """
        # deltak = (Ok-Tk)Ok(1-Ok). Shape (1,1)
        deltaK = np.multiply((Ok - Tk), self.sigmoid(Ok))
        # deltaj = Oj(1-Oj)(deltak)(Wjk). Shape (2,1)
        deltaJ = np.multiply(self.sigmoid(Oj), deltaK[0][0] * self.wjk)
        # wjk = wjk - eta(deltak)(Oj). Shape (2,1)
        self.wjk -= self.learning_rate * deltaK[0][0] * Oj
        # thetak = thetak - eta(deltak). Shape (1,1)
        self.tk -= self.learning_rate * deltaK
        # wij = wij - eta(deltaj)(Oi). Shape (2,2)
        s = self.learning_rate * deltaJ.dot(Oi.T)
        # Alternative: s = self.learning_rate * deltaJ * Oi.T
        self.wij -= s
        # thetaj = thetaj - eta(deltaj). Shape (2,1)
        self.tj -= self.learning_rate * deltaJ
```

### 6.5.4 Training Loop

```
    def train(self, X, T):
        """ Training """
        for i in range(self.max_round): # Train max_round number of \
   rounds
            for j in range(m):          # Use all the samples
                print(f'Iteration: {i+1} and {j+1}')
                values = self.forward(X[j])        # Forward propagation
                self.backpropagation(values, T[j]) # Back propagation

    def print(self):
        print(f'wij: {self.wij}')
        print(f'wjk: {self.wjk}')
        print(f'tj: {self.tj}')
        print(f'tk: {self.tk}')

m = 4 # Number of training samples
```

### 6.5.5 Data, Training, and Testing

```
X = np.array([ # Input data
    [0, 0],
    [0, 1],
    [1, 0],
    [1, 1]
])
T = np.array([ # Target values
    [0],
    [1],
    [1],
    [0]
])

mlp = MultiLayerPerceptron() # Create an object
mlp.train(X, T)              # Call train function
mlp.print()                  # Print all the parameter values

for k in range(m):           # Testing
    Ok = mlp.forward(X[k], True)
    print(f'y{k}: {Ok}')
```

**These Formulas Are Specific to Sigmoid + Squared Error**

The update formulas

$$\delta_k = (O_k - T_k)O_k(1 - O_k), \qquad \delta_j = O_j(1 - O_j)\sum_{k \in K} \delta_k w_{jk}$$

only apply for the error/loss function $E = \frac{1}{2}\sum_{\text{all } k}(O_k - T_k)^2$ and the Sigmoid activation function. If a different error/loss function or activation function is used in an MLP, we need to **differentiate the error/loss function again** (i.e., re-derive the update rules, similar to the derivations in the supplementary notes).

## 6.6 Handwritten Digits Recognition using MLP

We will build an MLP artificial neural network to recognize/classify handwritten digits.

### 6.6.1 Terminologies

**Key Terms**

- **Training data:** The data our model learns from. Sometimes split into training and validation data.
- **Testing data:** The data kept secret from the model until after it has been trained. Testing data is used to evaluate our model.
- **Loss function:** A function used to (1) do differentiation to update parameters during training; (2) monitor each epoch to decide the convergence during training; (3) quantify how accurate a model's predictions were. The only objective of the neural network is optimizing/minimizing the loss function.
- **Optimization algorithm:** Controls exactly how the parameters are adjusted during training, e.g., gradient descent.

### 6.6.2 Dataset: MNIST

We use the **Modified National Institute of Standards and Technology (MNIST)** dataset. This dataset contains two sets of samples:

- **Training data:** 60000 images of 28 pixel × 28 pixel handwritten digits from 0 to 9.
- **Testing data:** 10000 images of 28 pixel × 28 pixel.

### 6.6.3 Procedures

1. Import the required libraries and define a global variable
2. Load the data
3. Explore the data
4. Build the model
5. Compile the model
6. Train the model
7. Evaluate the model accuracy
8. Save the model
9. Use the model
10. Plot the confusion matrix

### 6.6.4 Step 1: Import the Required Libraries and Define a Global Variable

```
import numpy as np                          # Import numpy library
import matplotlib.pyplot as plt             # Import matplot library
import seaborn as sn                        # Import seaborn library
import pandas as pd                         # Import pandas library
import math                                 # Import math library
import datetime                             # Import datetime library
from keras.datasets import mnist            # Import MNIST dataset
from keras.models import Sequential         # Import Sequential class
from keras.layers import Dense, Flatten  # Import Dense, Flatten class
from keras import regularizers              # Import regularizers
from tensorflow.keras.optimizers import Adam  # Import Adam optimizer
# Import sparse categorical crossentropy loss
from keras.metrics import sparse_categorical_crossentropy
from keras.callbacks import TensorBoard  # Import TensorBoard class
from keras.models import load_model         # Import load_model method
from tensorflow.keras.utils import plot_model  # Import plot_model \
   method
from tensorflow.math import confusion_matrix   # Import \
   confusion_matrix method
from tensorflow.keras import activations # Import activations module
```

```
epochs = 1 # Number of epochs to train the model
```

### 6.6.5 Step 2: Load the Data

```
# x_train is a NumPy array of grayscale image data
# y_train is a NumPy array of digit labels (in range 0-9)
# x_test is a NumPy array of grayscale image data
# y_test is a NumPy array of digit labels (in range 0-9)
(x_train, y_train), (x_test, y_test) = mnist.load_data()
```

```
# Print the data shape
print('x_train:', x_train.shape)
print('y_train:', y_train.shape)
print('x_test:', x_test.shape)
print('y_test:', y_test.shape)
```

Output:

```
x_train: (60000, 28, 28)
y_train: (60000,)
x_test: (10000, 28, 28)
y_test: (10000,)
```

### 6.6.6 Step 3: Explore the Data

```
# Show the pixel values (from 0 - 255) of the first image
pd.DataFrame(x_train[0])
```

```
# Show the image in binary form
plt.imshow(x_train[0], cmap=plt.cm.binary)
plt.show()
```

Display a grid of 25 sample images:

```
numbers_to_display = 25 # Display 25 images
# Compute number of images per row
num_cells = math.ceil(math.sqrt(numbers_to_display))
plt.figure(figsize=(10, 10)) # 10x10 inches
# Show all the images
for i in range(numbers_to_display):
    # number of rows, number of columns
    plt.subplot(num_cells, num_cells, i + 1)
    plt.xticks([])  # Remove all xticks
    plt.yticks([])  # Remove all yticks
    plt.grid(False) # No grid lines
    # Display data as a binary image
    plt.imshow(x_train[i], cmap=plt.cm.binary)
    # Show training image labels
    plt.xlabel(y_train[i])
plt.show() # Show the figure
```

### 6.6.7 Step 4: Build the Model

Instead of building the model from scratch, we will use the software library **Keras**.

**Layers:**

- **Layer 1:** Flatten layer that will flatten a 2D image into 1D.

- **Layer 2:** Hidden Dense layer 1 with 128 neurons and ReLU activation.
- **Layer 3:** Hidden Dense layer 2 with 128 neurons and ReLU activation.
- **Layer 4:** Output Dense layer with 10 Softmax outputs. This layer represents the guess, i.e., the 0th output represents the probability that the input digit is 0, the 1st output represents the probability that the input digit is 1, etc.

**ReLU Activation Function**

**ReLU (Rectified Linear Unit)**

$$f(x) = \max(0, x)$$

- A derivable function that allows for backpropagation while simultaneously making it **computationally efficient**.
- The neurons will only be deactivated if the output of the linear transformation is less than 0.
- **Accelerates the convergence of gradient descent** due to its linear property.
- **Limitation:** the Dying ReLU problem.

**The Dying ReLU Problem**

- The negative side of the graph makes the gradient value **zero**.
- During the backpropagation process, the weights and biases for some neurons are **not updated**.
- This creates **dead neurons** which never get activated.
- All the negative input values become zero immediately, which **decreases the model's ability** to fit or train from the data properly.

**Softmax Activation Function** The output of the sigmoid function is in the range of 0 to 1, which can be thought of as a probability. But what about **multi-class classification**?

**Softmax Activation Function**

$$\text{softmax}(z_i) = \frac{e^{z_i}}{\sum_{j \in \text{output layer}} e^{z_j}}$$

- A combination of multiple sigmoids.
- Calculates the **relative probabilities**. Similar to the sigmoid/logistic activation function, the Softmax function returns the probability of each class.
- Most commonly used as an activation function for the **output layer** of the neural network in the case of **multi-class classification**.

```
model = Sequential() # Create a Sequential object

# Input layer
# Add a flatten layer to convert the image data to a single column
model.add(Flatten(input_shape=x_train.shape[1:]))

# Hidden layer 1
# Add a dense layer (fully-connected layer) and use ReLU activation \
   function.
# This layer uses L2 loss, computed as l2 * reduce_sum(square(x)),
# where l2 is 0.002
model.add(Dense(units=128, activation='relu',
                kernel_regularizer=regularizers.l2(0.002)))
```

```
# Hidden layer 2
# Add a dense layer (fully-connected layer) and use ReLU activation \
   function.
model.add(Dense(units=128, activation=activations.relu,
                kernel_regularizer=regularizers.l2(0.002)))

# Output layer
# Add a dense layer (fully-connected layer) and use softmax activation.
model.add(Dense(units=10, activation='softmax'))

# We apply kernel_regularizer to penalize the weights which are very \
   large
# causing the network to overfit; after applying kernel_regularizer the
# weights will become smaller.



model.summary() # Print model summary
plot_model(model, show_shapes=True, show_layer_names=True) # Plot the \
   model
```

```
Model: "sequential"
_________________________________________________________________
Layer (type)                 Output Shape              Param #
=================================================================
flatten (Flatten)            (None, 784)               0
_________________________________________________________________
dense (Dense)                (None, 128)               100480
_________________________________________________________________
dense_1 (Dense)              (None, 128)               16512
_________________________________________________________________
dense_2 (Dense)              (None, 10)                1290
=================================================================
Total params: 118,282
Trainable params: 118,282
Non-trainable params: 0
_________________________________________________________________
```

**Question:** How to calculate #param in a dense layer?

**Counting Parameters in a Dense Layer**

In a dense layer,

$$\begin{aligned}\#\text{param} &= \#\text{weights} + \#\text{biases} \\ &= \#\text{prev. nodes} \cdot \#\text{curr. nodes} + \#\text{curr. nodes} \\ &= (\#\text{prev. nodes} + 1) \cdot \#\text{curr. nodes}\end{aligned}$$

For example:

- dense layer 1: $(784 + 1) \times 128 = 100480$;
- dense layer 2: $(128 + 1) \times 128 = 16512$;
- output layer: $(128 + 1) \times 10 = 1290$.

### 6.6.8 Step 5: Compile the Model

```
# Create an Adam optimizer by creating an object
# Set learning rate to 0.001
# Note: Optimizers are Classes or methods used to change the attributes
# of your machine/deep learning model such as weights and learning rate
# in order to reduce the losses.
adam_optimizer = Adam(learning_rate=0.001)
```

```
# Compile the model, i.e., configures the model for training
# Use crossentropy loss function since there are two or more label \
   classes.
# Use adam algorithm (a stochastic gradient descent method)
# Use accuracy as metric, i.e., report on accuracy
model.compile(
    optimizer=adam_optimizer,
    loss=sparse_categorical_crossentropy,
    metrics=['accuracy']
)
```

**Categorical / Multi-class Cross-entropy Loss**

$$\text{CCE} = -\sum_{i \in C} y_i \cdot \log(p_i),$$

where $y$ represents the actual labels, usually a **one-hot vector**; $p$ represents predictions, usually the output of **Softmax**.

- Mostly used to measure the **distance between two distributions**.
- Measures how close the predictions (model distribution) are to the actual labels (data distribution).

### 6.6.9 Step 6: Train the Model

```
# TensorBoard is a visualization tool, enabling us to track metrics like
# loss and accuracy, visualize the model graph, view histograms.
log_dir = ".logs/fit/" + \
   datetime.datetime.now().strftime("%Y%m%d-%H%M%S")
# log_dir: the path of the directory where to save the log files
# histogram_freq: frequency (in epochs) at which to compute activation
# and weight histograms for the layers of the model
tensorboard_callback = TensorBoard(log_dir=log_dir, histogram_freq=1)

# Fit the model, i.e., train the model
# Specify training data and labels, number of epochs to train the model,
# validation data, i.e., data on which to evaluate the loss
# Write TensorBoard logs after every batch of training to monitor
training_history = model.fit(x_train, y_train, epochs=epochs,
                             validation_data=(x_test, y_test),
                             callbacks=[tensorboard_callback])
```

### 6.6.10 Step 7: Evaluate Model Accuracy

```
# Evaluate the model
# Specify testing data and labels
validation_loss, validation_accuracy = model.evaluate(x_test, y_test)

# Print loss and accuracy
print('Validation loss: ', validation_loss)
print('Validation accuracy: ', validation_accuracy)
```

Output:

```
Validation loss: 0.2004156953573227
Validation accuracy: 0.9646
```

### 6.6.11 Step 8: Save the Model

Save the entire model to an HDFS (Hadoop Distributed File System) file. The `.h5` extension of the file indicates that the model should be saved in Keras format as an HDFS file.

```
model_name = 'digits_recognition_mlp.h5'
model.save(model_name, save_format='h5')
loaded_model = load_model(model_name)
```

### 6.6.12 Step 9: Use the Model

To use the model, we call the `predict()` function:

```
# Use the model to do prediction by specifying the image(s).
# Get back a NumPy array of prediction
predictions = loaded_model.predict([x_test])
print('predictions:', predictions.shape)
```

Output:

```
predictions: (10000, 10)
```

Each prediction consists of 10 probabilities (one for each number from 0 to 9). The digit with the **highest probability** is chosen, as that would be the digit that our model is most confident with.

```
# Predictions in form of one-hot vectors (arrays of probabilities).
pd.DataFrame(predictions)
```

```
# Let's extract predictions with highest probabilities
# and detect what digits have been actually recognized.
prediction_results = np.argmax(predictions, axis=1)
pd.DataFrame(prediction_results)
```

Visualize the predictions (correct in green, wrong in red):

```
numbers_to_display = 196 # Display 196 images
# Compute number of images per row
num_cells = math.ceil(math.sqrt(numbers_to_display))
plt.figure(figsize=(10, 10)) # Each image is in size 10x10 inches
# Show all the images
for i in range(numbers_to_display):
    # Number of rows, number of columns, index (start from 1)
    plt.subplot(num_cells, num_cells, i + 1)
    plt.xticks([])  # Remove all xticks
    plt.yticks([])  # Remove all yticks
    plt.grid(False) # No grid lines
    # Check if the prediction is correct. If so, display in green.
    # Otherwise in red.
    color_map = 'Greens' if prediction_results[i] == y_test[i] else \
   'Reds'
    plt.imshow(x_test[i], cmap=color_map) # Display data as a color \
   image
    plt.xlabel(prediction_results[i])     # Show predicted image labels
# Adjust the height of the padding between subplots to 1
# Adjust the width of the padding between subplots to 0.5
plt.subplots_adjust(hspace=1, wspace=0.5)
plt.show() # Show the figure
```

### 6.6.13 Step 10: Plotting a Confusion Matrix

The **confusion matrix** shows what numbers are recognized well by the model and what numbers the model usually confuses.

```
# Compute confusion matrix to evaluate the accuracy of a classification
# by creating a confusion_matrix object.
# Specify true labels and prediction results
cm = confusion_matrix(y_test, prediction_results)

# Each image is in size 9x9 inches
f, ax = plt.subplots(figsize=(9, 9))

# Draw heat map to show the magnitude in color
sn.heatmap(
    cm,              # data
    annot=True,      # Write the data in each cell
    linewidths=.5,   # Width of line
    fmt="d",         # Format of the data, decimal
    square=True,     # Make cell as square-shaped
    ax=ax            # Draw it on ax
)
plt.show() # Show the figure
```

## 6.7 Batch Size for Training ANN

### 6.7.1 Batch, Stochastic Gradient Descent, and Mini-batch

**Batch size** is a hyper-parameter defining the number of samples processed before the model's internal parameters are updated. There are three extremes:

1. **Batch Gradient Descent (Full Batch).**
   - **Batch size:** $N$ (the entire dataset).
   - **How it works:** The model looks at every single training example, calculates the average error, and then updates the weights once per "epoch" (full pass).
2. **Stochastic Gradient Descent (SGD).**
   - **Batch size:** 1.
   - **How it works:** The model looks at one example, calculates the error, and updates the weights immediately. It repeats this for every sample.
3. **Mini-batch Gradient Descent.**
   - **Batch size:** $16, 32, 64, \ldots$ (e.g., a small, fixed number).
   - **How it works:** The model looks at a small batch of examples (e.g., 32 pictures of cats/dogs), calculates the average error for the batch, and updates the weights.

**Why Powers of Two?**

Batch sizes are set as powers of two to ensure data aligns perfectly with the way computer memory and GPU cores are designed to work, allowing for the fastest and most efficient parallel processing.

### 6.7.2 Why Batch Size Matters

The choice of batch size forces you to compromise between how fast you can train and how well your model learns.

| Feature | Small Batch Size (e.g., 1–32) | Large Batch Size (e.g., 256+) |
|---|---|---|
| **Speed** | Slower per epoch. Lots of updates, but each update is computationally efficient (fits easily in GPU memory). | Faster per epoch. Fewer updates, but requires more memory and computation per update. |
| **Memory** | Low memory footprint. Fits easily on a single GPU. | High memory footprint. May cause "Out of Memory" (OOM) errors if the batch doesn't fit on the hardware. |
| **Gradient Quality** | Noisy / high variance. The gradient is an inaccurate estimate of the true "best" direction. This noise can help escape "shallow" local minima. | Stable / low variance. The gradient is a very accurate estimate of the true gradient. This leads to smoother convergence. |
| **Generalization** | Often better generalization. The noise helps the model find wider, flatter minima that perform better on unseen data. | Often worse generalization. Tends to converge to sharp, narrow minima. Requires careful tuning of the learning rate. |

**Principle**

Not too big, not too small.

### 6.7.3 How to Set Your Batch Size

**1. The Hardware Constraint (The Upper Bound)**

- **Start big, then reduce:** If you are using a GPU, set a high batch size (e.g., 512 or 1024) and run your code. If you get an "Out of Memory" error, cut the batch size in half. Repeat until the model fits.
- **Rule of thumb:** Your batch size should be the largest power of two (32, 64, 128, 256) that comfortably fits in your GPU memory. This allows the GPU's parallel architecture to run optimally.

**2. A Good Place to Start (The Lower Bound)**

- If you have no memory issues, start with common values used in research and industry: **32, 64, or 128**.
- **32** is often a great starting point. It's small enough to provide regularization benefits but large enough for efficient computation.

**3. Tuning for Performance (The Experiment)**

- Once you have a working model, experiment by multiplying or dividing your batch by 2. Try 16, 32, 64, 128.
- **Monitor validation accuracy:** Does a batch size of 64 converge faster than 32? Does 128 lead to overfitting or lower accuracy?
- **The learning rate connection:** If you increase the batch size, you can often increase the learning rate. (Rule of thumb: if you double the batch size, you can try doubling the learning rate, as the gradient estimate is less noisy.)

**Recommendation for Beginners**

Set batch size to **32**. Ensure the code runs without memory errors. Train for one epoch. If the loss decreases steadily, you're good. If you want to optimize for speed,

try increasing to 64 or 128 and slightly increase the learning rate.

## 6.8 Analysis on MLP

### 6.8.1 Problem: Vanishing Gradient and Exploding Gradient

One of the problems of training a neural network (especially with many hidden layers) is the **vanishing** and **exploding gradient**.

- When we train a neural network, the gradient (or the slope) can get very big or very small (or exponentially small), which makes training difficult.
- As a consequence, the weights are not updated anymore, and **learning stalls**.

### 6.8.2 How to Know Whether a Model is Suffering from Vanishing/Exploding Gradient?

**Symptoms of Vanishing Gradient**

- The parameters of the higher layers vary dramatically, whereas the parameters of the lower levels do not change significantly (or not at all).
- During training, the model weights may become **zero**.
- The model **learns slowly**, and after a few cycles, the training may become **stagnant**.

**Symptoms of Exploding Gradient**

- The model parameters are **growing exponentially**.
- During training, the model weights may become **NaN**.
- The model goes through an **avalanche learning process**.

### 6.8.3 Problem: Overfitting and Underfitting

**Overfitting**

It refers to a model that models the training data too well. It happens when a model learns the **detail and noise** in the training data to the extent that it **negatively impacts** the performance of the model on the new data.

**Underfitting**

It refers to a model that can neither model the training data nor generalize to new data.

### 6.8.4 How Many Layers and How Many Neurons in Each Layer?

**The input layer:**

- Number of layers = 1.

- Number of neurons = Number of **features** (i.e., columns) in our data (e.g., for XOR, the number of neurons in the input layer is 2).

**The output layer:**

- Number of layers = 1.
- Number of neurons = mostly 1, unless softmax is used (just like the handwritten digits example, which uses 10).

**The hidden layers — number of layers:**

- If our data is **linearly separable**, no hidden layer at all.
- If data is less complex and has few dimensions or features, neural networks with **1 to 2** hidden layers would work.
- If data has large dimensions or features, **3 to 5** hidden layers can be used to get an optimum solution.

**The hidden layers — number of neurons:**

- The number of hidden neurons should be between the size of the input layer and the output layer.
- The most appropriate number of hidden neurons is

$$\sqrt{\text{input layer nodes} \times \text{output layer nodes}}.$$

- The number of hidden neurons should keep decreasing in subsequent layers to get closer to pattern and feature extraction and identify the target class.

**Rules of Thumb Only**

The above algorithms are only a general use case, and they can be moulded according to the use case. Sometimes the number of nodes in hidden layers can also increase in subsequent layers, and the number of hidden layers can also be more than the ideal case. This depends on the use case and problem statement that we are dealing with.

### 6.8.5 Example: Decision Boundaries and Hidden Neurons

Consider a classification problem where each sample has two inputs and one output presenting the class label.

- One possible decision boundary separates the data correctly; another possible decision boundary also separates the data correctly.
- **Two lines are required** to represent the decision boundary, which tells us the **first hidden layer will have two hidden neurons**.
- The two lines are to be **connected by another neuron**, which is in the **output layer**.

**Geometry Intuition**

Each hidden neuron contributes one linear decision boundary (a line in 2D); the output neuron combines these boundaries into a non-linear region. Count the number of straight lines needed to separate the classes $\Rightarrow$ that is the number of hidden neurons.

### 6.8.6 The Role of Weights

**Weights** are the real values associated with each feature which tell the **importance of that feature** in predicting the final value.

**The effect of changing weights.** Suppose we have a single-input perceptron. Let's

get the output functions by setting $w$ to $0.5, 1, 2, 3$, $\theta$ to 0, and using the sigmoid activation function:

$$y = f(0.5x + 0), \qquad y = f(1x + 0), \qquad y = f(2x + 0), \qquad y = f(3x + 0).$$

Plotting these output functions, we can see that **weights control the steepness of the activation function**.

### 6.8.7 What is the Role of Biases?

Now let's get another set of output functions by setting $w$ to 1, $\theta$ to $0, 1, 2, 3$, and using the sigmoid activation function:

$$y = f(1x + 0), \qquad y = f(1x + 1), \qquad y = f(1x + 2), \qquad y = f(1x + 3).$$

According to the example, we can see that **bias is used for shifting the activation function towards the left or right**.

**Weights vs. Biases**

**Weights** control the steepness (slope) of the activation function; **biases** shift the activation function left or right.

### 6.8.8 Activation Functions

The choice of activation function in the hidden layer has a **large impact** on the capability and performance of the neural network.

An **activation function** in a neural network defines how the weighted sum of the input is transformed into an output from a node or nodes in a layer of the network.

- **All hidden layers** typically use the same activation function.
- The **output layer** will typically use a different activation function from the hidden layers, dependent upon the type of prediction required by the model.
- Typically, a **differentiable non-linear** activation function is used in the hidden layers of a neural network. This allows the model to learn more complex functions.

Three most commonly used activation functions in **hidden layers**:

1. Rectified Linear Activation (ReLU)
2. Logistic (Sigmoid)
3. Hyperbolic Tangent (Tanh)

**ReLU Hidden Layer Activation Function** ReLU function is defined as

$$f(x) = \max(0, x).$$

- It is the **most common** function used for hidden layers.
- It is **simple to implement** and effectively overcomes the limitations of other previously popular activation functions, such as Sigmoid and Tanh.
- Specifically, it is **less susceptible to vanishing gradients**.
- When using the ReLU function for hidden layers, it is good to use "**He Normal**" or "**He Uniform**" weight initialization and scale input data to the range 0–1 before training.

```
initializer = tf.keras.initializers.HeNormal()
# initializer = tf.keras.initializers.HeUniform()
layer = tf.keras.layers.Dense(3, kernel_initializer=initializer)
```

**Sigmoid Hidden Layer Activation Function** Sigmoid function is defined as

$$f(x) = \frac{1}{1 + e^{-x}}.$$

**Limitation:** The output of the sigmoid function is not symmetric around zero. So the output of all the neurons will be of the same sign. This makes the training of the neural network more difficult and unstable.

When using the sigmoid function for hidden layers, it is good to use a "**Glorot Normal**" or "**Glorot Uniform**" weight initialization and scale input data to the range 0–1 before training. (Note: Glorot initializer is also called **Xavier initializer**.)

```
initializer = tf.keras.initializers.GlorotNormal()
# initializer = tf.keras.initializers.GlorotUniform()
layer = tf.keras.layers.Dense(3, kernel_initializer=initializer)
```

**Tanh Hidden Layer Activation Function** Tanh (Hyperbolic Tangent) function is defined as

$$f(x) = \frac{e^{x} - e^{-x}}{e^{x} + e^{-x}}.$$

- Very similar to the sigmoid activation function, and even has the same S-shape, with the difference in **output range of** $-1$ **to** 1.
- The output of the tanh activation function is **zero-centered**; hence we can easily map the output values as strongly negative, neutral, or strongly positive.
- When used in hidden layers, the mean for the hidden layer comes out to be 0 (or very close to it). It helps in **centering the data** and makes learning for the next layer much easier.

**Why are Sigmoid and Tanh More Susceptible to Vanishing Gradients?**

**Flat Tails of Sigmoid/Tanh**

The gradient values are only significant for the range $-3$ to 3, and the graph gets much flatter in other regions. For values greater than 3 or less than $-3$, the function will have **very small gradients**. As the gradient value approaches zero, the network **ceases to learn** and suffers from the **vanishing gradients** problem.

### 6.8.9 How to Choose a Hidden Layer Activation Function?

Both the Sigmoid and Tanh functions can make the model more susceptible to problems during training via the so-called **vanishing gradients** problem.

The activation function used in hidden layers is typically chosen **based on the type of neural network architecture**:

- Modern neural network models with common architectures, such as **MLP** and **CNN** (covered later), will use the **ReLU** activation function or extensions.
- **Recurrent networks** (a type of neural network that has at least one loop) still commonly use **Tanh** or **sigmoid** activation functions, or even both.

**Summary: Hidden-Layer Activation by Architecture**

| Neural Network | Commonly Used Activation Function |
|---|---|
| Multi-layer Perceptron (MLP) | ReLU activation function |
| Convolutional Neural Network (CNN) | ReLU activation function |
| Recurrent Neural Network (RNN) | Tanh and/or Sigmoid activation function |

### 6.8.10 Activation Functions for Output Layers

The **output layer** is the layer in a neural network model that directly outputs a prediction. There are three commonly used activation functions for the output layer:

1. Linear
2. Sigmoid/Logistic
3. Softmax

**Linear Output Activation Function**

$$f(x) = x.$$

- The linear activation function is also called "**identity**" (multiplied by 1.0) or "**no activation**".
- Target values used to train a model with a linear activation function in the output layer are typically **scaled before modeling** using normalization or standardization transforms.

**Sigmoid Output Activation Function** Recall, the Sigmoid activation function is defined as

$$f(x) = \frac{1}{1 + e^{-x}}.$$

Target labels used to train a model with a Sigmoid activation function in the output layer will have values **0 to 1**.

**Softmax Output Activation Function** Softmax is a mathematical function that converts an array (or vector) of numbers into an array (or vector) of **probabilities**. The softmax function is defined as follows: for $\mathbf{x} = [x_0, x_1, \ldots, x_{n-1}]$,

$$f(x_i) = \frac{e^{x_i}}{\sum_{j=0}^{n-1} e^{x_j}}.$$

The softmax function is used as the activation function for **multi-class classification** problems where class membership is required on more than two class labels.

### 6.8.11 How to Choose an Output Activation Function

We choose the activation function for the output layer **based on the prediction problem** we are solving:

- If a problem is a **regression problem**, we should use a **linear** activation function.
- If a problem is a **classification problem**, then there are three main types of classification problems, and each may use a different activation function:
  1. **Binary classification:** One node, **sigmoid** activation.
  2. **Multiclass classification:** One node per class, **softmax** activation.
  3. **Multilabel classification:** One node per class, **sigmoid** activation.

**Multiclass vs. Multilabel**

**Multiclass** classification makes the assumption that each sample is assigned to one and only one label. **Multilabel** classification assigns to each sample a set of target labels.
Take news article classification as an example:

- Multiclass label set: {computer, science, society}
- Multilabel label set: {computer, science, society, operating system, cryptography,

electronics, religion}

### 6.8.12 When to Use Multi-layer Perceptrons?

- Multi-layer perceptrons are suitable for **classification** prediction problems where inputs are assigned a class or label.
- They are also suitable for **regression** prediction problems where a real-valued quantity is predicted given a set of inputs. Data is often provided in a **tabular format**, such as we would see in a CSV file or a spreadsheet.

## 6.9 Practice Problem

**One Epoch of Backpropagation by Hand**

Given a multilayer perceptron with two inputs $x_1, x_2$, **one hidden unit** and **one output unit**. Both the hidden unit and output use the sigmoid activation function. Altogether, the network has 3 weights, $w_1, w_2, w_3$, and 2 biases, $\theta_1, \theta_2$.
All weights are initialized with 0.1, and all the biases are initialized with $-0.1$. Use sigmoid as the activation function for all units, i.e.,

$$\sigma(x) = \frac{1}{1 + e^{-x}}.$$

Let the training set be as follows:

| $x_1$ | $x_2$ | $T$ |
|---|---|---|
| 1 | 0 | 1 |
| 0 | 1 | 0 |

Determine the weights after the **first epoch** (two iterations) of the backpropagation algorithm, given a learning rate of $\eta = 0.3$.

### 6.9.1 Solution — Round 1, Step 1: Forward Propagation

Inputs: $x_1 = 1, x_2 = 0$; Actual Output: $T = 1$.
Weights: $w_1 = 0.1, w_2 = 0.1, w_3 = 0.1$. Biases: $\theta_1 = -0.1, \theta_2 = -0.1$.

**Calculations:**

$$\sum_1 = x_1 \cdot w_1 + x_2 \cdot w_2 = 1 \cdot (0.1) + 0 \cdot (0.1) = 0.1$$

$$\text{Output } (O_j): \ f(\textstyle\sum_1 + \theta_1) = f(0.1 - 0.1) = 0.5$$

$$\sum_2 = O_j \cdot w_3 = 0.5 \cdot (0.1) = 0.05$$

$$\text{Output } (O_k): \ f(\textstyle\sum_2 + \theta_2) = f(0.05 - 0.1) = 0.487503$$

### 6.9.2 Solution — Round 1, Step 1: Backward Propagation

$$\delta_k = (O_k - T_k)\, O_k(1 - O_k) = (0.487503 - 1)(0.487503)(1 - 0.487503) = -0.128044$$

**Update hidden-to-output weight and output bias:**

$$\text{New } w_3 = \text{Old } w_3 - \eta\, \delta_k O_j = 0.1 - 0.3(-0.128044)(0.5) = 0.119207$$

$$\text{New } \theta_2 = \text{Old } \theta_2 - \eta\, \delta_k = -0.1 - (0.3)(-0.128044) = -0.061587$$

**Hidden node delta:**

$$\delta_j = O_j(1 - O_j)\, \delta_k w_{jk} = 0.5(1 - 0.5)(-0.128044)(0.1) = -0.003201$$

**Update input-to-hidden weights and hidden bias:**

$$\text{New } w_1 = \text{Old } w_1 - \eta\,\delta_j x_1 = 0.1 - (0.3)(-0.003201)(1) = 0.100960$$
$$\text{New } w_2 = \text{Old } w_2 - \eta\,\delta_j x_2 = 0.1 - (0.3)(-0.003201)(0) = 0.1$$
$$\text{New } \theta_1 = \text{Old } \theta_1 - \eta\,\delta_j = -0.1 - (0.3)(-0.003201) = -0.099040$$

### 6.9.3 Solution — Round 1, Step 2: Forward Propagation

Inputs: $x_1 = 0$, $x_2 = 1$; Actual Output: $T = 0$.
Weights: $w_1 = 0.100960$, $w_2 = 0.1$, $w_3 = 0.119207$. Biases: $\theta_1 = -0.099040$, $\theta_2 = -0.061587$.

**Calculations:**

$$\textstyle\sum_1 = x_1 \cdot w_1 + x_2 \cdot w_2 = 0 \cdot (0.100960) + 1 \cdot (0.1) = 0.1$$
$$\text{Output } (O_j): \; f(\textstyle\sum_1 + \theta_1) = f(0.1 - 0.099040) = 0.50024$$
$$\textstyle\sum_2 = O_j \cdot w_3 = 0.50024 \cdot (0.119207) = 0.059632$$
$$\text{Output } (O_k): \; f(\textstyle\sum_2 + \theta_2) = f(0.059632 - 0.061587) = 0.499511$$

### 6.9.4 Solution — Round 1, Step 2: Backward Propagation

$$\delta_k = (O_k - T_k)\,O_k(1 - O_k) = (0.499511 - 0)(0.499511)(1 - 0.499511) = 0.124878$$

**Update hidden-to-output weight and output bias:**

$$\text{New } w_3 = \text{Old } w_3 - \eta\,\delta_k O_j = 0.119207 - 0.3(0.124878)(0.50024) = 0.100466$$
$$\text{New } \theta_2 = \text{Old } \theta_2 - \eta\,\delta_k = -0.061587 - (0.3)(0.124878) = -0.09905$$

**Hidden node delta:**

$$\delta_j = O_j(1 - O_j)\,\delta_k w_{jk} = 0.50024\,(1 - 0.50024)(0.124878)(0.119207) = 0.003722$$

**Update input-to-hidden weights and hidden bias:**

$$\text{New } w_1 = \text{Old } w_1 - \eta\,\delta_j x_1 = 0.100960 - (0.3)(0.003722)(0) = 0.100960$$
$$\text{New } w_2 = \text{Old } w_2 - \eta\,\delta_j x_2 = 0.1 - (0.3)(0.003722)(1) = 0.098883$$
$$\text{New } \theta_1 = \text{Old } \theta_1 - \eta\,\delta_j = -0.099040 - (0.3)(0.003722) = -0.100157$$

**Answer After the First Epoch**

$$w_1 = 0.100960, \quad w_2 = 0.098883, \quad w_3 = 0.100466,$$
$$\theta_1 = -0.100157, \quad \theta_2 = -0.09905.$$

Note that in Step 2, $w_1$ does not change because $x_1 = 0$ (the update $\eta\,\delta_j x_1$ vanishes) — the same "zero-input freezes weight" effect seen in the XOR example.

# 7 Image Processing

## 7.1 Introduction: From CNNs to Image Preprocessing

### 7.1.1 Convolutional Neural Network

A **Convolutional Neural Network (CNN or ConvNet)** is a type of **Artificial Neural Network** applied to analyze visual imagery.

Research has demonstrated that **preprocessing images before feeding them to a CNN significantly improves the classification/recognition accuracy**. To learn how to preprocess images and use this powerful tool to tackle **Computer Vision** tasks, we first introduce **digital image processing fundamentals**.

## 7.2 Image Preprocessing

### 7.2.1 What is Image Preprocessing?

**Image Preprocessing**

**Image preprocessing** refers to processing an image so that the resulting image is more suitable than the original for a specific application. A preprocessing method that works well for one application may not be the best method for another application.

### 7.2.2 Common Preprocessing Tasks

- **Shading correction**: to adjust image inconsistency, generally seen on the edges, due to illumination and background inhomogeneity.
- **De-blurring**: to remove the blurring artifacts from images to restore the original, sharp content.
- **De-noising**: to remove or reduce noise from an image and to recover the original image, which is considered to be noise-free, from a noisy observation.
- **Contrast enhancement**: to touch up the contrast of the image, or the difference in color and light between parts of it, to improve its perception by the human eye.

### 7.2.3 Digital Image Processing

**Digital Image Processing (DIP)**

**Digital image processing (DIP)** is the method to manipulate a digital image to either enhance the quality or extract relevant information. These methods provide the foundation to preprocess images that are more suitable for specific applications.

## 7.3 Digital Image Fundamentals

### 7.3.1 Digital Image

A **digital image** is a **two-dimensional grid of intensity values**, represented by $I(x, y)$, where $x$ and $y$ are coordinates, and the value of $I$ at coordinates $(x, y)$ is called the **intensity**.

- **Pixels**: Short for Picture Element. A pixel is a single point (dot) in an image.
- **Dimensions**: Specified by the width and height of the image.
  - **Image width** is the number of columns in the image.
  - **Image height** is the number of rows in the image.

For example, an image of dimensions $32 \times 21$ has image width $= 32$ pixels and image height $= 21$ pixels.

### 7.3.2 Image Coordinate System

A specific pixel is specified by its coordinates $(x, y)$, where $x$ increases from left to right, and $y$ increases from top to bottom. **The origin** $(0, 0)$ **is in the top-left corner.**

The coordinate system of digital images is:

$$\begin{matrix} (0,0) & (1,0) & (2,0) & \cdots & (\text{width}-1,0) \\ (0,1) & (1,1) & (2,1) & \cdots & (\text{width}-1,1) \\ \vdots & \vdots & \vdots & \ddots & \vdots \\ (0,\text{height}-1) & (1,\text{height}-1) & (2,\text{height}-1) & \cdots & (\text{width}-1,\text{height}-1) \end{matrix}$$

where width and height are the image width and image height, respectively.

**Legal Coordinate Ranges and the $(x, y)$ Convention**

- The legal range of the $x$-coordinate is 0 to width $-$ 1.
- The legal range of the $y$-coordinate is 0 to height $-$ 1.

Note that this is not the usual mathematical convention: the $y$-axis points **downwards**, and $x$ indexes columns while $y$ indexes rows. When using NumPy arrays, `img.shape` returns `(height, width)` (rows first!), which is the reverse order of $(x, y)$.

### 7.3.3 Grayscale Images

**Grayscale** is a range of gray shades from black to white. Grayscale images are most commonly used in image processing because the data are smaller and allow us to process the images in a short time.

A **grayscale digital image** is an image in which the value of each pixel carries only intensity information. A grayscale image contains **8-bit/pixel** data, which has $2^8 = 256$ different gray levels (0 for black, 127 for gray, and 255 for white).

| Color | Gray-level |
|---|---|
| Black | 0 |
| Dark gray | 64 |
| Medium gray | 127 |
| Light gray | 190 |
| White | 255 |

### 7.3.4 Color Images

**Color images** have intensity from the darkest and lightest of 3 different colors, **Red, Green, and Blue (RGB)**. The mixtures of these color intensities produce a color image. Since RGB images contain $3 \times 8$-bit intensities, they are also referred to as **24-bit color images**. An 8-bit intensity range has 256 possible values, 0 to 255.

Common colors represented in RGB:

| Color | RGB value |
|---|---|
| Black | $(0, 0, 0)$ |
| White | $(255, 255, 255)$ |
| Red | $(255, 0, 0)$ |
| Green | $(0, 255, 0)$ |
| Blue | $(0, 0, 255)$ |
| Yellow | $(255, 255, 0)$ |
| Gray | $(128, 128, 128)$ |
| Dark Gray | $(50, 50, 50)$ |

**Grayscale Images as a Subset of RGB Images**

**24-bit grayscale images are a subset of RGB images** where the RGB intensities

are all equal (e.g., Gray $(128, 128, 128)$ and Dark Gray $(50, 50, 50)$ shown above).

### 7.3.5 Access Images in Google Drive (Colab)

To access files/images in Google Drive, you need to **mount** your Google Drive to Colab using the following code:

```
# Import drive from google.colab package
from google.colab import drive
# Import os and sys modules
import os, sys
# Mount Google Drive
drive.mount('/content/drive')
# Assume a folder "images" has been created, go to the folder "images"
os.chdir('/content/drive/My Drive/images')
# Add the path for interpreter to search
sys.path.append('/content/drive/My Drive/images')
```

### 7.3.6 Read Images in Colab

To read an image, you need to first import `matplotlib.image`:

```
import matplotlib.image as mpimg
```

Then use the `imread()` method of the `matplotlib.image` module.

**Syntax:** `mpimg.imread(fname, format=None)`

**Parameters:**

- `fname`: The image file to read: a filename or a file-like object opened in read-binary mode.
- `format`: The image file format assumed for reading the data. If `format` is not given, the format is deduced from the filename. If nothing can be deduced, PNG is tried.

**Return value:** `numpy.array`.

- $(M, N)$ for grayscale images.
- $(M, N, 3)$ for RGB images.
- $(M, N, 4)$ for RGBA images: red, green, blue, alpha. A three-channel RGB color model supplemented with a fourth **alpha channel**. Alpha indicates how opaque each pixel is, i.e., transparency.

**Value Range Depends on File Format**

PNG images are returned as **float arrays** (0–1). All other formats are returned as **int arrays**, with a bit depth determined by the file's contents. Keep this in mind when displaying or processing images (e.g., use `vmin=0, vmax=1` for floats, `vmin=0, vmax=255` for 8-bit integers).

### 7.3.7 Show Images in Colab

To show an image, you need to first import `matplotlib.pyplot`:

```
import matplotlib.pyplot as plt
```

Then use the `imshow()` method of the `matplotlib.pyplot` module.

**Syntax:** `plt.imshow(X, cmap, vmin, vmax)`

**Parameters:**

- `X`: The image data. Supported array shapes are

  - $(M, N)$: an image with scalar data. The values are mapped to colors using normalization and a colormap.
  - $(M, N, 3)$: an image with RGB values (0–1 float or 0–255 int).
  - $(M, N, 4)$: an image with RGBA values (0–1 float or 0–255 int), i.e., including transparency.

  The first two dimensions $(M, N)$ define the rows and columns of the image.
- `cmap`: `str` (e.g., `'gray'`) or `Colormap`. The Colormap instance or registered colormap name used to map scalar data to colors. This parameter is ignored for RGB(A) data.
- `vmin`, `vmax`: By default, `imshow` scales elements of the numpy array so that the smallest element becomes 0, the largest becomes 1, and intermediate values are mapped to the interval $[0, 1]$ by a linear function. Optionally, `imshow` can be called with arguments `vmin` and `vmax`. In such case all elements of the array smaller or equal to `vmin` are mapped to 0, all elements greater or equal to `vmax` are sent to 1, and the elements between `vmin` and `vmax` are mapped in a linear fashion into the interval $[0, 1]$.

**Returns:** `AxesImage` (an image attached to an `Axes`).

### 7.3.8 Save Images in Colab

To save an image, first import `matplotlib.pyplot`, then use the `imsave()` method.

**Syntax:** `plt.imsave(fname, arr)`

**Parameters:**

- `fname`: a path or a file-like object to store the image in.
- `arr`: The image data. The shape can be one of $M \times N$ (luminance), $M \times N \times 3$ (RGB) or $M \times N \times 4$ (RGBA). The first two dimensions $(M, N)$ define the rows and columns of the image.

### 7.3.9 Complete Example: Read, Inspect, Show and Save

```
# Assume Google Drive has been mounted, the path has been added for
# interpreter to search
# Import all the required libraries
import matplotlib.image as mpimg
import matplotlib.pyplot as plt
import numpy as np

# Read and show the image
img = mpimg.imread('snorlax.png')
plt.imshow(img)

# Find the shape of input image
[height, width, layers] = np.shape(img)

# Print all the required information
print('Dimensions: {}x{}x{}'.format(height, width, layers))
print('Total number of pixels:', width*height)

plt.imsave('snorlax2.png', img)  # Save the image
```

## 7.4 Basic Image Processing with OpenCV

### 7.4.1 OpenCV

**OpenCV**

**OpenCV (Open Source Computer Vision Library)** is an open source computer vision and machine learning software library. It was built to provide a common infrastructure for computer vision applications and to accelerate the use of machine perception in commercial products.

- The library has **more than 2500 optimized algorithms**, including a comprehensive set of both classic and state-of-the-art computer vision and machine learning algorithms.
- OpenCV supports a wide variety of programming languages such as **Python, C++, Java**, etc.

### 7.4.2 Convert Color Images to Grayscale

In certain problems, you will find it useful to lose unnecessary information from your images to reduce space and computational complexity. Converting colored images to grayscale images is an example, since color is not necessary to recognize and interpret an image. Grayscale can be good enough for recognizing certain objects; color images contain more information than black and white images, so they can add unnecessary complexity and take up more space in memory.

**RGB to Grayscale Formula**

One way to convert color images to grayscale is to apply the following formula:

$$V = 0.299 \times R + 0.587 \times G + 0.114 \times B$$

Note that **green contributes the most** (weight 0.587) and blue the least (weight 0.114), matching the sensitivity of the human eye.

To perform the above using OpenCV, first import `cv2`, then use the `cvtColor()` method.

**Syntax:** `cv2.cvtColor(image, code)`

**Parameters:**

- `image`: Image to be processed in $n$-dimensional array.
- `code`: Conversion code for color space. For converting RGB to grayscale, we use `cv2.COLOR_RGB2GRAY`.

**Return value:** Converted image.

```
# Assume Google Drive has been mounted, the path has been added for
# interpreter to search
# Import all the required libraries
import cv2
import matplotlib.image as mpimg
import matplotlib.pyplot as plt

# Read and show the image
img = mpimg.imread('snorlax.png')
plt.figure()
plt.imshow(img)

# Convert color image to gray
grayImg = cv2.cvtColor(img, cv2.COLOR_RGB2GRAY)

# Show the image
plt.figure()
```

```
plt.imshow(grayImg, cmap='gray', vmin=0, vmax=1)

# Save the image
plt.imsave('snorlax-gray.png', grayImg)
```

### 7.4.3 Image Affine Transformation

**Affine Transformation**

An **affine transformation** is any transformation that preserves collinearity, parallelism, as well as the ratio of distances between the points (e.g., the midpoint of a line remains the midpoint after transformation). It does not necessarily preserve distances and angles. Geometric transformations such as **translation, rotation, scaling, shearing**, etc., are all affine transformations.

In general, the affine transformation can be expressed in the form of a **linear transformation followed by a vector addition**:

$$\begin{pmatrix} x' \\ y' \end{pmatrix} = \begin{pmatrix} a_{00} & a_{01} \\ a_{10} & a_{11} \end{pmatrix} \begin{pmatrix} x \\ y \end{pmatrix} + \begin{pmatrix} b_{00} \\ b_{10} \end{pmatrix} = \begin{pmatrix} a_{00}x + a_{01}y + b_{00} \\ a_{10}x + a_{11}y + b_{10} \end{pmatrix}$$

Using **homogeneous coordinates** (appending a 1), this can be written as a single matrix multiplication:

$$\begin{pmatrix} x' \\ y' \end{pmatrix} = \begin{pmatrix} a_{00} & a_{01} & b_{00} \\ a_{10} & a_{11} & b_{10} \end{pmatrix} \begin{pmatrix} x \\ y \\ 1 \end{pmatrix}$$

$$M = \begin{pmatrix} a_{00} & a_{01} & b_{00} \\ a_{10} & a_{11} & b_{10} \end{pmatrix} \text{ is a } 2 \times 3 \textbf{ transformation matrix}.$$

To define what transformation you want to do, you need to define $M$.

### 7.4.4 Applying Affine Transformations in OpenCV

To perform the image affine transformation using OpenCV, use the `warpAffine()` method of the `cv2` module.

**Syntax:** `cv2.warpAffine(src, M, dsize, flags, borderMode, borderValue)`

**Parameters:**

- `src`: input image.
- `M`: $2 \times 3$ transformation matrix.
- `dsize`: size of the output image.
- `flags`: combination of interpolation methods.
- `borderMode`: pixel extrapolation method.
- `borderValue`: value used in case of a constant border; by default, it is 0.

**Return value:** output image that has the size `dsize` and the same type as `src`.

### 7.4.5 Image Translation

**Translation** is simply the shifting of object location. Suppose we have a point $P(x, y)$ which is translated by $(t_x, t_y)$; then the coordinates after translation, denoted by $P'(x', y')$, are given by

$$x' = x + t_x, \qquad y' = y + t_y$$

In matrix form:

$$\begin{pmatrix} x' \\ y' \end{pmatrix} = \begin{pmatrix} 1 & 0 & t_x \\ 0 & 1 & t_y \end{pmatrix} \begin{pmatrix} x \\ y \\ 1 \end{pmatrix}$$

```
# Assume Google Drive has been mounted, the path has been added for
# interpreter to search
# Import all the required libraries
import cv2
import matplotlib.image as mpimg
import matplotlib.pyplot as plt
import numpy as np

# Read the image
img = mpimg.imread('snorlax.png')

# Convert the color image to gray and show it
grayImg = cv2.cvtColor(img, cv2.COLOR_RGB2GRAY)
plt.figure()
plt.imshow(grayImg, cmap='gray', vmin=0, vmax=1)

# Find the shape of the gray image
rows, cols = grayImg.shape

# Form the transformation matrix of translation
M = np.float32([[1, 0, 100], [0, 1, 50]])

# Perform the transformation
translatedImg = cv2.warpAffine(grayImg, M, (cols, rows))

# Show the image
plt.figure()
plt.imshow(translatedImg, cmap='gray', vmin=0, vmax=1)
```

The code above shifts the image **100 pixels to the right** ($t_x = 100$) and **50 pixels down** ($t_y = 50$).

### 7.4.6 Image Reflection

**Reflection** refers to mirroring (or flipping) images along the $x$-axis or $y$-axis. To make sure the resulting image fits the image coordinates, after flipping the image along the $x$-axis, we need to translate it by the number of rows along the $y$-axis. Similarly, after flipping the image along the $y$-axis, we need to translate it by the number of columns along the $x$-axis.

**Reflection along the $x$-axis.** Suppose we have a point $P(x, y)$ which is reflected along the $x$-axis; then the coordinates after reflection, denoted by $P'(x', y')$, are given by

$$x' = x, \qquad y' = -y + (\text{rows} - 1)$$

In matrix form:

$$\begin{pmatrix} x' \\ y' \end{pmatrix} = \begin{pmatrix} 1 & 0 & 0 \\ 0 & -1 & \text{rows} - 1 \end{pmatrix} \begin{pmatrix} x \\ y \\ 1 \end{pmatrix}$$

**Reflection along the $y$-axis.** Similarly, a point $P(x, y)$ reflected along the $y$-axis gives

$$x' = -x + (\text{cols} - 1), \qquad y' = y$$

In matrix form:

$$\begin{pmatrix} x' \\ y' \end{pmatrix} = \begin{pmatrix} -1 & 0 & \text{cols} - 1 \\ 0 & 1 & 0 \end{pmatrix} \begin{pmatrix} x \\ y \\ 1 \end{pmatrix}$$

**Why the Extra Translation Term?**

Flipping alone maps pixel $(x, y)$ to negative coordinates (e.g., $y' = -y$), which fall outside the legal range $[0, \text{height} - 1]$. The translation by rows $- 1$ (or cols $- 1$) brings the flipped image back into the valid coordinate frame. Forgetting it produces an (almost entirely) blank output image.

```
# Assume Google Drive has been mounted, the path has been added for
# interpreter to search
# Import all the required libraries
import cv2
import numpy as np
import matplotlib.image as mpimg
import matplotlib.pyplot as plt

img = mpimg.imread('snorlax.png')  # Read the image

# Convert the color image to gray and show it
grayImg = cv2.cvtColor(img, cv2.COLOR_RGB2GRAY)
plt.figure()
plt.imshow(grayImg, cmap='gray', vmin=0, vmax=1)

rows, cols = grayImg.shape  # Find the shape of the gray image

# Form the transformation matrix of x-axis reflection
M = np.float32([[1, 0, 0], [0, -1, rows-1]])
# Perform the transformation
xaxisreflection = cv2.warpAffine(grayImg, M, (cols, rows))
plt.figure()
plt.imshow(xaxisreflection, cmap='gray', vmin=0, vmax=1)

# Form the transformation matrix of y-axis reflection
M = np.float32([[-1, 0, cols-1], [0, 1, 0]])
# Perform the transformation
yaxisreflection = cv2.warpAffine(grayImg, M, (cols, rows))
plt.figure()
plt.imshow(yaxisreflection, cmap='gray', vmin=0, vmax=1)
```

### 7.4.7 Image Rotation

**Image rotation** refers to rotating an image $\theta$ degrees along $(x_0, y_0)$. Suppose we have a point $P(x, y)$ which is rotated along the center of the image; then the coordinates after rotation, denoted $P'(x', y')$, are given by

$$x' = (x - x_0)\cos\theta + (y - y_0)\sin\theta + x_0$$
$$y' = -(x - x_0)\sin\theta + (y - y_0)\cos\theta + y_0$$

In matrix form:

$$\begin{pmatrix} x' \\ y' \end{pmatrix} = \begin{pmatrix} \cos\theta & \sin\theta & -x_0\cos\theta - y_0\sin\theta + x_0 \\ -\sin\theta & \cos\theta & x_0\sin\theta - y_0\cos\theta + y_0 \end{pmatrix} \begin{pmatrix} x \\ y \\ 1 \end{pmatrix}$$

```
# Assume Google Drive has been mounted, the path has been added for
# interpreter to search
import cv2, math
import numpy as np  # Import all the required libraries
import matplotlib.image as mpimg
import matplotlib.pyplot as plt

img = mpimg.imread('snorlax.png')  # Read the image
```

```
# Convert the color image to gray and show it
grayImg = cv2.cvtColor(img, cv2.COLOR_RGB2GRAY)
plt.figure()
plt.imshow(grayImg, cmap='gray', vmin=0, vmax=1)

rows, cols = grayImg.shape  # Find the shape of image

# Form the transformation matrix of rotation
# The angle for math.sin and math.cos should be in radian.
# 45 degree = pi/4 radian
angle = math.pi/4
M = np.float32([[math.cos(angle), math.sin(angle),
                 -(cols//2)*math.cos(angle)
                 -(rows//2)*math.sin(angle) + (cols//2)],
                [-math.sin(angle), math.cos(angle),
                 (cols//2)*math.sin(angle)
                 -(rows//2)*math.cos(angle) + (rows//2)]])

# Another way to generate the required transformation matrix
# The angle for getRotationMatrix2D should be in degree
# M = cv2.getRotationMatrix2D((cols//2, rows//2), 45, 1.0)

# Perform the transformation
rotate45 = cv2.warpAffine(grayImg, M, (cols, rows))
plt.figure()
plt.imshow(rotate45, cmap='gray', vmin=0, vmax=1)
```

**Two Ways to Get the Rotation Matrix**

- Build $M$ manually with `math.sin`/`math.cos` — the angle must be in **radians**.
- Use `cv2.getRotationMatrix2D((cols//2, rows//2), 45, 1.0)` — the angle is in **degrees**. The arguments are (center, angle, scale).

### 7.4.8 Image Resizing/Scaling

**Resizing/Scaling** images is a critical preprocessing step in computer vision.

- Machine learning models train faster on smaller images.
- Many deep learning model architectures require that our images are the same size, and our raw collected images may vary in size.

Resizing is a common approach to make the input images the same size, and it works well unless you have a very different aspect ratio from the expected input shape.

To perform image resizing/scaling using OpenCV, use the `resize()` method.

**Syntax:**

```
cv2.resize(src, dsize, dst, fx=0, fy=0, interpolation=INTER_LINEAR)
```

**Parameters:**

- `src`: Input image.
- `dsize`: The size for the output image.
- `dst` (optional): The output image with size `dsize`.
- `fx` (optional): The scale factor along the horizontal axis.
- `fy` (optional): The scale factor along the vertical axis.
- `interpolation`: The algorithm used to reconstruct the new pixels:
  - `cv2.INTER_NEAREST` (nearest neighbor interpolation)
  - `cv2.INTER_LINEAR` (bilinear interpolation)
  - `cv2.INTER_CUBIC` (bicubic interpolation)

```
# Assume Google Drive has been mounted, the path
# has been added for interpreter to search
# Import all the required libraries
import cv2
import matplotlib.image as mpimg
import matplotlib.pyplot as plt

img = mpimg.imread('snorlax.png')  # Read the image

# Convert the color image to gray and show it
grayImg = cv2.cvtColor(img, cv2.COLOR_RGB2GRAY)
plt.figure()
plt.imshow(grayImg, cmap='gray', vmin=0, vmax=1)

# Perform the transformation
resizedImg = cv2.resize(grayImg, (300, 300),
                        interpolation=cv2.INTER_LINEAR)

# Show the image
plt.figure()
plt.imshow(resizedImg, cmap='gray', vmin=0, vmax=1)
```

## 7.5 Characteristics of Image Operations

### 7.5.1 Point, Local and Global Operations

There are many ways to classify image operations. One way of doing so is based on the **"region"** used to process the pixels.

**Three Types of Image Operations**

1. **Point**: The output value at a specific coordinate is dependent only on the input value at the same coordinate.
2. **Local**: The output value at a specific coordinate is dependent on the input values in the neighborhood of that same coordinate.
3. **Global**: The output value at a specific coordinate is dependent on all the values in the input image.

**Question: What Type of Operation is Color-to-Grayscale Conversion?**

**Question:** What type of image operation is color to grayscale conversion?
**Answer: Point operation!** Since the output value at a specific coordinate of the grayscale image is dependent only on the input value at the same coordinate of the color image.

### 7.5.2 Point-based Operations (Examples)

- **Brightness adjustment**: Make images brighter or dimmer. (Optional)
- **Contrast stretching**: Adjust the contrast of images.
- **Gamma correction**: Grayscale non-linear transformation. (Optional)
- **Grayscale threshold**: Convert a grayscale image into a black and white binary image.
- **Histogram equalization**: Transformation where an output image has approximately the same number of pixels at each gray level. (Optional)

### 7.5.3 Contrast Stretching

**Contrast Stretching**

**Contrast stretching** is an image enhancement method which attempts to improve an image by stretching the range of intensity values. One way to perform contrast stretching is to stretch the minimum and maximum intensity values present to the possible minimum and maximum intensity values.

**Example:** Assume 0–255 is taken as the standard minimum and maximum intensity for 8-bit images.

- If the minimum intensity value ($I_{\text{min}}$) present in the image is 100, then it is stretched to the possible minimum value 0.
- Likewise, if the maximum intensity value ($I_{\text{max}}$) is less than the possible maximum intensity value 255, then it is stretched out to 255.

**General formula for contrast stretching:**

$$I_{\text{new}} = \frac{I - I_{\text{min}}}{I_{\text{max}} - I_{\text{min}}} \times 255$$

where

- $I$ is the current pixel intensity value,
- $I_{\text{min}}$ is the minimum intensity value present in the whole image,
- $I_{\text{max}}$ is the maximum intensity value present in the whole image,
- $I_{\text{new}}$ is the output intensity value rounded up to the nearest integer value.

```
# Assume Google Drive has been mounted, the path has been added for
# interpreter to search
# Import all the required libraries
import cv2
import numpy as np
import matplotlib.image as mpimg
import matplotlib.pyplot as plt

# Read the image
img = mpimg.imread('snorlax-low-contrast.png')

# Convert the color image to gray and show it
grayImg = cv2.cvtColor(img, cv2.COLOR_RGB2GRAY)
plt.figure()
plt.imshow(grayImg, cmap='gray', vmin=0, vmax=1)

# Convert pixel values from [0,1] to [0,255]
grayImgUint = grayImg*255
grayImgUint = grayImgUint.astype(np.uint8)

# Find min and max pixel values and perform normalization
min = np.min(grayImgUint)
max = np.max(grayImgUint)
imageContrastEnhance = ((grayImgUint-min)/(max-min))*255

# Show the image
plt.figure()
plt.imshow(imageContrastEnhance.astype(np.uint8),
           cmap='gray', vmin=0, vmax=255)
```

**Contrast Stretching Requires Global Information**

Although the formula is applied pixel by pixel, $I_{\text{min}}$ and $I_{\text{max}}$ are computed from the **whole image**, so contrast stretching depends on global statistics of the input image.

Also remember to convert the float PNG values in $[0, 1]$ to $[0, 255]$ before applying the formula, and cast back to `np.uint8` for display.

### 7.5.4 Grayscale Thresholding

**Grayscale Thresholding**

**Grayscale thresholding** is a simple form of **image segmentation**. It is a way to create a binary image from a grayscale image or full-color image. This is typically done in order to separate "object" or foreground pixels from background pixels to aid in image processing.

The formula of grayscale thresholding with threshold $T$ is defined as

$$I_{\text{new}} = \begin{cases} 0 & I < T \\ 255 & \text{otherwise} \end{cases}$$

```
# Assume Google Drive has been mounted, the path has been added for
# interpreter to search
# Import all the required libraries
import cv2
import matplotlib.image as mpimg
import matplotlib.pyplot as plt

# Read the image
img = mpimg.imread('snorlax.png')

# Convert the color image to gray and show it
grayImg = cv2.cvtColor(img, cv2.COLOR_RGB2GRAY)
plt.figure()
plt.imshow(grayImg, cmap='gray', vmin=0, vmax=1)

# Convert pixel values from [0,1] to [0,255]
grayImgUint = grayImg*255
grayImgUint = grayImgUint.astype(np.uint8)

# Perform thresholding
processedImg = grayImgUint > 128

# Show the image
plt.figure()
plt.imshow(processedImg, cmap='gray')
```

### 7.5.5 Grayscale Thresholding with Otsu's Method

We need a way to automatically determine the threshold value $T$ so that the result of thresholding is **reproducible**. A well-known approach is **Otsu's method**:

1. Select an initial estimate of the threshold $T$. A good initial value is the average intensity of the image.
2. Partition the image into two groups, $R_1$, $R_2$, using the threshold $T$.
3. Calculate the mean gray values $\mu_1$ and $\mu_2$ of the partitions $R_1$, $R_2$.
4. Compute a new threshold
$$T = \frac{1}{2}(\mu_1 + \mu_2)$$
5. Repeat steps 2–4 until the mean values $\mu_1$ and $\mu_2$ in successive iterations do not change.

To perform Otsu's thresholding in OpenCV, use the `threshold()` method.

**Syntax:**

`cv2.threshold(source, thresholdValue, maxVal, thresholdingTechnique)`

**Parameters:**

- `source`: input image array (must be grayscale).
- `thresholdValue`: value of threshold below and above which pixel values will change accordingly.
- `maxVal`: maximum value that can be assigned to a pixel.
- `thresholdingTechnique`: the type of thresholding to be applied. (For Otsu's, we put `cv2.THRESH_BINARY + cv2.THRESH_OTSU`.)

**Return values:**

1. The threshold that was used.
2. The thresholded image (i.e., the binary image).

```
# Assume Google Drive has been mounted, the path has been added for
# interpreter to search
# Import all the required libraries
import cv2
import matplotlib.image as mpimg
import matplotlib.pyplot as plt

# Read the image
img = mpimg.imread('snorlax.png')

# Convert the color image to gray and show it
grayImg = cv2.cvtColor(img, cv2.COLOR_RGB2GRAY)
plt.figure()
plt.imshow(grayImg, cmap='gray', vmin=0, vmax=1)

# Convert pixel values from [0,1] to [0,255]
grayImgUint = grayImg*255
grayImgUint = grayImgUint.astype(np.uint8)

# Perform thresholding using Otsu's method
thresh, processedImg = cv2.threshold(grayImgUint, 120, 255,
                                     cv2.THRESH_BINARY + \
   cv2.THRESH_OTSU)
print('Optimal threshold:', thresh)

# Show the image
plt.figure()
plt.imshow(processedImg, cmap='gray')
```

**Otsu Overrides Your Threshold Value**

When `cv2.THRESH_OTSU` is used, the `thresholdValue` argument (e.g., `120`) is ignored; Otsu's algorithm finds the optimal threshold automatically and returns it as the first return value.

### 7.5.6 Local Operations

Recall that **local operations** refer to those where the output value at a specific coordinate is dependent on the input values in the neighborhood of that same coordinate. Some of the most common neighborhoods are the **4-connected neighborhood** and the **8-connected neighborhood**.

**Examples of local operations:**

- **Image smoothing**: It removes noise and softens edges and corners of the image. It is also called blurring.
- **Image edge detection**: It detects the boundaries (edges) of objects, or regions within an image.

- **Image sharpening**: It removes blur, enhances details, and dehazes.

## 7.6 Image Convolution

### 7.6.1 Convolution

**Convolution**

A **convolution** is an integral that expresses the amount of overlap of one function $g$ as it is shifted over another function $f$. It therefore "blends" one function with another. In mathematics, convolution is an operation performed on two functions ($f$ and $g$) to produce a third function.

Convolution is one of the **most important operations in signal and image processing**. It could operate in:

- **1D** (e.g., speech processing),
- **2D** (e.g., image processing),
- **3D** (e.g., video processing).

### 7.6.2 Image Convolution: Definition

Image convolution is defined as

$$O(x,y) = \sum_{m=-\infty}^{\infty} \sum_{n=-\infty}^{\infty} K(m,n)\, I(x-m,\, y-n)$$

where $I$ is the input image and $K$ is the **image kernel**.

- Assume the origin (i.e., $(0,0)$) of $I$ is the top-left corner, while the origin (i.e., $(0,0)$) of $K$ is the center of the kernel.
- If the image kernel is $3 \times 3$, then

$$O(x,y) = \sum_{m=-1}^{1} \sum_{n=-1}^{1} K(m,n)\, I(x-m,\, y-n)$$

- The image kernel is also called the **image filter** or **image mask**.

**Worked Example: Computing One Convolution Output by Definition**

**Given** the input image $I$ and the $3 \times 3$ image kernel $K$:

$$I = \begin{matrix} 10 & 1 & 3 & 2 & 6 \\ 4 & 3 & 5 & 8 & 0 \\ 8 & 7 & 9 & 6 & 5 \end{matrix} \qquad K = \begin{matrix} -1 & 0 & 1 \\ -1 & 0 & 1 \\ -1 & 0 & 1 \end{matrix}$$

Find $O(1,1)$ using $O(x,y) = \sum_{m=-1}^{1} \sum_{n=-1}^{1} K(m,n)\, I(x-m, y-n)$.

**Solution.** Expanding the double sum:

$$O(1,1) = \sum_{m=-1}^{1} \Big( K(m,-1)\, I(1-m,\, 1-(-1)) + K(m,0)\, I(1-m,\, 1-0) + K(m,1)\, I(1-m,\, 1-1) \Big)$$

$$
\begin{aligned}
O(1,1) = {} & K(-1,-1)\,I(2,2) + K(-1,0)\,I(2,1) + K(-1,1)\,I(2,0) + \\
& K(0,-1)\,I(1,2) + K(0,0)\,I(1,1) + K(0,1)\,I(1,0) + \\
& K(1,-1)\,I(0,2) + K(1,0)\,I(0,1) + K(1,1)\,I(0,0)
\end{aligned}
$$

Substituting the values:

$$
\begin{aligned}
O(1,1) &= (-1)(9) + (-1)(5) + (-1)(3) + (0)(7) + (0)(3) \\
&\quad + (0)(1) + (1)(8) + (1)(4) + (1)(10) \\
&= -9 - 5 - 3 + 8 + 4 + 10 \\
&= \boxed{5}
\end{aligned}
$$

Computing the remaining output image values (at $(1,2)$ and $(1,3)$, the only other positions where the $3 \times 3$ kernel fits entirely inside the image) gives the full output row:

$$
O = \begin{array}{ccc} 5 & -5 & 6 \end{array}
$$

**Convolution Flips the Kernel Indices**

Note how $I(x-m, y-n)$ causes the kernel to be applied in a reversed (flipped) manner: $K(-1,-1)$ pairs with the bottom-right pixel $I(2,2)$ of the neighborhood, while $K(1,1)$ pairs with the top-left pixel $I(0,0)$. This flipping is what distinguishes **convolution** from **correlation**.

### 7.6.3 A Less Tedious, Intuitive Way

Computing convolution by the raw formula is very tedious. There is an intuitive procedure:

1. **Inverse the kernel**, i.e., flip the kernel in both the horizontal and vertical directions about the center of the kernel.
2. **Slide** the inversed kernel over the image, centered at the interested point.
3. **Multiply** the inversed kernel data with the overlapped area.
4. **Sum and accumulate** the output.

For the kernel above:

$$
\underbrace{\begin{array}{ccc} -1 & 0 & 1 \\ -1 & 0 & 1 \\ -1 & 0 & 1 \end{array}}_{\text{Original kernel}}
\xrightarrow{\text{flip horizontally}}
\underbrace{\begin{array}{ccc} 1 & 0 & -1 \\ 1 & 0 & -1 \\ 1 & 0 & -1 \end{array}}_{\text{Flipped horizontally}}
\xrightarrow{\text{flip vertically}}
\underbrace{\begin{array}{ccc} 1 & 0 & -1 \\ 1 & 0 & -1 \\ 1 & 0 & -1 \end{array}}_{\text{Flipped vertically}}
$$

Then overlay the flipped kernel on the neighborhood of the target pixel, multiply element-wise, and sum.

### 7.6.4 Boundary Problem

**Problem: How to Handle Pixels at the Boundary?**

When computing an output pixel at the **boundary** of an image, a portion of the convolution kernel is usually off the edge of the image. How to deal with this?

**Solutions:**

1. **Just ignore** those boundary pixels.
2. **Zero padding**: add a border of pixels all with value zero around the edges of the

input image.

$$\begin{matrix} 0 & 0 & 0 & 0 & 0 & 0 & 0 \\ 0 & 10 & 1 & 3 & 2 & 6 & 0 \\ 0 & 4 & 3 & 5 & 8 & 0 & 0 \\ 0 & 8 & 7 & 9 & 6 & 5 & 0 \\ 0 & 0 & 0 & 0 & 0 & 0 & 0 \end{matrix}$$

3. **Replicating** boundary pixels (copy the nearest edge pixel outward).

$$\begin{matrix} 10 & 10 & 1 & 3 & 2 & 6 & 6 \\ 10 & 10 & 1 & 3 & 2 & 6 & 6 \\ 4 & 4 & 3 & 5 & 8 & 0 & 0 \\ 8 & 8 & 7 & 9 & 6 & 5 & 5 \\ 8 & 8 & 7 & 9 & 6 & 5 & 5 \end{matrix}$$

4. **Reflecting** boundary pixels.
5. **Mirroring** boundary pixels.

### 7.6.5 Image Convolution in OpenCV

To do image convolution, use the `filter2D()` method of the `cv2` module.

**Syntax:**

```
cv2.filter2D(src, ddepth, kernel, dst, anchor, delta,
borderType=cv2.BORDER_DEFAULT)
```

**Parameters:**

- `src`: input image that you want to convolve.
- `ddepth`: desired depth of the destination image. If `ddepth = -1`, the output image will have the same depth as `src`.
- `kernel`: convolution kernel, a single-channel floating point matrix; if you want to apply different kernels to different channels, split the image into separate color planes using `split` and process them individually.
- `dst`: output image of the same size and the same number of channels as `src`.
- `anchor`: anchor of the kernel that indicates the relative position of a filtered point within the kernel; the anchor should lie within the kernel; default value $(-1, -1)$ means that the anchor is at the kernel center.
- `delta`: optional value added to the filtered pixels before storing them in `dst`.
- `borderType`: pixel extrapolation method:
  - `cv2.BORDER_CONSTANT`: `iiiiii|abcdefgh|iiiiiii` with some specified `i`
  - `cv2.BORDER_REPLICATE`: `aaaaaa|abcdefgh|hhhhhh`
  - `cv2.BORDER_REFLECT`: `fedcba|abcdefgh|hgfedcb`
  - `cv2.BORDER_REFLECT_101`: `gfedcb|abcdefgh|gfedcba`
  - `cv2.BORDER_DEFAULT`: same as `BORDER_REFLECT_101`

**Return value:** filtered image.

**filter2D Does NOT Mirror the Kernel**

`filter2D` does not mirror the kernel for you (it actually computes a **correlation**). You will need to **flip the kernel yourself** before applying `cv2.filter2D` if you want a true convolution. For symmetric kernels (e.g., the averaging kernel) this makes no difference, but for asymmetric kernels (e.g., Prewitt/Sobel) the sign of the result changes.

```
# Assume Google Drive has been mounted, the path has been added for
# interpreter to search
# Import all the required libraries
import cv2
import numpy as np
import matplotlib.image as mpimg
import matplotlib.pyplot as plt
```

```
# Read the image
img = mpimg.imread('snorlax-sleep.png')

# Convert the color image to gray and show it
grayImg = cv2.cvtColor(img, cv2.COLOR_RGB2GRAY)
plt.figure()
plt.imshow(grayImg, cmap='gray', vmin=0, vmax=1)

# Prepare a kernel (a sharpening kernel here)
kernel_3x3 = np.array([[0, -1, 0],
                       [-1, 5, -1],
                       [0, -1, 0]])

for i in range(5):  # Perform filtering 5 times
    grayImg = cv2.filter2D(grayImg, -1, kernel_3x3)

# Show the resulting image
plt.figure()
plt.imshow(grayImg, cmap="gray", vmin=0, vmax=1)
```

### 7.6.6 Smoothing (Averaging/Blurring) Kernel

$$K_{\text{avg}} = \frac{1}{9}\begin{pmatrix}1 & 1 & 1\\ 1 & 1 & 1\\ 1 & 1 & 1\end{pmatrix}$$

- **Blurring an image can be done by averaging pixels.** Each output pixel becomes the average of the $3 \times 3$ neighborhood.
- Analogous to integration; related to the sum of pixel intensity values.
- **Effect of kernel size**: using $3 \times 3$, $5 \times 5$, $15 \times 15$ and $25 \times 25$ masks produces progressively stronger blurring — the larger the mask, the more each pixel is averaged with a wider neighborhood, so the more detail is lost.

### 7.6.7 Sharpening Kernel

$$\underbrace{\begin{pmatrix}0 & 0 & 0\\ 0 & 1 & 0\\ 0 & 0 & 0\end{pmatrix}}_{\text{Original image}} + \underbrace{\begin{pmatrix}-1 & -1 & -1\\ -1 & 8 & -1\\ -1 & -1 & -1\end{pmatrix}}_{\text{Detail (Edge)}} = \underbrace{\begin{pmatrix}-1 & -1 & -1\\ -1 & 9 & -1\\ -1 & -1 & -1\end{pmatrix}}_{\text{Sharpened image}}$$

- **Sharpening has the opposite effect of blurring.** Conceptually: sharpened = original + edge detail (the high-frequency component).
- Analogous to differentiation; related to the difference of pixel intensity values.
- A commonly used sharpening variant (used in the code example above) is

$$\begin{pmatrix}0 & -1 & 0\\ -1 & 5 & -1\\ 0 & -1 & 0\end{pmatrix}.$$

### 7.6.8 Edge Kernel — Prewitt

$$K_{\text{vertical}} = \begin{pmatrix}-1 & 0 & 1\\ -1 & 0 & 1\\ -1 & 0 & 1\end{pmatrix} \qquad K_{\text{horizontal}} = \begin{pmatrix}-1 & -1 & -1\\ 0 & 0 & 0\\ 1 & 1 & 1\end{pmatrix}$$

The left kernel detects **vertical edges** and the right kernel detects **horizontal edges**. Combining the two responses gives the **edge magnitude**:

$$|G| = \sqrt{G_x^2 + G_y^2}$$

where $G_x$ and $G_y$ are the outputs of the vertical-edge and horizontal-edge kernels, respectively. (Pixels of the processed images are usually inverted, i.e., black to white, white to black, for making them more visible.)

### 7.6.9 Edge Kernel — Sobel

$$K_{\text{vertical}} = \begin{pmatrix} -1 & 0 & 1 \\ -2 & 0 & 2 \\ -1 & 0 & 1 \end{pmatrix} \qquad K_{\text{horizontal}} = \begin{pmatrix} -1 & -2 & -1 \\ 0 & 0 & 0 \\ 1 & 2 & 1 \end{pmatrix}$$

- The Sobel kernels are like the Prewitt kernels but give **more weight (2) to the center row/column**, which makes them slightly more robust to noise.
- The **edge magnitude** is computed the same way: $|G| = \sqrt{G_x^2 + G_y^2}$, where $|G_x|$ and $|G_y|$ are the responses of the vertical-edge and horizontal-edge kernels.

**Blurring vs. Sharpening vs. Edge Detection**

- **Smoothing kernel**: all weights positive and sum to 1 (weighted averaging) — analogous to integration.
- **Sharpening kernel**: a strong positive center with negative surroundings (weights sum to 1, e.g., $9 - 8 = 1$) — original plus detail.
- **Edge kernels (Prewitt/Sobel)**: weights sum to 0 — flat regions produce zero output, only intensity changes (edges) respond — analogous to differentiation.

### 7.6.10 Why Convolution Matters: Towards CNNs

Clearly, image convolution is powerful in finding the features of an image if we already know the right kernel to use. Kernel design is an art and has been refined over the last few decades to do some pretty amazing things with images.

**The Key Question Leading to CNNs**

But the important question is: what if we don't know the features we are looking for? Or what if we do know, but we don't know what the kernel should look like? — This is exactly the motivation for **Convolutional Neural Networks**: let the network learn the kernels (filters) from data instead of hand-designing them.

## 7.7 Practice Problem (Fully Worked)

**Practice Problem: Averaging Kernel and Sobel Edge Magnitude**

A 3-bit/pixel image (i.e., pixel value is in range 0 to $2^3 = 8$) of size $3 \times 3$ is given below:

$$I = \begin{matrix} 3 & 7 & 6 \\ 2 & 4 & 6 \\ 4 & 7 & 2 \end{matrix}$$

1. Find the output of a $3 \times 3$ **averaging kernel** at $(1, 1)$.
2. Find the **edge magnitude** at $(1, 1)$ using the Sobel masks shown below.

$$K_{\text{horizontal}} = \begin{pmatrix} -1 & -2 & -1 \\ 0 & 0 & 0 \\ 1 & 2 & 1 \end{pmatrix} \qquad K_{\text{vertical}} = \begin{pmatrix} -1 & 0 & 1 \\ -2 & 0 & 2 \\ -1 & 0 & 1 \end{pmatrix}$$

(Sobel kernel for extracting horizontal edges on the left; Sobel kernel for extracting vertical edges on the right.)

**Note:** Edge magnitude = $\sqrt{\text{horizontal edge value}^2 + \text{vertical edge value}^2}$.

**Solution.**
**Part 1: Averaging kernel at** $(1,1)$**.**
The output value of a $3 \times 3$ averaging kernel at $(1,1)$ is the mean of all 9 pixels:

$$O(1,1) = \frac{3+7+6+2+4+6+4+7+2}{9} = \frac{41}{9} \approx 4.56$$

**Part 2: Sobel edge magnitude at** $(1,1)$**.**
**Step 1 — Horizontal edge value.** Flip the horizontal-edge kernel both horizontally and vertically:

$$\begin{pmatrix} -1 & -2 & -1 \\ 0 & 0 & 0 \\ 1 & 2 & 1 \end{pmatrix} \xrightarrow{\text{flip}} \begin{pmatrix} 1 & 2 & 1 \\ 0 & 0 & 0 \\ -1 & -2 & -1 \end{pmatrix}$$

Overlay on the image, multiply element-wise, and sum:

$$\begin{aligned} G_y &= (1)(3) + (2)(7) + (1)(6) + (0)(2) + (0)(4) \\ &\quad + (0)(6) + (-1)(4) + (-2)(7) + (-1)(2) \\ &= 3 + 14 + 6 - 4 - 14 - 2 = 3 \end{aligned}$$

**Step 2 — Vertical edge value.** Flip the vertical-edge kernel both horizontally and vertically:

$$\begin{pmatrix} -1 & 0 & 1 \\ -2 & 0 & 2 \\ -1 & 0 & 1 \end{pmatrix} \xrightarrow{\text{flip}} \begin{pmatrix} 1 & 0 & -1 \\ 2 & 0 & -2 \\ 1 & 0 & -1 \end{pmatrix}$$

Overlay on the image, multiply element-wise, and sum:

$$\begin{aligned} G_x &= (1)(3) + (0)(7) + (-1)(6) + (2)(2) + (0)(4) \\ &\quad + (-2)(6) + (1)(4) + (0)(7) + (-1)(2) \\ &= 3 - 6 + 4 - 12 + 4 - 2 = -9 \end{aligned}$$

**Step 3 — Edge magnitude.**

$$|G| = \sqrt{G_x^2 + G_y^2} = \sqrt{(3)^2 + (-9)^2} = \sqrt{90} \approx 9.49$$

# 8 Convolutional Neural Networks

## 8.1 Introduction

### 8.1.1 Overview

In this topic, we continue to discuss how to implement an AI for image recognition and classification. This time, we use **Convolutional Neural Networks (CNNs)** to train the AI agent to know how to recognize/classify images.

CNNs can also be used to train AI agents to solve other problems, such as:

- natural language processing,
- speech recognition,
- recommendation systems,
- image segmentation,
- medical image analysis,
- financial time series, etc.

### 8.1.2 A Brief History

Convolutional neural networks were developed in the **late 1980s** and then forgotten about due to the **lack of processing power**. With the powerful **Graphical Processing Units (GPUs)**, the research on CNNs and deep learning was given new life.

CNNs are used in many applications:

- **Object recognition in images and videos** (e.g., image search in Google, tagging friends' faces on Facebook, adding filters in Snapchat and tracking movement in Kinect).
- **Natural language processing** (speech recognition in Google Assistant or Amazon's Alexa).
- **Playing games** (the defeat of the World "Go" champion by DeepMind at Google).
- **Medical innovation** (from drug discovery to prediction of disease).

## 8.2 What are Convolutional Neural Networks?

A **Convolutional Neural Network (CNN or ConvNet)** is very much related to the standard **Artificial Neural Network (ANN)** that we have previously encountered.

**Definition: Convolutional Neural Network**

A **convolutional neural network** is a neural network with a **convolution operation** in at least one of the layers.

### 8.2.1 How Does Convolution Feed Into CNNs?

- Every **pixel** in an image is a **feature**, and that means it represents an **input node**.
- The result from each convolution is placed into the next layer in a **hidden node**. Each feature or pixel of the convolved image is a node in the hidden layer.
- So, what are the numbers in the kernel? They are **weights** connecting the features of the input image and the nodes of the hidden layer. These weights that connect to the nodes need to be **learned**, exactly as in a regular neural network.

The intuitive idea is that a CNN learns a **hierarchy of features**: early layers pick up simple patterns such as edges and curves, while deeper layers combine them into larger-scale structures used for recognition.

## 8.3 Layers of a CNN

The main types of layers used to build a Convolutional Neural Network (CNN/ConvNet) are:

1. **Input layer**
2. **Convolutional layer**
3. **Pooling layer**
4. **Fully-connected layer**
5. **Output layer**

### 8.3.1 Input Layer

The input image is placed into this layer. It can be:

- a single-layer 2D image (**grayscale**),
- 3-channel 2D images (**RGB color**),
- or 3D.

**Running Example**

In the running example of the slides, the input images are **3-channel 2D images** of 28 pixels by 28 pixels (RGB color), i.e., $28 \times 28 \times 3$. The **kernels need to be learned** and have the **same depth as the input**: the depth of the kernels applied on the input layer is 3, with spatial size $5 \times 5$.

### 8.3.2 Convolutional Layer

The **convolutional layer** convolves the input volume with a set of learnable kernels and produces an output volume of **feature maps** (one per kernel).

**Example: Input/Output Dimensions of a Convolutional Layer**

**Input:** an image of size $28 \times 28 \times 3$; 10 kernels, i.e., $10 \times 5 \times 5 \times 3$.
**Assumption:** ignore those pixels that do not have 24 neighboring pixels (a $5 \times 5$ neighborhood has 24 neighbors around the center pixel; equivalently, no padding is used).
**Output:** $24 \times 24 \times 10$, because per spatial dimension $(28 - 5)/1 + 1 = 24$, and each of the 10 kernels produces one output channel.

### 8.3.3 Stride

**Stride** is the amount of movement between applications of the kernel to the input image.

- The default stride (or strides in 2D) is $(1, 1)$ for the height and the width movement.
- The kernel is moved across the image left to right, top to bottom, with a one-pixel column change on the horizontal movements, then a one-pixel row change on the vertical movements.
- The stride can be changed, which has an effect both on how the kernel is applied to the image and, in turn, on the **size of the resulting output**.
- In Keras, the stride can be specified on the `Conv2D` layer via the `stride` argument, specified as a tuple with height and width.

**Why Set the Stride to a Larger Number?**

- Larger strides lead to **less overlap**, which means a **lower output volume**.
- **Less memory** is needed for the output.
- It helps **avoid overfitting**, especially in the case of image processing with a large number of attributes.

### 8.3.4 A Closer Look at Spatial Dimensions

Suppose an input image is of size $7 \times 7$ and convolution is performed using a $3 \times 3$ kernel.

- With **stride** 1, the $3 \times 3$ kernel can be placed with its top-left corner at 5 horizontal and 5 vertical positions — that is why the output is $5 \times 5$.
- With **stride** 2, we move the kernel 2 pixels at a time, and so on — that is why the output is $3 \times 3$.

**A Stride That Does Not Fit**

How about a $7 \times 7$ input image and a $3 \times 3$ kernel applied with **stride** 3? We cannot apply the $3 \times 3$ kernel with stride 3 since it **does not fit** — it does not reach the input image boundary exactly: $(7 - 3)/3 + 1 = 2.33$ is not an integer.

### 8.3.5 Useful Formula for Determining the Size of the Output Image

**Output Size of a Convolutional Layer**

$$\text{Output size} = \frac{\text{Size of image dimension} - \text{Size of kernel dimension}}{\text{Stride}} + 1$$

**Example: $7 \times 7$ Image with a $3 \times 3$ Kernel**

Size of image dimension $= 7$; size of kernel dimension $= 3$.

- Stride 1 $\Rightarrow$ output size $= (7-3)/1 + 1 = 5$.
- Stride 2 $\Rightarrow$ output size $= (7-3)/2 + 1 = 3$.
- Stride 3 $\Rightarrow$ output size $= (7-3)/3 + 1 = 2.33$ (does not fit!).

### 8.3.6 Dilated Convolution (Exam Supplement)

**Dilated Convolution (a.k.a. Atrous Convolution)**

**Dilated convolution** is a variation of the standard convolution that **skips input elements** according to a dilation rate $d$: the kernel touches one input pixel every $d$ pixels, so it "sees" a **larger area of the input without increasing the number of parameters**. ($d = 1$ recovers the standard convolution.)

- **Effective kernel size:** a $k \times k$ kernel with dilation rate $d$ spans

$$k_{\text{eff}} = k + (k-1)(d-1)$$

  pixels, e.g., a $3 \times 3$ kernel with $d = 2$ covers a $5 \times 5$ region but still has only 9 weights.
- **Output size:** plug $k_{\text{eff}}$ into the usual formula:

$$\text{Output size} = \left\lfloor \frac{n - k_{\text{eff}} + 2p}{s} \right\rfloor + 1$$

- **'Same' padding:** choose $p = \dfrac{(k-1)\,d}{2}$ so that the output keeps the input dimensions.
- Stacking dilated layers with $d = 1, 2, 4, \ldots$ grows the **receptive field exponentially**, which is why dilated convolutions are popular for dense prediction (e.g., segmentation) and audio modeling.

**Exam-Style Practice: Implementing Dilated Convolution (Final 2024S Problem 6; Final 2025F Question 8.2)**

Complete the NumPy implementation of `dilated_convolution(input_array, kernel, dilation_rate=1, stride=1, padding='valid')`:

```
# 'same' padding width
pad = ((kernel.shape[0] - 1) * dilation_rate) // 2
# output dimensions
output_rows = (input_array.shape[0] - kernel.shape[0] * \
   dilation_rate + 2 * pad) // stride + 1
# input rows touched by kernel row i (dilation spaces the taps)
input_row_indices = np.arange(0, output_rows * stride, stride) + i \
   * dilation_rate
# accumulate the contribution of kernel entry (i, j)
output_array += kernel[i, j] * \
   padded_input[np.ix_(input_row_indices, input_col_indices)]
```

**Key idea:** kernel entry $(i, j)$ multiplies input pixels at rows $i \cdot d + \{0, s, 2s, \dots\}$ — the dilation rate spaces out both the kernel taps and the sampled input indices, while `np.ix_` builds the open mesh needed to slice the 2D region.

### 8.3.7 Zero Padding

When a kernel convolves a given input image, the dimensions of the output image are **reduced**. For example:

- The input image size is $28 \times 28$.
- Convolving the image using a $3 \times 3$ kernel, the output image size is $26 \times 26$, since we ignore those pixels without 8 neighbors.

How to preserve the size of the output image? **Zero padding!**

**Zero Padding**

**Zero padding** occurs when we add a **border of pixels, all with value zero**, around the boundaries of the input image.
For implementations of CNNs using Keras, there are two categories of padding:

- `valid` — i.e., **no padding**;
- `same` — **pad** the original input with zeros before we convolve so that the output size is the same size as the input size.

**Example: $7 \times 7$ Image, $3 \times 3$ Kernel, 1-Pixel Zero Border, Stride 1**

Suppose we do padding with a 1-pixel-width border and use stride 1. What is the output image size?

- Size of image dimension $= 7$; size of kernel dimension $= 3$; pad with a 1-pixel border.
- The padded image has dimension $7 + 2 \times 1 = 9$.
- Output image size $= \dfrac{(7+2)-3}{1} + 1 = 7$ — the spatial size is preserved.

**Common Choice That Preserves the Spatial Size**

In general, it is common to see convolutional layers with **stride** 1, kernels of size $K \times K$, and **zero-padding with** $(K-1)/2$ pixels. It will preserve the size spatially.
Padded border size:

- If $K = 3$, zero-pad with $(3-1)/2 = 1$ (1-pixel border).
- If $K = 5$, zero-pad with $(5-1)/2 = 2$ (2-pixel border).
- If $K = 7$, zero-pad with $(7-1)/2 = 3$ (3-pixel border).

**All-in-One Example**

**Given:**

- Input image size $= 32 \times 32 \times 3$.
- 10 kernels, each of size $5 \times 5 \times 3$.
- Stride $= 1$; pad with a 2-pixel border.

**Output size:**

$$\text{Output size} = \frac{(32+4)-5}{1} + 1 = 32 \quad \Longrightarrow \quad \text{output volume size} = 32 \times 32 \times 10.$$

**Number of parameters in this layer:**

- Each kernel has $5 \times 5 \times 3 + 1 = 76$ parameters (+1 for the bias).
- We have 10 kernels, so there are $76 \times 10 = 760$ parameters in total.

### 8.3.8 Non-linearity

Convolution is a **linear** operation. We need **non-linearity**; otherwise, 2 convolution layers would be no more powerful than 1.

- The non-linearity is not its own distinct layer of the CNN, but comes as **part of the convolution layer**, as it is done in the neurons (just like a normal artificial neural network).
- In a neural network, we use different activation functions, typically the **sigmoid**. But the **rectified linear unit (ReLU)** is more popular for CNNs, as it does not require any expensive computation. It has been shown to **speed up the convergence of stochastic gradient descent** algorithms.

$$\text{Sigmoid}(x) = \frac{1}{1+e^{-x}} \qquad \text{ReLU}(x) = \max(0, x)$$

### 8.3.9 Pooling Layer

The **pooling layer** is key to ensuring that the subsequent layers of the CNN can pick up **larger-scale detail** than just edges and curves.

- It does this by **merging pixel regions** in the convolved image together (shrinking the image) before attempting to learn kernels on it.

Two popular ones:

- **Max pooling:** done by applying a max filter to non-overlapping subregions of the initial representation.
- **Average pooling:** done by applying an average filter to non-overlapping subregions of the initial representation.

**Example: $2 \times 2$ Max Pooling and Average Pooling**

Consider the following $6 \times 4$ representation:

$$\begin{bmatrix} 12 & 20 & 30 & 0 \\ 8 & 12 & 2 & 0 \\ 20 & 30 & 13 & 8 \\ 34 & 70 & 37 & 4 \\ 112 & 37 & 79 & 20 \\ 112 & 100 & 25 & 12 \end{bmatrix}$$

Apply $2 \times 2$ pooling over the non-overlapping subregions. For example, for the top-left subregion:

$$\text{Max: } \max(12, 20, 8, 12) = 20, \qquad \text{Average: } \frac{12+20+8+12}{4} = 13.$$

Repeating for all six subregions:

$$\textbf{Max pooling: } \begin{bmatrix} 20 & 30 \\ 70 & 37 \\ 112 & 79 \end{bmatrix} \qquad \textbf{Average pooling: } \begin{bmatrix} 13 & 8 \\ 38.5 & 15.5 \\ 90.25 & 34 \end{bmatrix}$$

**Benefits of Pooling**

Pooling can also **tolerate local distortion and translation** of the patterns of interest, and **reduce the computational load, memory usage, and the number of parameters**.

### 8.3.10 3D Convolution and 3D Pooling (Exam Supplement)

**3D Convolution**

A **3D convolution** slides a 3D kernel over a volume — e.g., video data (frames × width × height), where time is treated as the third dimension. Unlike 2D convolution, which only analyzes spatial patterns within a single frame, 3D convolution captures **temporal dynamics as well as spatial features**, which is essential for action recognition, video classification, and anomaly detection in video streams.

- **Kernel shape:** $(k_D, k_H, k_W)$, e.g., $(3, 3, 3)$ = (keyframes, width, height).
- **Output size:** apply the usual rule independently per dimension: $\left\lfloor \frac{n-k+2p}{s} \right\rfloor + 1$.
- **#weights** $= k_D \cdot k_H \cdot k_W \cdot C_{\text{in}} \cdot$ #kernels; **#biases** = #kernels.
- **3D pooling** works analogously: a $(2, 2, 2)$ max pool halves all three dimensions, e.g., $(32, 10, 64, 64) \to (32, 5, 32, 32)$, and has 0 parameters.

**Exam-Style Practice: 3D CNN — Shapes, Parameters and FLOPs (Final 2024S Problem 7(c); Final 2025F Question 8.1)**

**(a) Shapes and parameters.** Video data of shape $(32, 400, 300, 3)$ = (#keyframes, width, height, #channels) is convolved with 100 kernels of shape $(3, 3, 3)$, padding $(0, 2, 2)$, stride $(1, 2, 2)$.

- Output shape: $\left(\frac{32-3+0}{1}+1,\ \left\lfloor\frac{400-3+4}{2}\right\rfloor+1,\ \left\lfloor\frac{300-3+4}{2}\right\rfloor+1,\ 100\right) = (30, 201, 151, 100)$.
- #weights $= 3 \cdot 3 \cdot 3 \cdot 3 \cdot 100 = 8100$; #biases $= 100$.

**(b) Counting FLOPs.** A `CONV3D` layer maps $(16, 10, 64, 64) \to (32, 10, 64, 64)$ with $3 \times 3 \times 3$ kernels.

- Per output element: the dot product over the kernel volume costs $3 \cdot 3 \cdot 3 \cdot 16 = 432$ multiplications + 431 additions + 1 bias = 864 operations.
- Number of output elements: $32 \cdot 10 \cdot 64 \cdot 64 = 1{,}310{,}720$.
- Total FLOPs $= 864 \times 1{,}310{,}720 = 1{,}132{,}462{,}080$.

### 8.3.11 Fully-Connected (Dense) Layer

- The **fully-connected layer** is a traditional **multi-layer perceptron** that uses a **softmax** activation function in the output layer.
- The term "fully-connected" implies that every neuron in the previous layer is connected to every neuron in the next layer.
- The output from the convolutional and pooling layers represents **high-level features** of the input image.
- The purpose of the fully-connected layer is to use these features for **classifying** the input image into various classes based on the training dataset.

**Summary: Feature Extractors vs. Classifier**

**Convolutional + Pooling layers** act as feature extractors from the input image, while the **fully-connected layer** acts as a classifier.

## 8.4 Overall Training Process of a CNN

1. We initialize all kernels and parameters/weights with **random values**.
2. The network takes a training image as input, goes through the **forward propagation** step (convolution, ReLU and pooling operations along with forward propagation in the fully-connected layer) and finds the **output probabilities** for each class.

3. Calculate the **total error** at the output layer.
4. Use **backpropagation** to update all kernel values/weights and parameter values to **minimize the output error**.
5. Repeat steps 2–4 with all images in the training set.

## 8.5 Overfitting and the Dropout Layer

### 8.5.1 Recall: Overfitting and Underfitting

**Overfitting** refers to a model that was trained too much on the particulars of the training data (when the model learns the **noise** in the dataset). A model that is overfitted will **not perform well on new, unseen data**.

**Underfitting** typically refers to a model that has not been trained sufficiently. This could be due to insufficient training time or a model that was simply not trained properly. A model that is underfitted will perform **poorly on the training data and on new, unseen data alike**.

### 8.5.2 Dropout Layer

- A large neural network trained on a relatively small dataset can **overfit** the training data. This has the effect of the model learning the **statistical noise** in the training data, which results in poor performance when the model is evaluated on new data, e.g., a test dataset. The **generalization error increases** due to overfitting.
- **Dropout** is a simple way to prevent neural networks from overfitting.
- Dropout is a **regularization method**. During training, some number of layer outputs are **randomly ignored** or "dropped out".
- Dropout has the effect of forcing nodes within a layer to **probabilistically take on more or less responsibility** for the inputs.
- Because the outputs of a layer under dropout are **randomly subsampled**, it has the effect of **reducing the capacity** or **thinning the network** during training. As such, a **wider network**, e.g., more nodes, may be required when using dropout.

### 8.5.3 How to Dropout?

- Dropout is implemented **per-layer** in a neural network.
- It can be used with most types of layers, such as **dense fully-connected layers**, **convolutional layers**, etc.
- Dropout may be implemented on any or all hidden layers in the network and the **input layer**.
- It is **not used on the output layer**.
- A parameter is introduced that specifies the **probability** at which the outputs of the layer are dropped out (or, inversely, the probability at which the outputs of the layer are retained).
- A common value is a probability of 0.5 for retaining the output of each node in a hidden layer.

**Where Dropout Is Not Applied**

Dropout may be used on the input layer and any or all hidden layers, but it is **never used on the output layer**.

**Exam-Style Practice: Implementing (Inverted) Dropout in NumPy (Final 2024S Problem 6(b); Final 2025F Question 8.3)**

Given an input array `X` of shape $(N, 1, 1, C)$ and a keep probability `keep_prob`, im-

plement dropout:

```
mask = np.random.rand(N, 1, 1, C) < keep_prob   # binary mask: True \
   with prob keep_prob
X = X * mask                                    # drop random \
   elements
X = X / keep_prob                               # rescale so the \
   expected sum is unchanged
```

**Key idea:** dividing by `keep_prob` (inverted dropout) keeps the expected activation magnitude the same as without dropout, so **no rescaling is needed at test time**. This mirrors Keras' behavior: "inputs not set to 0 are scaled up by $1/(1 - \text{rate})$".

## 8.6 Handwritten Digits Recognition using CNN

We will build a CNN model to recognize/classify handwritten digits.

### 8.6.1 Dataset

We use the **Modified National Institute of Standards and Technology (MNIST)** dataset. This dataset contains two sets of samples:

- **Training data:** 60000 images of handwritten digits from 0 to 9, each of size 28 pixel $\times$ 28 pixel.
- **Testing data:** 10000 images of size 28 pixel $\times$ 28 pixel.

### 8.6.2 Procedures

1. Import required libraries and define global variables.
2. Load and prepare the data.
3. Build the model.
4. Compile the model.
5. Train the model.
6. Evaluate the model accuracy.
7. Save the model.
8. Use the model.

Please refer to the lecture on MLP for data exploration.

### 8.6.3 Step 1: Import Required Libraries and Define Global Variables

```
import numpy as np # Import numpy library
import matplotlib.pyplot as plt # Import mathplot library
import datetime # Import datetime library
from keras.datasets import mnist # Import MNIST dataset
from keras.models import Sequential # Import Sequential class
from keras.layers import Conv2D, MaxPooling2D # Import Conv2D, \
   MaxPooling2D class
from keras.layers import Dense, Dropout, Flatten # Import Dense, \
   Dropout, Flatten class
from keras.utils import to_categorical # Import numpy-related utilities
from keras.callbacks import TensorBoard # Import TensorBoard class
from keras.models import load_model # Import load_model method
from tensorflow.keras.utils import plot_model # Import plot_model method
from tensorflow.math import confusion_matrix # Import confusion matrix \
   method
# Import categorical crossentropy loss
from tensorflow.keras.metrics import categorical_crossentropy
```

```
batch_size = 128 # Number of samples per gradient update
num_classes = 10 # Number of classes in the dataset
epochs = 1 # Number of epochs to train the model
img_rows, img_cols = 28, 28 # Image dimensions
```

### 8.6.4 Step 2: Load and Prepare the Data

```
# Load data
# x_train is a NumPy array of grayscale image data with shapes (60000, \
   28, 28)
# y_train is a NumPy array of digit labels (in range 0-9) with shape \
   (60000,)
# x_test is a NumPy array of grayscale image data with shapes (10000, \
   28, 28)
# y_test is a NumPy array of digit labels (in range 0-9) with shape \
   (10000,)
(x_train, y_train), (x_test, y_test) = mnist.load_data()
x_train = x_train.reshape(60000,28,28,1) # Reshape the data to \
   4-dimension
x_test = x_test.reshape(10000,28,28,1) # Reshape the data to 4-dimension

# There are 10 classes and classes are represented as unique integers
# To do so, transforming the integer into a 10 element binary vector \
   with
# a 1 for the index of the class value, and 0 values for all other \
   classes
y_train = to_categorical(y_train, num_classes)
y_test = to_categorical(y_test, num_classes)
```

### 8.6.5 One-Hot Encoding

`to_categorical()` converts a **class vector** (integers from 0 to the number of classes) to a **binary class matrix**, for use of **categorical crossentropy**.

**Example:** assuming the labeled dataset has a total of six classes (0 to 5), and `y_train` is the true label array:

```
y_train = [1, 0, 3, 4, 5, 0, 2, 1]
to_categorical(y_train, num_classes=6)
# Output
# array([[ 0., 1., 0., 0., 0., 0.],
#        [ 1., 0., 0., 0., 0., 0.],
#        [ 0., 0., 0., 1., 0., 0.],
#        [ 0., 0., 0., 0., 1., 0.],
#        [ 0., 0., 0., 0., 0., 1.],
#        [ 1., 0., 0., 0., 0., 0.],
#        [ 0., 0., 1., 0., 0., 0.],
#        [ 0., 1., 0., 0., 0., 0.]])
```

**When to use one-hot encoding?** In a situation where **data has no relation to each other**.

- The order of integers would be treated as a significant characteristic by a machine learning algorithm. In other words, a large number would be interpreted as better or more significant than a smaller number.
- While this is useful in some **ordinal** scenarios, certain input data lacks a ranking for categorical values, which can cause problems with predictions and performance.
- That is why we use one-hot encoding.

**Benefits of One-Hot Encoding**

Training data is **more usable and expressive** as a result of one-hot encoding, and it can be **re-scaled easily**.

**Question: Why is One-Hot Encoding Applied to Labels?**

Because the class labels are **categorical**, not ordinal: the digit label 9 is not "larger" or "better" than the digit label 3. One-hot encoding stops the model from treating the integer labels as an ordered quantity and matches the **categorical crossentropy** loss used for multi-class classification.

### 8.6.6 Step 3: Build the Model

Instead of building the model from scratch, we will use the software library **Keras**.

**Layers:**

1. **Layer 1:** Convolutional layer with 32 kernels of size $3 \times 3$ and ReLU activation (input size: $28 \times 28 \times 1$).
2. **Layer 2:** Convolutional layer with 64 kernels of size $3 \times 3$ and ReLU activation.
3. **Layer 3:** Max Pooling layer with a $2 \times 2$ kernel.
4. **Layer 4:** Dropout layer with a rate 0.25. It randomly sets input units to 0 with a frequency of 0.25 at each step during training time, which helps prevent overfitting. Inputs not set to 0 are scaled up by $1/(1 - \text{rate})$ such that the sum over all inputs is unchanged.
5. **Layer 5:** Flatten layer that will flatten a 2D image into 1D.
6. **Layer 6:** Dense layer with 128 neurons and ReLU activation.
7. **Layer 7:** Dropout layer with a rate 0.5.
8. **Layer 8:** Dense layer with 10 neurons (1 per class) and Softmax activation.

```
model = Sequential() # Create a Sequential object
# Add a convolutional layer with 32 kernels, each of size 3x3
# Use ReLU activation function, padding="valid", strides=(1,1)
# Specify the input size to this convolutional layer: (28,28,1)
# Note: Input size needs to be specified for the first layer only
model.add(Conv2D(filters=32, kernel_size=(3, 3), activation='relu', \
   input_shape=(28,28,1)))
# Add another convolutional layer with 64 kernels, each of size 3x3
# Use ReLU activation function, padding="valid", strides=(1,1)
model.add(Conv2D(filters=64, kernel_size=(3, 3), activation='relu'))
# Add a max pooling layer of size 2 x 2
model.add(MaxPooling2D(pool_size=(2, 2)))
# Add a dropout layer to prevent a model from overfitting
model.add(Dropout(0.25))
# Add a flatten layer to convert the pooled data to a single column
# that is passed to the fully-connected layer
model.add(Flatten())
# Add a dense layer (fully-connected layer) and use ReLU activation \
   function
model.add(Dense(units=128, activation='relu'))
# Add a dropout layer to prevent a model from overfitting
model.add(Dropout(0.5))
# Add a dense layer (fully-connected layer) and use Softmax activation \
   function
model.add(Dense(units=num_classes, activation='softmax'))
```

### 8.6.7 Model Summary and Counting Parameters

Print the model summary with `model.summary()`:

```
_________________________________________________________________
Layer (type)                 Output Shape              Param #
=================================================================
conv2d (Conv2D)              (None, 26, 26, 32)        320
conv2d_1 (Conv2D)            (None, 24, 24, 64)        18496
max_pooling2d (MaxPooling2D) (None, 12, 12, 64)        0
dropout (Dropout)            (None, 12, 12, 64)        0
flatten (Flatten)            (None, 9216)              0
dense (Dense)                (None, 128)               1179776
dropout_1 (Dropout)          (None, 128)               0
dense_1 (Dense)              (None, 10)                1290
=================================================================
Total params: 1,199,882
Trainable params: 1,199,882
Non-trainable params: 0
_________________________________________________________________
```

**Question:** How to calculate the number of parameters in a conv layer?

**Number of Parameters in a Convolutional Layer**

$$\begin{aligned}\#\text{param} &= \#\text{weights} + \#\text{biases} \\ &= \text{kernel size} \cdot \text{kernel depth} \cdot \#\text{kernels} + \#\text{kernels} \\ &= (\text{kernel size} \cdot \text{kernel depth} + 1) \cdot \#\text{kernels}\end{aligned}$$

(There is one bias per kernel.)

Verifying every layer of the model summary:

- `conv2d`: output spatial size $(28-3)/1+1=26$, so $(26,26,32)$; parameters $(3\cdot 3\cdot 1+1)\cdot 32=320$.
- `conv2d_1`: output spatial size $(26-3)/1+1=24$, so $(24,24,64)$; parameters $(3\cdot 3\cdot 32+1)\cdot 64=18496$.
- `max_pooling2d`: $2\times 2$ pooling halves each spatial dimension, so $(12,12,64)$; 0 parameters.
- `dropout`: same shape $(12,12,64)$; 0 parameters.
- `flatten`: $12\cdot 12\cdot 64=9216$; 0 parameters.
- `dense`: $9216\cdot 128+128=1179776$ parameters.
- `dense_1`: $128\cdot 10+10=1290$ parameters.
- **Total:** $320+18496+1179776+1290=1{,}199{,}882$ trainable parameters.

Plot the model:

```
plot_model(model, show_shapes=True, show_layer_names=True)
```

### 8.6.8 Step 4: Compile the Model

```
# Compile the model, i.e., configures the model for training
# Use crossentropy loss function since there are two or more label \
   classes.
# Use adam algorithm (a stochastic gradient descent method)
# Use accuracy as metric, i.e., report on accuracy
model.compile(optimizer='adam', # Default learning rate is 0.001
              loss=categorical_crossentropy,
              metrics=['accuracy'])
```

### 8.6.9 Step 5: Train the Model

```
# Create TensorBoard object to track experiment metrics like loss and
# accuracy, visualizing the model graph, etc.
log_dir=".logs/fit/" + datetime.datetime.now().strftime("%Y%m%d-%H%M%S")
tensorboard_callback = TensorBoard(log_dir=log_dir, histogram_freq=1)

# Fit the model, i.e., train the model
# Specify training data and labels
# Specify batch size, i.e., number of samples per gradient update
# Specify validation data, i.e., data on which to evaluate the loss
# Write TensorBoard logs after every batch of training to monitor our \
   metrics
training_history = model.fit(x_train, y_train,
                             batch_size=batch_size,
                             epochs=epochs,
                             validation_data=(x_test, y_test),
                             callbacks=[tensorboard_callback])
```

### 8.6.10 Step 6: Evaluate the Model Accuracy

```
# Evaluate the model
# Specify test data and labels
# Set verbose to 0, i.e., silent (no progress bar)
validation_loss, validation_accuracy = model.evaluate(x_test, y_test, \
   verbose=0)
# Print loss and accuracy
print('Validation loss:', validation_loss)
print('Validation accuracy:', validation_accuracy)
```

Output:

```
Validation loss: 0.07229845970869064
Validation accuracy: 0.9776999950408936
```

### 8.6.11 Step 7: Save the Model

Save the entire model to an **HDFS (Hadoop Distributed File System)** file. The `.h5` extension of the file indicates that the model should be saved in Keras format as an HDFS file.

```
model_name = 'digits_recognition_cnn.h5'
model.save(model_name, save_format='h5')
loaded_model = load_model(model_name)
```

### 8.6.12 Step 8: Use the Model

To use the model, we call the `predict()` function.

```
image_index = (int)(input("Enter an image index: ")) # Get image index \
   from user
# Show the image in greyscale
plt.imshow(x_test[image_index].reshape(28,28),cmap='Greys')
# Use the model to do prediction by specifying the image.
# Get back a numpy array of prediction
prediction = \
   loaded_model.predict(x_test[image_index].reshape(1,28,28,1))
# Print the predicted result, i.e., the one with maximum value
print('Predicted result:', prediction.argmax())
```

Output:

```
Enter an image index: 10          Enter an image index: 20          \
   Enter an image index: 30
Predicted result: 0               Predicted result: 9               \
   Predicted result: 3
```

## 8.7 Typical CNN Architecture

Typical CNN models for classification tasks stack different types of layers as follows:

1. A few **convolutional layers** (usually with ReLU activation).
2. Then, a **pooling layer**.
3. Then, a few **convolutional layers** (usually with ReLU activation) and a **pooling layer**, and so on.
4. Then, one or more **fully-connected layers** (usually with ReLU activation).
5. Then, a final fully-connected **softmax** layer.

- Generally, the convolutional and pooling layers are for **feature learning**, and the fully-connected layers are for **classification**.
- Going through the convolutional layers, the feature maps typically get **smaller but deeper** (i.e., more feature maps per layer).
- The fully-connected layers form an **ordinary feedforward neural network** to which the transformed inputs are fed.

**Prefer Stacked Small Kernels over One Large Kernel**

Instead of using a convolutional layer with a **large kernel size** (e.g., $9 \times 9$ with 81 parameters), it is better to **stack two convolutional layers with smaller kernels** (e.g., $3 \times 3$), with $2 \times 9 = 18$ parameters for the two layers together.

## 8.8 Practice Problems

### 8.8.1 Problem 1: Convolving an Image by Hand

**Convolution with Zero Padding**

Given a $5 \times 5$ input image

$$\begin{bmatrix} 5 & 1 & 3 & 7 & 8 \\ 2 & 4 & 6 & 1 & 7 \\ 3 & 4 & 9 & 7 & 2 \\ 4 & 9 & 4 & 5 & 9 \\ 7 & 9 & 8 & 7 & 9 \end{bmatrix} \quad \text{and the } 3 \times 3 \text{ kernel} \quad \begin{bmatrix} 3 & 0 & 0 \\ 0 & 0 & 0 \\ 0 & 0 & -3 \end{bmatrix},$$

estimate the output of **convolving** the input image with the kernel. Assume **zero-padding with a 1-pixel border** is performed.
Remark: Don't forget to **flip the kernel**.

**Solution.**

**Step 1: Flip the kernel.** Convolution flips the kernel (both horizontally and vertically, i.e., a 180° rotation) before sliding it over the image:

$$K = \begin{bmatrix} 3 & 0 & 0 \\ 0 & 0 & 0 \\ 0 & 0 & -3 \end{bmatrix} \xrightarrow{\text{flip}} \tilde{K} = \begin{bmatrix} -3 & 0 & 0 \\ 0 & 0 & 0 \\ 0 & 0 & 3 \end{bmatrix}.$$

**Step 2: Pad the image.** With a 1-pixel zero border, the $5 \times 5$ image becomes $7 \times 7$:

$$\begin{bmatrix} 0 & 0 & 0 & 0 & 0 & 0 & 0 \\ 0 & 5 & 1 & 3 & 7 & 8 & 0 \\ 0 & 2 & 4 & 6 & 1 & 7 & 0 \\ 0 & 3 & 4 & 9 & 7 & 2 & 0 \\ 0 & 4 & 9 & 4 & 5 & 9 & 0 \\ 0 & 7 & 9 & 8 & 7 & 9 & 0 \\ 0 & 0 & 0 & 0 & 0 & 0 & 0 \end{bmatrix}.$$

**Step 3: Convolve (stride 1).** The output size is $(5 + 2 - 3)/1 + 1 = 5$, i.e., $5 \times 5$. Since the flipped kernel has only two non-zero entries, each output pixel depends only on the top-left entry $x_{\text{TL}}$ and the bottom-right entry $x_{\text{BR}}$ of the corresponding $3 \times 3$ window of the padded image:

$$\text{output} = (-3) \cdot x_{\text{TL}} + 3 \cdot x_{\text{BR}}.$$

Sample computations:

- Position $(1, 1)$: $x_{\text{TL}} = 0$ (padding), $x_{\text{BR}} = 4$: $(-3)(0) + (3)(4) = 12$.
- Position $(1, 2)$: $x_{\text{TL}} = 0$, $x_{\text{BR}} = 6$: $(-3)(0) + (3)(6) = 18$.
- Position $(2, 1)$: $x_{\text{TL}} = 0$, $x_{\text{BR}} = 4$: $(-3)(0) + (3)(4) = 12$.
- Position $(2, 4)$: $x_{\text{TL}} = 3$, $x_{\text{BR}} = 2$: $(-3)(3) + (3)(2) = -3$.
- Position $(4, 1)$: $x_{\text{TL}} = 0$, $x_{\text{BR}} = 9$: $(-3)(0) + (3)(9) = 27$.
- Position $(5, 5)$: $x_{\text{TL}} = 5$, $x_{\text{BR}} = 0$: $(-3)(5) + (3)(0) = -15$.

**Answer:**

$$\begin{bmatrix} 12 & 18 & 3 & 21 & 0 \\ 12 & 12 & 18 & -3 & -21 \\ 27 & 6 & 3 & 9 & -3 \\ 27 & 15 & 9 & 0 & -21 \\ 0 & -12 & -27 & -12 & -15 \end{bmatrix}$$

### 8.8.2 Problem 2: Output Dimensions and Number of Weights

**Analyzing a CNN Architecture**

Suppose we have a Convolutional Neural Network (CNN):

- **Input layer:** an input color image of size $128 \times 128 \times 3$.
- **First convolutional layer:** 5 different kernels, each of size $3 \times 3 \times 3$ (no zero padding and stride of size 5).
- **First max-pooling layer:** size $2 \times 2$.
- **Second convolutional layer:** 3 different kernels, each of size $5 \times 5 \times 5$ (zero padding of size 2 and stride of size 2).
- ...

1. What is the dimension of the output of the first convolutional layer, and how many weights must be learned for this layer?
2. What is the main purpose of doing pooling during training in a deep neural network? Also, what is the dimension of the output of the first pooling layer?
3. What is the dimension of the output of the second convolutional layer, and how many weights must be learned for this layer?

**Solution.**

**Part 1: First convolutional layer.** Input $128 \times 128 \times 3$, kernel $3 \times 3 \times 3$, no padding, stride 5:

$$\text{Output size} = \frac{128 - 3}{5} + 1 = 25 + 1 = 26 \quad \Longrightarrow \quad \text{output dimension} = 26 \times 26 \times 5.$$

Each unit in the convolutional layer is connected to $5 \times 3 \times 3 \times 3 = 135$ units (5 kernels, each contributing $3 \times 3 \times 3$ weights), and these weights are **shared** across all units in this layer. So, the number of weights to be learned is **135**.

**Part 2: First max-pooling layer.** The main purpose of doing pooling during training is to make sure that the **subsequent layers of the CNN can pick up larger-scale detail**. A $2 \times 2$ pooling halves each spatial dimension and keeps the depth:

$$\frac{26}{2} = 13 \quad \Longrightarrow \quad \text{output dimension} = 13 \times 13 \times 5.$$

**Part 3: Second convolutional layer.** Input $13 \times 13 \times 5$, kernel $5 \times 5 \times 5$, zero padding of size 2 (so each spatial dimension grows by $2 \times 2 = 4$), stride 2:

$$\text{Output size} = \frac{(13+4)-5}{2} + 1 = \frac{12}{2} + 1 = 7 \quad \Longrightarrow \quad \text{output dimension} = 7 \times 7 \times 3.$$

Each unit in the convolutional layer is connected to $3 \times 5 \times 5 \times 5 = 375$ units (3 kernels, each contributing $5 \times 5 \times 5$ weights), and these weights are **shared** across all units in this layer. So, the number of weights to be learned is **375**.

# 9 PyTorch

## 9.1 PyTorch and CUDA

### 9.1.1 Introduction

**PyTorch** is an open-source machine learning library developed in Python, C++, and CUDA. It offers two key features:

1. **Tensor computing** (similar to NumPy) with enhanced performance using **Graphics Processing Units (GPUs)**.
2. A **deep learning framework** built on a **dynamic automatic differentiation** system.

PyTorch is ideal for both **research** and **production**.

**What is PyTorch?**

In summary, PyTorch is an advanced version of **NumPy** that leverages **GPU acceleration** and includes extensive **machine learning capabilities**.

### 9.1.2 Common Use Cases

- **Image and video processing** (e.g., computer vision tasks).
- **Natural language processing** (e.g., text classification, translation).
- **Reinforcement learning** (e.g., training agents in simulated environments).
- **Scientific computing and research** (e.g., simulations, data analysis).

### 9.1.3 Advantages of PyTorch

- Easy to learn and use with a **Pythonic interface**.
- Strong **community support** and extensive documentation.
- Seamless integration with Python libraries (e.g., NumPy, SciPy).
- **Dynamic computation graphs** allow for flexible model building. In machine learning or neural networks, a **graph** is made up of **nodes** (which are like tasks or values) and **edges** (which are the connections between these tasks or values).
- Extensive **pre-trained models** available through libraries like `torchvision` and **Hugging Face** (a company and online platform that focuses on advancing NLP and AI technologies).

### 9.1.4 CUDA

**CUDA**

**CUDA** stands for **Compute Unified Device Architecture**, a parallel computing platform and API (Application Programming Interface) developed by **Nvidia**.

- It enables **parallel computation**, significantly improving processing speed.
- With CUDA, we can leverage the power of **Nvidia GPUs** to perform common computing tasks, such as **matrix processing** and other **linear algebra operations**.

## 9.2 Tensors and the Operations

### 9.2.1 Tensors

**Tensor**

A **tensor** can be thought of as a **multidimensional array**.
- A **0-D tensor** is a **scalar**.
- A **1-D tensor** is a **vector**.
- A **2-D tensor** is a **matrix**.
- Higher dimensions can represent more complex data structures.

A PyTorch tensor is similar to a NumPy `ndarray` but includes additional functionalities for **GPU acceleration**.

### 9.2.2 Key Attributes of Tensors

A PyTorch tensor has three key attributes:

1. **Shape** (the size of the tensor)
2. **Data type** (the type of data contained in the tensor)
3. **Device** (the location where the tensor is stored)

```
import torch

tensor = torch.tensor([1, 3, 5])  # 1-D tensor
print(f"Shape of tensor: {tensor.shape}")
print(f"Data type of tensor: {tensor.dtype}")
print(f"Device tensor is stored on: {tensor.device}")

# Output:
# Shape of tensor: torch.Size([3])
# Data type of tensor: torch.int64
# Device tensor is stored on: cpu
```

### 9.2.3 Initializing a Tensor

Tensors can be initialized in various ways:

**Created directly from data**, with the data type automatically inferred:

```
data = [[1, 2], [3, 4]]
tensor_data = torch.tensor(data)
```

**Created from NumPy arrays** (and vice versa):

```
import numpy as np

numpy_array = np.array(data)
tensor_fr_np = torch.from_numpy(numpy_array)
```

**Created from another tensor.** The new tensor retains the properties (shape, data type) of the original tensor, unless explicitly overridden:

```
# Retains the properties of tensor_data
tensor_ones = torch.ones_like(tensor_data)
print(f"Ones Tensor: \n {tensor_ones} \n")

# Overrides the data type of tensor_data
tensor_rand = torch.rand_like(tensor_data, dtype=torch.float)
print(f"Random Tensor: \n {tensor_rand} \n")
```

### 9.2.4 Initializing a Tensor With Random or Constant Values

Random initialization of tensors can be controlled to produce the same random outcome each time:

```
import torch

torch.manual_seed(seed=42)  # Set the seed for reproducibility
tensor_shape = (2, 3)
rand_tensor = torch.rand(tensor_shape)    # Random tensor
ones_tensor = torch.ones(tensor_shape)    # Tensor of ones
zeros_tensor = torch.zeros(tensor_shape)  # Tensor of zeros
scalar_tensor = torch.tensor(22)          # Scalar tensor

print(f"Random Tensor: \n {rand_tensor} \n")
print(f"Ones Tensor: \n {ones_tensor} \n")
print(f"Zeros Tensor: \n {zeros_tensor} \n")
print(f"Scalar Tensor: \n {scalar_tensor.item()} \n")
```

**Reproducibility**

Use `torch.manual_seed(seed=42)` to set the seed so that random tensor initialization produces the same random outcome each time — essential for reproducible experiments.

### 9.2.5 Operations on Tensors

PyTorch offers over **1200 tensor operations**, including arithmetic, linear algebra, matrix manipulation (such as transposing, indexing, and slicing), sampling, and more. For a complete list, visit: `https://docs.pytorch.org/docs/stable/torch.html`

These operations can be performed on both the **CPU** and **accelerators** like CUDA.

**Using GPUs in Google Colab**

In Google Colab, you can allocate an accelerator by navigating to: **Runtime** > **Change runtime type** > **GPU**. Check whether a tensor `my_tensor` is on the GPU or CPU by printing its device:

```
print(my_tensor.device)
```

### 9.2.6 Moving Tensors to the Accelerator

By default, tensors are created on the **CPU**. To utilize an accelerator, you must explicitly move tensors using the `.to` method (after confirming accelerator availability).

```
import torch
```

```
tensor = torch.ones(4, 4)
# Move our tensor to the current accelerator if available
if torch.cuda.is_available():
    tensor = tensor.to(torch.cuda.current_device())

print(f"First row: {tensor[0]}")
print(f"First column: {tensor[:, 0]}")
print(f"Last column: {tensor[..., -1]}")
tensor[:, 1] = 0
print(tensor)

# torch.cat is used to concatenate a sequence of tensors
# along a specified dimension
t1 = torch.cat([tensor, tensor, tensor], dim=1)
```

**Cost of Moving Tensors Between Devices**

Copying large tensors between devices (CPU ↔ GPU) can be **costly** in terms of time and memory! Minimize device transfers in performance-critical code.

### 9.2.7 Arithmetic Operations: Matrix Multiplications

The following example demonstrates matrix multiplication between two tensors. The variables `y1`, `y2`, and `y3` will have the same value. The expression `tensor.T` returns the **transpose** of a tensor.

```
import torch

tensor = torch.ones(4, 4)
# Move our tensor to the current accelerator if available
if torch.cuda.is_available():
    tensor = tensor.to(torch.cuda.current_device())
tensor[:, 1] = 0

y1 = tensor @ tensor.T       # Matrix multiplication using the @ \
   operator
y2 = tensor.matmul(tensor.T) # Matrix multiplication using the matmul \
   method
y3 = torch.rand_like(y1)
torch.matmul(tensor, tensor.T, out=y3)  # Matrix multiplication with \
   output argument

# This computes the element-wise product.
# z1, z2, and z3 will have the same value.
z1 = tensor * tensor     # Element-wise multiplication using the * \
   operator
z2 = tensor.mul(tensor)  # Element-wise multiplication using the mul \
   method
z3 = torch.rand_like(tensor)
torch.mul(tensor, tensor, out=z3)  # Element-wise multiplication with \
   output argument
```

**Matrix Multiplication vs. Element-wise Multiplication**

`@` (or `matmul`) performs **matrix multiplication**, while `*` (or `mul`) performs **element-wise multiplication**. They are completely different operations — do not confuse them!

### 9.2.8 Single-element Tensors

If we have a one-element tensor, for example, by aggregating all values of a tensor into a single value, we can convert it to a Python numerical value using `item()`.

```
import torch

tensor = torch.ones(4, 4)
# Move our tensor to the current accelerator if available
if torch.cuda.is_available():
    tensor = tensor.to(torch.cuda.current_device())
tensor[:, 1] = 0

agg = tensor.sum()        # Aggregate the tensor values
agg_item = agg.item()     # Convert to a Python numerical value
print(agg_item, type(agg_item))  # Print the value and its type
```

### 9.2.9 In-place Operations

Operations that store the result directly into the operand are called **in-place operations**. They are denoted by a `_` suffix. For example: `x.copy_(y)` and `x.t_()` will modify `x`.

```
import torch

tensor = torch.ones(4, 4)
# Move our tensor to the current accelerator if available
if torch.cuda.is_available():
    tensor = tensor.to(torch.cuda.current_device())
tensor[:, 1] = 0
print(f"{tensor} \n")

tensor.add_(5)  # In-place addition of 5 to each element
print(tensor)
```

### 9.2.10 Bridge with NumPy

Tensors on the CPU and NumPy arrays can **share the same underlying memory locations**, meaning that changes to one will affect the other.

```
import torch

my_tensor = torch.ones(5)
print(f"Tensor my_tensor: {my_tensor}")

np_array = my_tensor.numpy()  # Convert tensor to NumPy array
print(f"NumPy array np_array: {np_array}")

my_tensor.add_(1)  # In-place addition of 1 to each element of the \
   tensor
print(f"Updated Tensor my_tensor: {my_tensor}")
print(f"Updated NumPy array np_array: {np_array}")  # Reflects changes \
   in tensor
```

### 9.2.11 Converting a NumPy Array to a Tensor and Vice Versa

- NumPy arrays can be converted to tensors using the `.from_numpy()` method.
- PyTorch tensors can be converted to NumPy arrays using the `tensor.numpy()` method.

**GPU Tensors Cannot Be Converted Directly to NumPy**

The PyTorch tensor must be on the **CPU** for the conversion to NumPy. If the tensor is on a GPU, transfer it to the CPU first using `.cpu()`.

```
import torch
import numpy as np

my_array = np.ones(5)                    # Create a NumPy array of ones
my_tensor = torch.from_numpy(my_array) # Convert NumPy array to tensor

# Changes in the NumPy array are reflected in the tensor
np.add(my_array, 1, out=my_array)      # In-place addition of 1 to the \
   NumPy array
print(f"Tensor t: {my_tensor}")
print(f"NumPy array my_array: {my_array}")  # Shows updated values

another_array = my_tensor.numpy()      # Convert tensor to NumPy array
```

## 9.3 Handwritten Digits Recognition using CNN

We will again build a **CNN model** to recognize and classify handwritten digits, but this time using **PyTorch**.

### 9.3.1 Dataset

We use the **Modified National Institute of Standards and Technology (MNIST)** dataset. This dataset contains two sets of samples:

- **Training data:** 60000 images of 28 pixel × 28 pixel handwritten digits from 0 to 9.
- **Testing data:** 10000 images of 28 pixel × 28 pixel.

### 9.3.2 Procedures

1. Import required libraries and define global variables.
2. Load and prepare the dataset.
3. Build the model by defining a class.
4. Compile the model.
5. Train the model.
6. Evaluate the model accuracy.
7. Save the model.
8. Use the model.

### 9.3.3 Step 1: Import Required Libraries and Define Global Variables

```
import torch                  # PyTorch library for tensor operations \
   and NNs
import torch.nn as nn         # Neural network modules (layers, loss \
   functions)
import torch.nn.functional as F  # Functional interface for activations
from torch.utils.data import DataLoader  # Utility for batch loading \
   and shuffling data
import torchvision            # Contains popular datasets and image \
   transformations
from torchvision.transforms import transforms  # Image preprocessing \
   transformations
from sklearn.metrics import classification_report  # Generates \
   evaluation metrics
```

```
from sklearn.metrics import confusion_matrix       # Creates confusion \
   matrix
import matplotlib.pyplot as plt  # For plotting images and charts
import numpy as np               # For numerical operations and array \
   handling

BATCH_SIZE = 64        # Number of samples per gradient update
LEARNING_RATE = 0.001  # Step size for optimizer during gradient descent
NUM_EPOCHS = 1         # Number of complete passes through the entire \
   training data

# Use GPU if available, otherwise CPU
DEVICE = torch.device("cuda" if torch.cuda.is_available() else "cpu")
print(f"Using device: {DEVICE}")
```

### 9.3.4 Step 2: Load and Prepare the Data

```
def load_prepare_data(batch_size):
    transform = transforms.Compose([      # Define preprocessing \
   pipeline
        transforms.ToTensor(),            # Convert image to tensor \
   and scale to [0,1]
        transforms.Normalize((0.5,), (0.5,))  # Normalize: (x - 0.5) / \
   0.5 -> range [-1, 1]
    ])

    # Download and load MNIST training and test dataset
    # root: Storage directory, train: Training set flag,
    # download: Download if not present
    trainset = torchvision.datasets.MNIST(
        root='./data', train=True, download=True, transform=transform
    )
    testset = torchvision.datasets.MNIST(
        root='./data', train=False, download=True, transform=transform
    )

    # Create DataLoaders for batch processing
    # shuffle=True for training to prevent learning order patterns
    # shuffle=False for testing to maintain consistent evaluation
    trainloader = DataLoader(trainset, batch_size=batch_size, \
   shuffle=True)
    testloader = DataLoader(testset, batch_size=batch_size, \
   shuffle=False)
    return trainloader, testloader, trainset, testset

trainloader, testloader, trainset, testset = \
   load_prepare_data(BATCH_SIZE)
```

**Why Normalize to $[-1, 1]$?**

`transforms.Normalize((0.5,), (0.5,))` applies $(x-0.5)/0.5$, mapping pixel values from $[0, 1]$ to $[-1, 1]$. Centered inputs typically help optimization converge faster and more stably.

### 9.3.5 Step 3: Build the Model by Defining a Class

```
class MNIST_CNN(nn.Module):
    def __init__(self):
        """Initialize all neural network layers"""
```

```
     super(MNIST_CNN, self).__init__()

     # ========== Convolutional Layers (Feature Extraction) \
==========
     # Layer 1: Convolutional layer with 32 3x3 kernels and ReLU \
activation
     # Input size: 28x28x1 (height, width, channels)
     # Output size: 28x28x32 (padding='same' preserves spatial \
dimensions)
     # in_channels=1: Grayscale input (1 color channel)
     # out_channels=32: Number of filters/feature maps
     # kernel_size=3: 3x3 filter size
     # stride=1: Move filter 1 pixel at a time
     # padding=1: Add zeros around border to maintain spatial size
     self.conv1 = nn.Conv2d(in_channels=1, out_channels=32, \
kernel_size=3,
                            stride=1, padding=1)

     # Layer 2: Convolutional layer with 64 3x3 kernels and ReLU \
activation
     # Input size: 28x28x32 (from previous layer)
     # Output size: 28x28x64
     self.conv2 = nn.Conv2d(in_channels=32, out_channels=64, \
kernel_size=3,
                            stride=1, padding=1)

     # ========== Pooling Layer ==========
     # Layer 3: Max Pooling layer with 2x2 kernel
     # Reduces spatial dimensions by taking maximum value in each \
2x2 window
     # Input size: 28x28x64 -> Output size: 14x14x64 (halves height \
and width)
     self.pool = nn.MaxPool2d(kernel_size=2, stride=2)

     # ========== Regularization Layers ==========
     # Layer 4: Dropout layer with rate 0.25
     self.dropout1 = nn.Dropout(0.25)

     # ========== Fully Connected Layers (Classification) ==========
     # After convolution + pooling: 14x14x64 = 12,544 features
     # This will be flattened to 1D vector before the first dense \
layer
     # Layer 6: Dense layer with 128 neurons and ReLU activation
     # Input: 12,544 flattened features -> Output: 128 features
     self.fc1 = nn.Linear(64 * 14 * 14, 128)   # 64*14*14 = 12,544

     # Layer 7: Dropout layer with rate 0.5
     self.dropout2 = nn.Dropout(0.5)

     # Layer 8: Output dense layer with 10 neurons (1 per digit \
class)
     # Input: 128 features -> Output: 10 logits (raw scores for \
each class)
     # Softmax activation will be applied during inference to convert
     # to probabilities
     self.fc2 = nn.Linear(128, 10)
```

The `forward` method defines how data flows through the network:

```
 def forward(self, x):
     # Layer 1: First convolutional layer with ReLU activation
     x = F.relu(self.conv1(x))   # Output shape: (batch, 32, 28, 28)

     # Layer 2: Second convolutional layer with ReLU activation
```

```
        x = F.relu(self.conv2(x))   # Output shape: (batch, 64, 28, 28)

        # Layer 3: Max Pooling to reduce spatial dimensions
        x = self.pool(x)            # Output shape: (batch, 64, 14, 14)

        # Layer 4: Dropout for regularization
        x = self.dropout1(x)        # Output shape: (batch, 64, 14, 14)

        # Layer 5: Flatten operation
        # view() reshapes tensor: (batch, 64, 14, 14) -> (batch, \
    64*14*14)
        x = x.view(x.size(0), -1)   # Output shape: (batch, 12544)

        # Layer 6: First fully connected layer with ReLU activation
        x = F.relu(self.fc1(x))     # Output shape: (batch, 128)

        # Layer 7: Dropout for regularization (higher rate for dense \
    layers)
        x = self.dropout2(x)        # Output shape: (batch, 128)

        # Layer 8: Output layer (no activation - raw logits)
        # Produces class scores before softmax
        x = self.fc2(x)             # Output shape: (batch, 10)

        # Note: Softmax is NOT applied here
        return x

# Initialize the model and move to appropriate device (GPU/CPU)
model = MNIST_CNN().to(DEVICE)
```

**Model Architecture Summary**

The CNN processes a $1 \times 28 \times 28$ grayscale image as follows:

$$1 \times 28 \times 28 \xrightarrow{\text{conv1}} 32 \times 28 \times 28 \xrightarrow{\text{conv2}} 64 \times 28 \times 28 \xrightarrow{\text{pool}} 64 \times 14 \times 14 \xrightarrow{\text{flatten}} 12544 \xrightarrow{\text{fc1}} 128 \xrightarrow{\text{fc2}} 10$$

Dropout (rates 0.25 and 0.5) is applied for regularization, and ReLU is used as the activation function throughout.

**No Softmax in `forward`**

Softmax is NOT applied in the `forward` method. `nn.CrossEntropyLoss()` already combines `LogSoftmax` and negative log-likelihood internally, so applying softmax in the model would be redundant and incorrect. Softmax is only applied explicitly during inference to obtain interpretable probabilities.

### 9.3.6 Step 4: Compile the Model

```
# Loss Function: Cross Entropy Loss
# Suitable for multi-class classification problems
lossfunc = nn.CrossEntropyLoss()

# Optimizer: Adam (Adaptive Moment Estimation)
optimizer = torch.optim.Adam(model.parameters(), lr=LEARNING_RATE)
```

### 9.3.7 Step 5: Train the Model

```
def train_model(model, trainloader, lossfunc, optimizer, device, \
   num_epochs):
```

```
    model.train()   # Set model to training mode (dropout active)
    for epoch in range(num_epochs):
        # Inner loop: iterate through batches
        for i, (inputs, labels) in enumerate(trainloader):
            # Move data to GPU/CPU (GPU significantly speeds up \
   training)
            inputs, labels = inputs.to(device), labels.to(device)

            # Reset gradients from previous iteration
            # PyTorch accumulates gradients by default
            optimizer.zero_grad()

            # Forward pass: compute predictions
            outputs = model(inputs)     # Raw logits output

            # Calculate loss between predictions and true labels
            loss = lossfunc(outputs, labels)

            # Backward pass: compute gradients
            loss.backward()             # Uses automatic differentiation

            # Optimizer step: update model parameters
            optimizer.step()            # Gradient descent step

# Execute training
train_model(model, trainloader, lossfunc, optimizer, DEVICE, NUM_EPOCHS)
```

**The PyTorch Training Loop**

Each training iteration consists of five canonical steps:
1. `optimizer.zero_grad()` — reset accumulated gradients.
2. `outputs = model(inputs)` — forward pass.
3. `loss = lossfunc(outputs, labels)` — compute the loss.
4. `loss.backward()` — backward pass (automatic differentiation).
5. `optimizer.step()` — update the parameters.

**Forgetting `zero_grad()`**

PyTorch **accumulates** gradients by default. If you forget `optimizer.zero_grad()`, gradients from previous iterations will be added to the current ones, corrupting the update.

### 9.3.8 Step 6: Evaluate the Model Accuracy

```
def evaluate_model(model, testloader, device):
    model.eval()    # Set to evaluation mode (dropout disabled)
    all_targets = []            # Store all true labels
    all_predictions, all_probabilities = [], []  # Predicted classes \
   and probabilities
    correct, total = 0, 0       # Count correct predictions, Total \
   predictions

    with torch.no_grad():  # Disable gradient computation for evaluation
                           # (memory efficient)
        for inputs, labels in testloader:
            inputs, labels = inputs.to(device), labels.to(device)
            outputs = model(inputs)     # Forward pass to get \
   predictions

            # Apply softmax to convert logits to probabilities
```

```
            # dim=1 applies softmax across class dimension
            probabilities = F.softmax(outputs, dim=1)
            _, predicted = torch.max(outputs, 1)  # Predicted class

            # Update accuracy counters
            total += labels.size(0)
            correct += (predicted == labels).sum().item()

            # Store results for metrics calculation
            all_targets.extend(labels.cpu().numpy())   # Move to CPU \
   for numpy
            all_predictions.extend(predicted.cpu().numpy())
            all_probabilities.extend(probabilities.cpu().numpy())

    # Calculate overall accuracy percentage
    accuracy = 100 * correct / total
    print(f"Test Accuracy: {accuracy:.2f}%")
    print("-" * 50)

    # Print confusion matrix: rows=true labels, cols=predicted labels
    # Diagonal elements are correct predictions
    print("\nConfusion Matrix:")
    print(confusion_matrix(all_targets, all_predictions))

    # Print classification report with per-class metrics
    # Includes: precision, recall, f1-score, support
    print("\nClassification Report:")
    print(classification_report(all_targets, all_predictions))

    return accuracy, all_probabilities

# Execute evaluation
test_accuracy, test_probabilities = evaluate_model(model, testloader, \
   DEVICE)
```

**`model.train()` vs. `model.eval()`**

Always call `model.train()` before training and `model.eval()` before evaluation. Layers like **dropout** behave differently in the two modes: dropout is active in training mode but disabled in evaluation mode. Wrap evaluation code in `torch.no_grad()` to save memory.

**Example Output**

Running the code produces output similar to the following (test accuracy 98.55%):

```
Using device: cpu
Test Accuracy: 98.55%
--------------------------------------------------

Confusion Matrix:
[[ 970    1    3    0    0    0    2    1    1    2]
 [   0 1132    3    0    0    0    0    0    0    0]
 [   1    5 1020    0    1    0    0    4    1    0]
 [   0    0    5  989    0    3    0    6    6    1]
 [   1    0    1    0  972    0    2    0    2    4]
 [   2    0    0    5    0  880    2    1    2    0]
 [   8    3    0    1    5    2  937    0    2    0]
 [   0    1   10    1    1    0    0 1014    1    0]
 [   5    1    3    1    2    0    0    1  959    2]
 [   4    0    0    1    5    3    0    9    5  982]]

Classification Report:
```

```
              precision    recall  f1-score   support
           0       0.98      0.99      0.98       980
           1       0.99      1.00      0.99      1135
           2       0.98      0.99      0.98      1032
           3       0.99      0.98      0.99      1010
           4       0.99      0.99      0.99       982
           5       0.99      0.99      0.99       892
           6       0.99      0.98      0.99       958
           7       0.98      0.99      0.98      1028
           8       0.98      0.98      0.98       974
           9       0.99      0.97      0.98      1009
    accuracy                           0.99     10000
   macro avg       0.99      0.99      0.99     10000
weighted avg       0.99      0.99      0.99     10000

Model saved to mnist_cnn_model.pth
```

### 9.3.9 Step 7: Save the Model

```
def save_model(model, path, test_accuracy):
    # Create checkpoint dictionary with model and metadata
    torch.save({
        'model_state_dict': model.state_dict(),   # Learnable parameters
        'model_architecture': str(model),         # String \
   representation of architecture
        'test_accuracy': test_accuracy,           # Performance metric
        'model_config': {                         # Human-readable \
   configuration
            'conv1': '32 filters, 3x3 kernel, ReLU',
            'conv2': '64 filters, 3x3 kernel, ReLU',
            'pool': 'MaxPooling 2x2',
            'dropout1': '0.25',
            'flatten': 'Yes',
            'fc1': '128 neurons, ReLU',
            'dropout2': '0.5',
            'fc2': '10 neurons, Softmax'
        }
    }, path)
    print(f"\nModel saved to {path}")

# Save the trained model to file
save_model(model, 'mnist_cnn_model.pth', test_accuracy)
```

### 9.3.10 Step 8: Use the Model

```
def use_model_for_prediction(model_path, image_tensor, device):
    # Load model
    model = MNIST_CNN().to(device)
    model.load_state_dict(torch.load(model_path, \
   map_location=device)['model_state_dict'])
    model.eval()

    # Make prediction
    with torch.no_grad():
        image_tensor = image_tensor.to(device)
        probabilities = F.softmax(model(image_tensor), dim=1)
        predicted_class = torch.argmax(probabilities, 1).item()
        confidence = probabilities[0][predicted_class].item()
        all_probs = probabilities[0].cpu().numpy()
```

```
    return predicted_class, confidence, all_probs

sample_image, true_label = testset[0]  # Get a sample image from the \
   test set
                                       # (first image)
# Add batch dimension: (1, 28, 28) -> (1, 1, 28, 28);
# PyTorch expects batch dimension for input
sample_image_batch = sample_image.unsqueeze(0)

# Make prediction using loaded model
predicted_class, confidence, all_probs = use_model_for_prediction(
    'mnist_cnn_model.pth', sample_image_batch, DEVICE
)
```

**Adding a Batch Dimension**

PyTorch models expect a **batch dimension**. A single MNIST image has shape $(1, 28, 28)$; use `unsqueeze(0)` to turn it into $(1, 1, 28, 28)$ before feeding it to the model.

## 9.4 Deep Learning using PyTorch: Automatic Differentiation

### 9.4.1 Automatic Differentiation

When training neural networks, the most frequently used algorithm is **back propagation**. Parameters (model weights) are adjusted according to the **gradient of the loss function** with respect to the given parameter.

**`torch.autograd`**

PyTorch has a built-in differentiation engine called `torch.autograd`, which supports **automatic computation of gradients** for any computational graph.

The code below defines a small computational graph. `w` and `b` are parameters which we need to optimize, so we must be able to compute the gradients of the loss function with respect to those variables. To do so, we set the `requires_grad` property of those tensors.

```
import torch

x = torch.ones(5)                # input tensor
y = torch.zeros(3)               # expected output
w = torch.randn(5, 3, requires_grad=True)
b = torch.randn(3, requires_grad=True)
z = torch.matmul(x, w) + b
loss = torch.nn.functional.binary_cross_entropy_with_logits(z, y)
```

### 9.4.2 Computing Gradients

To optimize the weights of parameters in the neural network, we need to compute the derivatives of our loss function with respect to the parameters. To compute those derivatives, we call `loss.backward()`, and then retrieve the values from `w.grad` and `b.grad`.

```
loss.backward()
print(w.grad)
print(b.grad)

# Output:
# tensor([[0.2529, 0.3264, 0.3269],
#         [0.2529, 0.3264, 0.3269],
```

```
#          [0.2529, 0.3264, 0.3269],
#          [0.2529, 0.3264, 0.3269],
#          [0.2529, 0.3264, 0.3269]])
# tensor([0.2529, 0.3264, 0.3269])
```

### 9.4.3 Disabling Gradient Tracking

By default, all tensors with `requires_grad=True` are tracking their computational history and support gradient computation. However, there are some cases when we do not need that — for example, when we have trained the model and just want to apply it to some input data, i.e., we only want to do **forward propagation**.

We can stop tracking computations by surrounding our computation code with a `torch.no_grad()` block:

```
z = torch.matmul(x, w) + b
print(z.requires_grad)  # Output: True

with torch.no_grad():
    z = torch.matmul(x, w) + b
    print(z.requires_grad)  # Output: False
```

**Why Disable Gradient Tracking?**

Disabling gradient tracking during inference/evaluation reduces **memory consumption** and **speeds up** computation, since PyTorch no longer records the operations needed for backpropagation.

### 9.4.4 Best Practices

- Use **GPU** for large-scale models to speed up training.
- Regularly **monitor memory usage** to avoid out-of-memory errors.
- Utilize **built-in functions** for tensor operations to optimize performance.
- Keep your code **modular and reusable** by defining functions and classes.
- Regularly **save and validate** your model during training.

### 9.4.5 Resources for Learning PyTorch

- **Official Documentation:** `https://pytorch.org/docs/stable/index.html`
- **Tutorials:** `https://pytorch.org/tutorials/`
- **Books:**
  - Deep Learning with PyTorch by Eli Stevens, Luca Antiga, and Thomas Viehmann.
  - Programming PyTorch for Deep Learning by Ian Pointer.
- **Online Courses:** Coursera, Udacity, and edX offer courses on PyTorch.

# 10 Minimax Algorithm and Alpha-Beta Pruning

## 10.1 Games: How to Play Tic-Tac-Toe?

### 10.1.1 Overview

In this topic, we learn how to implement an AI for a 2-player game, **Tic-Tac-Toe**. The AI agent makes use of searching strategies to optimally play the game:

- **Brute-force: Minimax** — the plain minimax algorithm that enumerates the whole game tree.

- **Minimax with Alpha-Beta Pruning** — minimax plus a pruning technique that avoids exploring branches that cannot affect the final decision.

The same AI strategies can also be applied to other 2-player games, such as **Connect-Four**, **Chess**, **Checkers**, and **Backgammon**.

**What does "brute force" mean?**

Brute force refers to straightforward methods of solving a problem — enumerate everything and pick the best, without clever shortcuts.

### 10.1.2 Why Study Games in AI?

Games are the oldest, most well-studied domain in artificial intelligence. Why?

- They are **fun**.
- They are **easy to represent**, and the rules are clear.
- The possible combinations of moves can be huge, e.g., there are $\sim 10^{154}$ possible moves in chess.
- They are like the "real world" in that decisions have to be made and time is important.
- It is **easy to determine when a program is doing well**.

### 10.1.3 Types of Game

**Three Ways to Classify Games**

- **Perfect vs. imperfect information game**
  - Perfect: the player knows all the possible moves of himself and the opponent and their results.
  - Imperfect: the player does not know all the possible moves of the opponent.
- **Zero-sum vs. non-zero-sum game**
  - Zero-sum: a two-person game where one player's gain is equal to the other player's loss on any given play of the game.
  - Non-zero-sum: a two-person game where a player's gain is not necessarily equal to the other player's loss on any given play of the game.
- **Deterministic vs. non-deterministic game**
  - Deterministic: a game that does not involve random choices.
  - Non-deterministic: a game that involves some random choices.

### 10.1.4 Examples of Game Types

| Game | Perfect Information? | Zero-sum? | Deterministic? |
|---|---|---|---|
| Tic-Tac-Toe | Yes | Yes | Yes |
| Chess | Yes | Yes | Yes |
| Monopoly | Yes | No | No |
| Poker | No | Yes | No |

**Tic-Tac-Toe** as an example:

- Has **perfect information**: all players know the moves previously made by all other players.
- Is **zero-sum**: it involves two players; if player 1 wins, she scores 1 and player 2 who loses scores $-1$; if the game ends in a draw, both players score 0.
- Is **deterministic**: it is a game that does not involve random choices.

**Exercise: Classify the Other Games**

**Question:** Could you explain the others? For example, why does chess have perfect information, is zero-sum, and deterministic?
**Answer sketch:**

- **Chess** — Perfect information: the whole board and all previous moves are visible to both players. Zero-sum: one player's win is the other player's loss (win $+1$, loss $-1$, draw 0). Deterministic: every move is chosen by a player; no dice, cards, or randomness is involved.
- **Monopoly** — Perfect information: money, properties, and positions are all visible. Not zero-sum: the bank can inject money into the game (e.g., passing GO), so one player's gain is not necessarily another's loss. Not deterministic: dice rolls introduce random choices.
- **Poker** — Imperfect information: opponents' cards are hidden. Zero-sum: the chips one player wins are exactly the chips the others lose. Not deterministic: cards are dealt randomly.

### 10.1.5 Tic-Tac-Toe

Tic-Tac-Toe (also called Noughts and Crosses) is a paper-and-pencil game for two players, who take turns marking the spaces in a $3 \times 3$ grid. The player who succeeds in placing three of their marks in a **diagonal**, **horizontal**, or **vertical** line is the winner.

### 10.1.6 AI — Naïve Approach

A simple strategy for playing Tic-Tac-Toe:

1. First, if there is a move that will **win the game**, play it.
2. If not, check if there is a move that will **block a win** from the opposing player. If so, place your marker in the blocking spot.
3. Otherwise, just place your marker in a **random empty cell**.

**Naïve Approach $\neq$ Optimal Play**

With the naïve approach, the AI may **not** play optimally, i.e., the AI may not achieve the best possible results. A fixed set of local rules (win, block, random) does not look ahead into future moves, so it can miss forced wins and fall into traps. To guarantee optimal play we need to search the game tree — this is what minimax does.

## 10.2 Minimax Algorithm

### 10.2.1 AI — Brute Force Approach

The brute-force approach **enumerates all the possible states of the game**. At the very beginning, a player can choose any of the 9 available empty spaces on the game board. We can represent these 9 available moves using a **tree**.

Counting the states level by level:

- **1st action:** 9 possible choices at the very beginning of the game.
- **2nd action:** $9 \times 8$ (for each of the 9 possible first choices, we have 8 possible remaining choices).
- **3rd action:** $9 \times 8 \times 7$ (for each of the $9 \times 8 = 72$ previous choices we have 7 possible remaining choices).
- $\cdots$
- **Last action:** $9! = 9 \times 8 \times 7 \times \cdots \times 1 = 362880$ choices.

So the total number of states is

$$\begin{aligned}\text{Total number of states} &= (9\times 8\times 7\times 6\times 5\times 4\times 3\times 2\times 1)\\ &\quad + (9\times 8\times 7\times 6\times 5\times 4\times 3\times 2)\\ &\quad + (9\times 8\times 7\times 6\times 5\times 4\times 3)\\ &\quad + \cdots + (9\times 8) + (9)\\ &= 986409\end{aligned}$$

**Questions on the Brute-Force Approach**

1. **Is it really true that there are** 986409 **possible states in the game?**
   Answer: No. The game can end before there is no more empty space on the board (someone wins early), so the actual number of reachable states is smaller.
2. **How to determine which move to take based on the current game state?**
   Answer: Use **minimax**.

### 10.2.2 The Minimax Algorithm

**Minimax**

**Minimax** is a recursive algorithm which is used to choose an **optimal move** for a player, assuming that the other player is also playing optimally.
In minimax, the two players are called the **maximizer** (denoted as **MAX**) and the **minimizer** (denoted as **MIN**), and we define a scoring method from the standpoint of the MAX player:

- The **maximizer** (the AI of the Tic-Tac-Toe game) tries to maximize the score.
- The **minimizer** (the human player of the Tic-Tac-Toe game) tries to minimize the score of the AI.

**Why the name "minimax"?**

It is called minimax because it helps in **mini**mizing the **max**imum loss that the other player can force us to receive.

**Utility Function**

A **utility function** gives numeric values to terminal states. For example, in Tic-Tac-Toe:

$$\text{win} = +1, \qquad \text{loss} = -1, \qquad \text{draw} = 0.$$

### 10.2.3 Steps of the Minimax Algorithm

To evaluate a node $n$ in a game tree:

1. Construct the **complete game tree** below $n$.
2. Apply the **utility function** to each terminal state.
3. Select a node that has not been evaluated yet, and all of its children have been evaluated:
   - Node is a **MAX-node**: its value is the maximum of the children nodes' values.
   - Node is a **MIN-node**: its value is the minimum of the children nodes' values.
4. Repeat Step 3 until all nodes are evaluated.
5. For the node $n$, choose the **minimax decision**:
   - $n$ is a **MAX-node**: choose the move that leads to the highest value.
   - $n$ is a **MIN-node**: choose the move that leads to the lowest value.

**Search Order: Depth-First Search**

We search the game tree in a **Depth-First-Search (DFS)** manner to find the value of the root. Depth-first search is an algorithm for traversing or searching tree data structures: the algorithm starts at the root node and explores as far as possible along each branch before backtracking.

### 10.2.4 Minimax Example — Worked Step by Step

**Minimax: Worked Example**

**Setup.** Consider a game tree of 4 levels: the root at level 0 is a MAX-node (it is X's turn), level 1 contains MIN-nodes, level 2 contains MAX-nodes, and level 3 contains terminal states.

**Terminal states' utility:**

$$\text{Max wins} = 1, \qquad \text{Max loses} = -1, \qquad \text{Draw} = 0.$$

**Initialization:**

- For the **maximizer** (MAX-nodes), initialize each node to negative infinity, $-\infty$.
- For the **minimizer** (MIN-nodes), initialize each node to positive infinity, $+\infty$.

**Step-by-step evaluation:**

1. **Leftmost state in level 2 (MAX-node):** the maximizer updates its value with the maximum of $-\infty$ and 0, where the value 0 is obtained from its child in level 3:
$$\max(-\infty, 0) = 0.$$
Its value is changed from $-\infty$ to 0.
2. **Leftmost state in level 1 (MIN-node):** the minimizer updates its value with the minimum of $\infty$ and 0, where the value 0 is obtained from its left child in level 2:
$$\min(\infty, 0) = 0.$$
Its value is changed from $\infty$ to 0.
3. **Same leftmost state in level 1 (MIN-node):** the minimizer updates its value with the minimum of 0 and $-1$, where the value $-1$ is obtained from its right child in level 2:
$$\min(0, -1) = -1.$$
Its value is changed from 0 to $-1$.
4. **State in level 0 (root, MAX-node):** the maximizer updates its value with the maximum of $-\infty$ and $-1$, where the value $-1$ is obtained from its left child in level 1:
$$\max(-\infty, -1) = -1.$$
Its value is changed from $-\infty$ to $-1$.
5. **State in level 0 (root, MAX-node):** the maximizer updates its value with the maximum of $-1$ and $+1$, where the value $+1$ is obtained from its middle child in level 1:
$$\max(-1, +1) = +1.$$
Its value is changed from $-1$ to $+1$.
6. **Level-2 state in the right subtree (MAX-node):** the maximizer updates its value with the maximum of $-\infty$ and $+1$, where the value $+1$ is obtained from its child in level 3:
$$\max(-\infty, +1) = +1.$$
Its value is changed from $-\infty$ to $+1$.
7. **Rightmost state in level 1 (MIN-node):** the minimizer updates its value with the minimum of $\infty$ and $+1$, where the value $+1$ is obtained from its left

child in level 2:

$$\min(\infty, +1) = +1.$$

Its value is changed from $\infty$ to $+1$.

8. **Another level-2 state in the right subtree (MAX-node):** the maximizer updates its value with the maximum of $-\infty$ and 0, where the value 0 is obtained from its child in level 3:

$$\max(-\infty, 0) = 0.$$

Its value is changed from $-\infty$ to 0.

9. **Rightmost state in level 1 (MIN-node):** the minimizer updates its value with the minimum of $+1$ and 0, where the value 0 is obtained from its right child in level 2:

$$\min(+1, 0) = 0.$$

Its value is changed from $+1$ to 0.

10. **State in level 0 (root, MAX-node):** the maximizer updates its value with the maximum of $+1$ and 0, where the value 0 is obtained from its right child in level 1:

$$\max(+1, 0) = +1.$$

Its value remains unchanged at $+1$.

**Conclusion.** In the top position, it is X's turn:

- If X plays in the **top-center**, then O can guarantee a win (value $-1$).
- If X plays in the **left-center**, X will win (value $+1$).
- If X plays in the **right-center**, then O can force a draw (value 0).

Therefore X will choose to play in the **left-center**, and the minimax value of the root is $+1$.

### 10.2.5 Minimax Code from Scratch

We now implement the complete Tic-Tac-Toe AI in Python. The board is represented as a single-dimensional list of 9 cells: 0 = empty, 1 = AI's mark (X), $-1$ = human's mark (O).

**Drawing the board.** The function `drawboard()` prints the current state of the game:

```
# Draw the current state of the game
def drawboard(board):
    print("Current state: \n\n")
    for i in range(0, 9):
        if board[i] == 0:   # If value is 0, it's an empty cell
            print("- ", end=" ")
        if board[i] == 1:   # If value is 1, it's the mark of AI
            print("X ", end=" ")
        if board[i] == -1:  # If value is -1, it's the mark of human
            print("O ", end=" ")
        if (i+1) % 3 == 0:  # Move to the next line after printing 3 \
   elements
            print("\n")
    print("\n")  # Move the next line after printing the game board
```

**Checking the game state.** The function `check_game()` returns $-1$ if the human player wins, 1 if the AI player wins, 0 for a draw, and 2 if the game is not finished:

```
# Check if there is a player wins. If human player wins, return -1.
# If AI player wins, return 1. If draw, return 0. If the game is not \
   finished, return 2.
def check_game(board):
    # There are 8 possible winning patterns.
    # 0, 1, 2 (1st row), 3, 4, 5 (2nd row), 6, 7, 8 (3rd row)
```

```
    # 0, 3, 6 (1st col), 1, 4, 7 (2nd col), 2, 5, 8 (3rd col)
    # 0, 4, 8 (Diagonal - top-left to bottom-right)
    # 2, 4, 6 (Diagonal - top-right to bottom-left)
    winning_pos = [[0,1,2], [3,4,5], [6,7,8], [0,3,6],
                   [1,4,7], [2,5,8], [0,4,8], [2,4,6]]
    # Check all possible winning patterns for each player.
    for i in range(0, 8):
        # Check whether the cell is non-empty AND the winning \
   positions with the same mark
        if board[winning_pos[i][0]] != 0 and \
           board[winning_pos[i][0]] == board[winning_pos[i][1]] and \
           board[winning_pos[i][0]] == board[winning_pos[i][2]]:
            # Fulfilled the winning condition, return the mark of player
            return board[winning_pos[i][2]]
    # When reaching here, it means no player wins yet
    # Check whether there is an empty cell (i.e. with 0)
    # If so, the game is not finished. Return 2
    if any(element == 0 for element in board):
        return 2
    return 0  # Reach here, it means the game draws
```

**Handling the human's move.** The function `human_turn()` obtains the user's input and updates the board:

```
# Obtain the user's input and update the board
def human_turn(board):
    pos = input("Enter O's position [1 to 9]: ")
    pos = int(pos)  # Obtain user input, i.e., where to put the mark
    # If the cell picked by the human player is non-empty (i.e., \
   non-zero), illegal
    if board[pos-1] != 0:
        print("Illegal Move!")
        exit(0)  # Terminate the program
    # When reaching here, the move is legal and we put -1 (put the \
   mark of human player)
    board[pos-1] = -1
```

**The minimax search.** The recursive function `minimax()` evaluates a board position for the given player:

```
# Perform minimax search
def minimax(board, player):
    global count  # Refer to the global variable count in main
    count += 1    # Make 1 call of minimax already
    result = check_game(board)  # Check if any player wins
    if result != 2:  # If the result is not 2, the game is finished,
        return result  # return 1 if the winner is AI,
                       # otherwise return -1 (i.e., human is the winner)
    scores = []  # Create an empty list
    for i in range(0, 9):  # Check all board locations
        if board[i] == 0:      # If the cell is empty
            board[i] = player  # Try to put the player's mark at cell \
   i+1
            # Perform minimax for the next player, and append its \
   score to the list
            scores.append(minimax(board, player*-1))
            board[i] = 0  # Undo the trial
    # Return the max score if the player is AI or
    # return the min score if the player is human
    return max(scores) if player == 1 else min(scores)
```

**Making the AI's move.** The function `ai_turn()` tries every empty cell, runs `minimax()` for each, and picks the move with the highest score:

```
# This function makes computer's move based on minimax.
def ai_turn(board):
    pos = -1        # Initialize pos to illegal value, -1, here
    max_value = -2  # Initialize max value so far to -2,
                    # which is a value smaller than the min value \
   possible
    for i in range(0, 9):
        if board[i] == 0:      # If the cell is empty
            board[i] = 1       # Try to put X at cell i+1
            score = minimax(board, -1)  # Calculate minimax score for \
   the human player
            board[i] = 0       # Undo the trial
            if score > max_value:  # If we can a better score in the \
   next level,
                max_value = score  # update the score and pos
                pos = i
    board[pos] = 1  # Put X at pos, which is the best move
```

**The main loop.** The main function initializes the board, asks who plays first, and alternates turns (9 turns in total):

```
# Main function
# The board is represented in a single dimensional list
# Initialize the board to all zeros (i.e., all empty cells)
board = [0, 0, 0, 0, 0, 0, 0, 0, 0]
print("Computer: X VS. You: O")
first = input("Play first (Y/N) :")
if first == 'Y' or first == 'y':  # If first is 'Y'/'y', human wants \
   to play first
    play_first = 1
else:
    play_first = 0
for i in range(0, 9):  # Play the game. 9 turns in total
    if check_game(board) != 2:  # If the value returned by check_game \
   is not 2,
        break                   # the game is finished
    if (i+play_first) % 2 == 0:  # Take turns to play the game
        count = 0  # Count the number of minimax calls
        ai_turn(board)
        print("Count:", count)  # Print the count
    else:
        drawboard(board)
        human_turn(board)
```

**Announcing the result.** After the loop, check the final state of the game:

```
result = check_game(board)  # Check the game again
if result == 0:   # If the result is 0, draw
    drawboard(board)
    print("Draw!!!")
if result == 1:   # If the result is 1, AI wins
    drawboard(board)
    print("AI(X) Wins! Human(O) Loses!")
if result == -1:  # If the result is -1, human wins
    drawboard(board)
    print("Human(O) Wins! AI(X) Loses!")
```

**The `count` Variable**

The global variable `count` records how many times `minimax()` is called for a single AI move. Run the same program with plain minimax and with alpha-beta pruning (below) and compare the counts — this shows concretely how much search effort pruning saves.

### 10.2.6 What if MIN Does Not Play Optimally?

**Minimax Against a Sub-Optimal Opponent**

The definition of optimal play for MAX assumes MIN plays optimally, i.e., minimax maximizes the worst-case outcome for MAX. If MIN does **not** play optimally, MAX will do **even better** — never worse.

### 10.2.7 Disadvantages of Minimax

- It has a **huge branching factor** (the number of children at each node), which makes the process of reaching the goal state slow.
- It can take a **long time** to evaluate an entire game tree, especially for games such as Go or Chess.
- **Search and evaluation of unnecessary nodes or branches** of the game tree degrades the overall performance and efficiency of the engine.
- Both MIN and MAX players have lots of choices to decide from.
- Exploring the entire tree is **not possible** as there is a restriction of time and space.

**Solution**

**Alpha-Beta Pruning** — prune away the branches that cannot possibly influence the final decision.

## 10.3 Alpha-Beta Pruning Algorithm

### 10.3.1 Observations: Do We Really Need All That Work?

The minimax algorithm provides us with the optimal path as expected. But did we really need to do all that work? **No!** Let us demonstrate it using an example.

**Motivating Observation**

Suppose we are at the middle level of a game tree, at a MIN-node whose three terminal children have values 6, 5, and 4, and we are finding the minimum value among them.

- We have already calculated the value of node 6. So we are **at least guaranteed** that the minimum value between these 3 nodes is $\leq 6$.
- On the level above (the top level), we are trying to maximize the values. We have already calculated a value of 7 to the left. Something that is guaranteed to be 6 or less will **never be greater than** 7.
- So we **do not need to go any further** with the calculations of 5 and 4.

The same reasoning applies to the MIN-node with terminal values 3, 2, 1: once we see 3, its value is guaranteed to be $\leq 3 < 7$, so 2 and 1 can be skipped as well.

### 10.3.2 The Idea of Alpha-Beta Pruning

**Idea:** prevent ourselves from exploring branches of the game tree that are not worth exploring (because they will have no effect on the final outcome).

**Alpha and Beta**

We define two values $\alpha$ and $\beta$ to store information about the potential of a branch for us or the opponent:

- $\alpha$ is the **best (highest) value found so far along the path for MAX**.
- $\beta$ is the **best (lowest) value found so far along the path for MIN**.

Two kinds of cutoffs:

- **$\alpha$-cutoff:** terminate a branch because MAX already has a better opportunity elsewhere.
- **$\beta$-cutoff:** terminate a branch because MIN already has a better opportunity elsewhere.

**Pruning condition:** we can prune a branch if

$$\alpha \geq \beta.$$

**Do Not Mix Up $\alpha$ and $\beta$**

- $\alpha$ belongs to **MAX** (a lower bound on what MAX can guarantee); it is updated only at **MAX-nodes**: $\alpha \leftarrow \max(\alpha, \text{value})$.
- $\beta$ belongs to **MIN** (an upper bound on what MIN can guarantee); it is updated only at **MIN-nodes**: $\beta \leftarrow \min(\beta, \text{value})$.
- The pruning test is $\alpha \geq \beta$ (greater-or-equal), not $\alpha > \beta$.

### 10.3.3 Procedure of Alpha-Beta Pruning

To evaluate a root node in a game tree, we define two values $\alpha$ and $\beta$ to keep track of the current upper bound (the best score for MAX) and lower bound (the best score for MIN). Initially, the root node has values $(\alpha, \beta) = (-\infty, \infty)$.

1. Expand the node **depth-first** until a node that satisfies the **cutoff test** is reached. During expansion, pass the current values of $\alpha$ and $\beta$ of the parent down to child nodes.
2. Evaluate the cutoff node.
3. Update the values of all the nodes that have so far been expanded according to the **minimax algorithm**.
4. Update the $(\alpha, \beta)$ values of all the nodes that have so far been expanded according to:
   - For a **MAX-node**: $\alpha \leftarrow \max(\alpha, \text{current node value})$.
   - For a **MIN-node**: $\beta \leftarrow \min(\beta, \text{current node value})$.
5. **Prune** all children of any node whose $\alpha \geq \beta$.
6. **Backtrack** to a node that has not been pruned, and go back to Step 1. If there is no such node to backtrack to, then **return** the value assigned to the root node.

### 10.3.4 Alpha-Beta Pruning Example — Worked Step by Step

**Alpha-Beta Pruning: Worked Example**

**Setup.** A game tree with a MAX-node as the root, three MIN-nodes at the middle level, and terminal states below. The terminal values are $9, 8, 7$ (under the left MIN-node), $6, 5, 4$ (under the middle MIN-node), and $3, 2, 1$ (under the right MIN-node).

1. **Initialization at the root (MAX-node):** set $\alpha = -\infty$ and $\beta = \infty$. Check whether $\alpha \geq \beta$: it is not ($-\infty < \infty$), therefore no pruning is done.

2. **Descend to the left MIN-node**, passing down $\alpha = -\infty$ and $\beta = \infty$. At the left node of the middle level, process the first terminal value 9:
   - Node value $= \min(\text{node value}, 9) = \min(\infty, 9) = 9$.
   - $\beta = \min(\beta, 9) = \min(\infty, 9) = 9$.
   - Check whether $\alpha \geq \beta$: it is not, therefore no pruning is done.
3. **Still at the left MIN-node**, process the second terminal value 8:
   - Node value $= \min(\text{node value}, 8) = \min(9, 8) = 8$.
   - $\beta = \min(\beta, 8) = \min(9, 8) = 8$.
   - Check whether $\alpha \geq \beta$: it is not, therefore no pruning is done.
4. **Still at the left MIN-node**, process the third terminal value 7:
   - Node value $= \min(\text{node value}, 7) = \min(8, 7) = 7$.
   - $\beta = \min(\beta, 7) = \min(8, 7) = 7$.
   - Check whether $\alpha \geq \beta$: it is not, therefore no pruning is done.

   The left MIN-node is fully evaluated with value 7.
5. **Backtrack to the root**, where the value of the middle-left node, i.e. 7, is passed to the parent. At the root node, process the returned value 7:
   - Node value $= \max(\text{node value}, 7) = \max(-\infty, 7) = 7$.
   - $\alpha = \max(\alpha, 7) = \max(-\infty, 7) = 7$.
   - Check whether $\alpha \geq \beta$: it is not $(7 < \infty)$, therefore no pruning is done.
6. **Descend to the middle MIN-node**, passing down $\alpha = 7$ and $\beta = \infty$. At the middle node of the middle level, process the first terminal value 6:
   - Node value $= \min(\text{node value}, 6) = \min(\infty, 6) = 6$.
   - $\beta = \min(\beta, 6) = \min(\infty, 6) = 6$.
   - Check whether $\alpha \geq \beta$: we notice that $\alpha = 7$ is greater than $\beta = 6$, and therefore **pruning is done** — the remaining terminal children 5 and 4 are never evaluated.
7. **Backtrack to the root**, where the value of the center node of the middle layer, i.e. 6, is passed to the parent. At the root node, process the returned value 6:
   - Node value $= \max(\text{node value}, 6) = \max(7, 6) = 7$.
   - $\alpha = \max(\alpha, 6) = \max(7, 6) = 7$.
   - Check whether $\alpha \geq \beta$: it is not, therefore no pruning is done.
8. **Descend to the right MIN-node**, passing down $\alpha = 7$ and $\beta = \infty$. At the right node of the middle level, process the first terminal value 3:
   - Node value $= \min(\text{node value}, 3) = \min(\infty, 3) = 3$.
   - $\beta = \min(\beta, 3) = \min(\infty, 3) = 3$.
   - Check whether $\alpha \geq \beta$: we notice that $\alpha = 7$ is greater than $\beta = 3$, and therefore **pruning is done** — the remaining terminal children 2 and 1 are never evaluated.
9. **Backtrack to the root**, where the value of the right node of the middle layer, i.e. 3, is passed to the parent. At the root node, process the returned value 3:
   - Node value $= \max(\text{node value}, 3) = \max(7, 3) = 7$.
   - $\alpha = \max(\alpha, 3) = \max(7, 3) = 7$.
   - Check whether $\alpha \geq \beta$: it is not, therefore no pruning is done.

**Conclusion.** The best value for the root node is 7. The terminal nodes with values 5, 4, 2, and 1 were never computed. Hence the optimal value for the maximizer is 7 for this example — exactly the same answer as plain minimax, but with less work.

### Pruning Never Changes the Answer

Alpha-beta pruning returns **exactly the same minimax value** as plain minimax. It only avoids exploring branches that provably cannot affect the final decision. If your pruned search gives a different root value than minimax, the pruning was done incorrectly.

### 10.3.5 Alpha-Beta Pruning Code

Replace the `minimax()` function defined above with the following `minimax_abp()`, which carries $\alpha$ and $\beta$ down the recursion and breaks out of the loop as soon as $\alpha \geq \beta$:

```
# Perform minimax search with alpha-beta pruning
def minimax_abp(board, player, alpha=-float('inf'), beta=float('inf')):
    global count  # Refer to the global variable count in main
    count += 1    # Make 1 call of minimax_abp already
    result = check_game(board)  # Check if any player wins
    if result != 2:  # If the result is not 2, the game is finished,
        return result  # return 1 if the winner is AI,
                       # otherwise return -1 (i.e., human is the winner)
    if player == 1:
        value = -float('inf')
        for i in range(0, 9):  # Check all board locations
            if board[i] == 0:      # If the cell is empty
                board[i] = player  # Try to put the player's mark at \
   cell i+1
                # Perform minimax with alpha-beta pruning for the next \
   player
                # and update current value if needed
                value = max(value, minimax_abp(board, player*-1, \
   alpha, beta))
                alpha = max(alpha, value)  # Update alpha with max of \
   current alpha and value
                board[i] = 0  # Undo the trial
                if alpha >= beta:
                    break
    else:
        value = float('inf')
        for i in range(0, 9):  # Check all board locations
            if board[i] == 0:      # If the cell is empty
                board[i] = player  # Try to put the player's mark at \
   cell i+1
                # Perform minimax with alpha-beta pruning for the next \
   player
                # and update current value if needed
                value = min(value, minimax_abp(board, player*-1, \
   alpha, beta))
                beta = min(beta, value)  # Update beta with min of \
   current beta and value
                board[i] = 0  # Undo the trial
                if alpha >= beta:
                    break
    # Return the max score if the player is AI or
    # return the min score if the player is human
    return value
```

**Exercise: Alpha-Beta Pruning on Tic-Tac-Toe**

**Question:** Can you find the optimal move for the Tic-Tac-Toe example using alpha-beta pruning?
**Answer sketch:** Yes — apply `minimax_abp()` to the same game tree. The optimal move is still the **left-center** cell with value +1: pruning only skips branches that cannot change the decision, so the final value and the chosen move are identical to plain minimax, but fewer nodes are explored (compare the printed `Count` values).

### 10.3.6 Advantages of Alpha-Beta Pruning

- It plays a great role in **reducing the number of nodes** which are explored by minimax.
- When one chance or option is found at the minimum, it **stops assessing a move** (cutoff).
- This method also helps to **improve the search procedure** in an effective way.

### 10.3.7 Disadvantages of Alpha-Beta Pruning and Remedies

**Disadvantages:**

- Alpha-beta prunes a large part of the search space, but it **still needs to search all the way to terminal states**.
- Note that for some games, the moves must be made in a **reasonable amount of time**.

**Approaches to Remedy the Problem**

- **Set a depth limit** — do not search all the way down; stop at a fixed depth.
- **Heuristic evaluation function** — an estimated desirability or utility of a position, used at the depth limit instead of the true utility. A good evaluation function should:
  - be **efficient** to compute;
  - **agree with the utility function on terminal states**;
  - **accurately reflect the chances of winning**.

### 10.3.8 Practice Problem

**Practice Problem: Minimax Values and Alpha-Beta Pruning on a Labeled Tree**

Consider a game tree filled with the values returned by the standard minimax algorithm, with edges labeled E-1, E-2, …, E-30.

(a) State the **best initial move** for the first player (i.e., E-1 or E-2).

(b) Apply **alpha-beta pruning** on the given tree and state the branches that need not be examined or considered by putting down the edge label(s) (e.g., E-1, E-2, E-3, …, E-30).

**Solution:**

(a) **E-1** — the subtree reached via E-1 has the larger minimax value, so the first player (MAX) should take edge E-1.

(b) The branches that need not be examined are: **E-18, E-22, E-26, E-28, and E-30**. Each of them lies below a node at which $\alpha \geq \beta$ is already satisfied once an earlier sibling subtree has been evaluated, so they are cut off by alpha-beta pruning.

# 11 AI Ethics

## 11.1 What is AI Ethics?

### 11.1.1 Introduction

**AI ethics** is a term that refers to the **ethical issues surrounding the use of Artificial Intelligence (AI) technology**.

- As the use of AI systems becomes more prevalent across the globe, **governments, industry groups and AI-focused executives** are grappling with how to ensure the technology is used ethically.
- AI ethics is about **technological change and its impact on individual lives**, but also about **transformations in society**.

### 11.1.2 Definition of AI Ethics

**Definition of AI Ethics (The Alan Turing Institute, UK)**

The UK's Alan Turing Institute defines **AI ethics** as a set of values, principles and techniques that employ widely accepted standards of 'right' and 'wrong' to guide the development and use of AI technologies.

In practice, this means ensuring that organizations using AI have the **right AI ethics policy and governance practices** to ensure the technology is used **for good** and does not **unintentionally harm people**.

### 11.1.3 Key Questions in the Field of AI Ethics

1. What are applications for AI systems ethical for a given organization?
2. How can companies ensure AI systems are built to operate in a **fair and unbiased** way?
3. What processes do companies need to ensure AI systems **continue to function ethically over time**?

### 11.1.4 Potential 'Harms' That AI Systems May Cause

- **Privacy invasion:** Invading people's right to privacy by processing data **without consent**, or handling it in a way that reveals personal information without an individual's consent.
- **Bias and unfairness:** Making **biased or unfair decisions** or recommendations about certain populations or demographics.
- **Lack of explainability:** Making decisions in a way that **can't be explained in plain language**, so it is unclear if their conclusions are fair and unbiased.
- **Unreliability:** Making **unreliable decisions** or delivering **poor quality outcomes** due to model implementation issues.
- **Lack of accountability:** Denying people their right to **accountability** for the decisions AI systems make about them.

**Five Categories of AI Harms**

Remember the five potential harms: (1) privacy invasion, (2) biased/unfair decisions, (3) unexplainable decisions, (4) unreliable decisions, (5) denied accountability. These map naturally onto the AI principles discussed later.

### 11.1.5 How the 'Harms' of AI May Impact the Real World

- **Centralized power structures** in tech giants.
- **Violence of data acquisition**, data labeling and cleaning.
- The use of AI tools to **harm marginalized groups**: e.g., pornographic content generation using **deepfakes**.
- **Unemployment**; making employees work harder and feel worthless.
- **Generation and dissemination of disinformation**.

### 11.1.6 Is AI Ethical?

**AI Itself is Neither Ethical Nor Unethical**

AI technology itself is **neither ethical nor unethical**. Instead, enterprises must establish **principles or frameworks** to ensure that they use AI systems ethically and responsibly and **guard against AI misuse**.

**Problems:**

- There is **non-consensus** about what ethical responsibilities enterprises have for different applications of AI technology.
- Different AI-focused executives can look at the **same use case** for AI and draw **different conclusions** about their moral responsibilities.

**"Is AI Ethical?" is the Wrong Framing**

Do not say "AI is ethical" or "AI is unethical". The technology is neutral; it is the principles, frameworks, and governance established by the enterprises using AI that determine whether it is applied ethically. Also note that there is no universal consensus on ethical responsibilities — reasonable people can disagree about the same use case.

### 11.1.7 AI Ethics Issues and Considerations

There are many **ethical dilemmas** associated with AI use. These range from:

- deciding **whose lives autonomous vehicles should prioritize saving** in a multi-person crash situation, to
- ensuring that **credit scoring AIs do not discriminate** against people unfairly based on factors such as gender.

## 11.2 AI Principles and Common Grounds

### 11.2.1 The Emergence of AI Principles

In the last few years, a number of institutions have published AI principles:

- **Principles for Algorithmic Transparency and Accountability** (ACM, 2017)
- **IEEE's General Principles of Ethical Autonomous and Intelligent Systems** (IEEE, 2017)
- **Five principles for cross-sector AI code** (UK House of Lords, 2018)
- **Ethics Guidelines for Trustworthy AI** (European Commission, 2019)
- **AI Ethics Principles** (Google, 2019, 2020, 2021)
  `https://ai.google/principles/`

### 11.2.2 The Seven European Union Principles

1. **Human agency and oversight:** AI systems should **empower human beings**, allowing them to make informed decisions.
2. **Technical robustness and safety:** AI systems need to be **resilient and secure**. They need to be safe, ensuring a **fallback plan** if something goes wrong.
3. **Privacy and data governance:** Besides ensuring **full respect for privacy and data protection**, adequate **data governance mechanisms** must also be ensured.
4. **Transparency:** The **data, system and AI business models** should be transparent.
5. **Diversity, non-discrimination and fairness: Unfair bias must be avoided**.
6. **Societal and environmental well-being:** AI systems should **benefit all human beings**.

7. **Accountability:** Mechanisms should be implemented to ensure **responsibility and accountability** for AI systems.

### 11.2.3 Common Grounds

There are many different lists of principles, but it seems that they can be **synthesized into five fundamental principles**:

**The Five Common Grounds of AI Ethics**

1. **Autonomy:** People should be able to make their own decisions, e.g., human-in-the-loop, privacy protection.
2. **Beneficence:** Society at large should **benefit**.
3. **Non-maleficence: Harmful consequences should be avoided**, e.g., systems should be robust.
4. **Justice: Diversity, non-discrimination and fairness**.
5. **Explicability: Transparency and explainability**.

### 11.2.4 The Problem with Principles

It is good to state principles. However, they also create problems since they are **very high-level**.

- **They can be interpreted in different ways.** For example, autonomous killer drones can be considered beneficial for the soldiers, or morally impermissible, because machines decide about life and death.
- **They can conflict with each other in concrete cases.** For example, privacy and data collection for health science can conflict.
- **They can come into conflict in practice.** For example, an excellent diagnosis might still be preferable even if its reasoning cannot be explained (beneficence vs. explicability).

**High-Level Principles Are Ambiguous**

The same principle can justify opposite conclusions (killer drones: beneficial to soldiers vs. morally impermissible), and principles can conflict with one another (privacy vs. health data collection; accuracy vs. explainability in medical diagnosis). Never treat principles as unambiguous decision rules.

### 11.2.5 Interpretive Labor

In The Utopia of Rules, **David Graeber** introduces the concept of **interpretive labor** — the differential between the energy put into explaining an idea and the energy needed to understand it.

- Everyone interprets a given action/idea differently.
- Often you need to **put work in to understand what people mean**. This can be literal or more figurative.
- The work it takes to do that is **interpretive labor**.

**Interpretive Labor (David Graeber)**

"…within relations of domination, it is generally the **subordinates** who are effectively relegated the work of understanding how the social relations in question really work. …It's those who do not have the power to hire and fire who are left with the work of figuring out what actually did go wrong so as to make sure it doesn't happen again."

### 11.2.6 Principles as Orientation Points, Not Checklists

It is nevertheless good to have such principles as **orientation points** and to evaluate solutions, but only having high-level principles is **NOT enough**.

- Ethical principles for AI are **not checklists or boxes to tick once and forget**.
- They are **codes of behavior** — for AI systems but, most importantly, **for us**.
- It is we who need to be **fair, nondiscriminatory, and accountable**; to ensure **privacy** for ourselves and others; and to aim at **social and environmental well-being**.

**Virginia Dignum's Reminder**

"The codes of ethics are for us; AI systems will follow." — Virginia Dignum. Ethics is primarily a human responsibility; the behavior of AI systems follows from the people who design, deploy, and govern them.

## 11.3 Areas of AI Ethics

The general public and business community are becoming increasingly aware of the ethical issues surrounding AI use. There are **three main areas** to ensure the AI models in production in their organizations function ethically:

1. **Data Ethics**
2. **AI Model Fairness**
3. **AI Model Monitoring and Maintenance**

### 11.3.1 1. Data Ethics

Ensuring AI models function in a way that is **fair, unbiased and in customers' best interests** starts with ensuring the **data** that feeds into them is **collected, governed and used ethically**.

- This means ensuring companies secure the **proper consent** from customers before using their data and handle it in a **secure way that respects their privacy**.
- This means taking **proactive steps to address data bias** in those datasets and ensure the **populations being analyzed are fairly represented** in the data.

### 11.3.2 2. AI Model Fairness

- Ensuring the data that feeds AI models is **relatively unbiased**.
- AI and ML ethics requires enterprises to ensure that those models are **built in a way that ensures they make their decisions or recommendations fairly**.

### 11.3.3 3. AI Model Monitoring and Maintenance

- Some machine learning models **adjust themselves** to improve their accuracy.
- Others may see their accuracy **change over time** due to changes in the data flowing into them, in a phenomenon known as **'AI model drift'**.
- That means enterprises must also ensure AI models are **effectively monitored and maintained** to continue functioning as intended over time.

**AI Model Drift**

**AI model drift** is the phenomenon where a model's accuracy changes (typically degrades) over time due to changes in the data flowing into it. This is why continuous monitoring and maintenance is an ethical requirement, not a one-time check.

## 11.4 AI Fairness

### 11.4.1 Overview

The topic of enforcing **fairness** has become important, in particular in AI and machine learning. Key questions:

- What is fairness in AI?
- Why care about fairness in AI and ML?
- What kind of unfairness could there be?
- What causes unfairness?

### 11.4.2 Fairness in AI

**What is Fairness in AI?**

- Developing systems that are **equitable** and avoid **perpetuating bias or discrimination** against any individual or group.
- Considering the **diverse needs and circumstances of all stakeholders** impacted by AI use.
- Fairness extends **beyond a technical concept** and embodies **broader social standards** related to equity.

### 11.4.3 Why Care?

Many things become automated by machines:

- **Employers** select candidates by using ML systems.
- **LinkedIn and XING** use ML systems to rank candidates.
- **Courts in the US** use ML systems to predict **recidivism**.
- **Banks** use credit rating systems, which use ML.
- **Amazon and Netflix** use recommendation systems.

If these systems act unfairly, **groups and individuals may suffer**.

### 11.4.4 Unfairness Example 1: Bias in Text-to-Image Models

**Midjourney Bias (Text-to-Image Models)**

**Midjourney** is a popular text-to-image system that was released in 2022.

- When prompted with "influential person", it generated most of — or even all — images of **older-looking white males**.
- In a similar vein, typing "someone who is intelligent" into Midjourney leads to four images of **eyeglass-wearing, elderly white men**. The last image is particularly reminiscent of **Albert Einstein**.

This shows how generative models can reflect and amplify **stereotypes** present in their training data.

### 11.4.5 Unfairness Example 2: COMPAS

**Machine Bias: The COMPAS Case**

**Correctional Offender Management Profiling for Alternative Sanctions (COMPAS)** is a case management and decision support tool developed and owned by **Northpointe (now Equivant)**, used by **U.S. courts** to assess the likelihood of a defendant becoming a **recidivist** (rearrest within 2 years).

- The algorithm's **false positives** (defendants predicted to re-offend but who actually did not) were **disproportionately black**, and the **false negatives** (defendants predicted not to re-offend but who actually re-offended) were **disproportionately white**. ⇒ **Bias against black defendants**.
- A famous example: **Bernard Parker** was rated high risk; **Dylan Fugett** was rated low risk (analysis by ProPublica, "Machine Bias": software used across the country to predict future criminals is biased against blacks).
- Another general critique of COMPAS is that since the algorithms it uses are **trade secrets**, they cannot be examined by the public and affected parties — which may be a **violation of due process** (**transparency issue**).

**Two Distinct Problems in COMPAS**

COMPAS illustrates two separate ethical failures: (1) **fairness** — asymmetric false positive/negative rates across racial groups; (2) **transparency** — trade-secret algorithms that cannot be publicly examined, potentially violating due process.

### 11.4.6 Possible Reasons for Unfairness

1. **Human Bias**
   - Data **reflects human decisions and biases**.
   - Example: Machine learning for **hiring decisions**. Data from previous hiring decisions **perpetuates existing biases**.
   - Could we reduce bias by measuring employee success? **Harder to measure**, and institutional biases can impact success.
2. **Negative Feedback Loops**
   - Data collected in a **biased fashion**.
   - **Negative feedback loop:** future observations **confirm predictions** and reduce further contradicting evidence.
   - Example: Allocation of **police attention** based on prevalence of crime.
3. **Sample Size Disparity**
   - Models for a **minority group may be less accurate** if less data is used.
   - Example: **Race representation in medical studies**.
4. **Unreliable Data**
   - Data from minority groups is **less reliable or less informative** ⇒ models may be **less accurate for minority groups** ⇒ **beneficial interventions may be less available** to minority groups.
   - Examples: Inaccurate **census** in predominantly minority neighborhoods; medical interventions with **limited diagnostic tools**.
5. **Proxies**
   - Even if **sensitive attributes** (e.g., gender or race) are not used by the model, there may be other **proxy features** that are **correlated** with sensitive attributes.
   - Example: In the case of race, other variables correlated with race — such as **postcode** — may be selected by the algorithm.
6. **Cultural Unawareness**
   - **Humans work in AI systems.** Choices are made by humans, and sometimes these choices can create biases.
   - Example: **Lack of diversity** in the AI developers and data science teams might negatively affect people who do not fit the group of AI developers.

**Removing Sensitive Attributes Does NOT Guarantee Fairness**

Simply dropping protected attributes like gender or race from the training data is insufficient: **proxy features** (e.g., postcode) correlated with the sensitive attribute can still leak bias into the model's decisions.

## 11.5 Moral Machines and Dilemmas

### 11.5.1 Can Machines Make Moral Decisions?

Philosophers usually consider machines **not capable of making moral decisions**. However, one can try to find **properties** such that machines could act morally. Machines need to have at least:

**Requirements for a Machine to be a Moral Agent**

1. **Beliefs about the world**
2. **Pro-attitudes** (intentions)
3. **Moral knowledge**
4. **The possibility to compute what consequences** one's own action can have

— in which case they can be considered as **moral agents**.

### 11.5.2 Moral Decision: Example

- **Self-driving cars** will come into situations where they have to **choose between bad alternatives** (e.g., killing the passenger or a pedestrian).
- How should such a car choose in such a situation?
- Note that because of its much **faster reactivity**, a car might be able to make decisions where a human cannot at all.
- Ask what **ordinary people** think a car should do in such moral dilemmas.
- **Moral Machine Website:** `https://www.moralmachine.net/`

**The Trolley-Style Dilemma is a Metaphor**

The self-driving car dilemma is really a **metaphor** used to highlight the **ethical challenges** that autonomous machines may encounter, rather than aiming at portraying a realistic situation.

### 11.5.3 Practice Problem

**Matching EU Principles with Common Grounds**

Match the European Union Principles with the given Common Grounds by completing the following table with numbers.

**Seven European Union Principles:**

(A) Human agency and oversight
(B) Technical robustness and safety
(C) Privacy and data governance
(D) Transparency
(E) Diversity, non-discrimination and fairness
(F) Societal and environmental well-being
(G) Accountability

**Common Grounds:**

(1) Autonomy
(2) Beneficence
(3) Non-maleficence
(4) Justice
(5) Explicability

**Answer:**

| EU Principle | Common Ground |
|---|---|
| A | 1 |
| B | 3 |
| C | 1 |
| D | 5 |
| E | 4 |
| F | 2 |
| G | 1 |

That is: Human agency and oversight → Autonomy; Technical robustness and safety → Non-maleficence; Privacy and data governance → Autonomy; Transparency → Explicability; Diversity, non-discrimination and fairness → Justice; Societal and environmental well-being → Beneficence; Accountability → Autonomy.

## Summary

- **AI ethics** concerns the ethical issues around AI use; the Alan Turing Institute defines it as values, principles and techniques employing standards of right and wrong to guide AI development and use.
- Potential harms: privacy invasion, biased decisions, unexplainable decisions, unreliable decisions, denied accountability; real-world impacts include centralized tech power, deepfake abuse, unemployment, and disinformation.
- AI itself is **neither ethical nor unethical** — enterprises must establish principles and frameworks, and there is **no consensus** on ethical responsibilities.
- Major published principles include ACM (2017), IEEE (2017), UK House of Lords (2018), EU Ethics Guidelines (2019), and Google (2019–2021).
- The **seven EU principles** (human agency and oversight; technical robustness and safety; privacy and data governance; transparency; diversity, non-discrimination and fairness; societal and environmental well-being; accountability) synthesize into **five common grounds**: autonomy, beneficence, non-maleficence, justice, explicability.
- High-level principles are ambiguous and can conflict; Graeber's **interpretive labor** explains asymmetric burdens of understanding. Principles are orientation points and codes of behavior for us, not checklists — "The codes of ethics are for us; AI systems will follow." (Dignum).
- Three operational areas of AI ethics: **data ethics** (consent, privacy, representation), **model fairness**, and **model monitoring and maintenance** (guarding against AI model drift).
- Fairness failures illustrated by **Midjourney** (stereotypical images) and **COMPAS** (racially asymmetric false positive/negative rates plus a trade-secret transparency problem).
- Six causes of unfairness: **human bias, negative feedback loops, sample size disparity, unreliable data, proxies, cultural unawareness**.
- Machines as moral agents require beliefs, pro-attitudes, moral knowledge, and the ability to compute consequences; the self-driving car dilemma (cf. Moral Machine) is a metaphor for the ethical challenges of autonomous systems.

# 12 Reinforcement Learning

## 12.1 Introduction to Reinforcement Learning

### 12.1.1 The Goal of Reinforcement Learning

The goal of **Reinforcement Learning (RL)** is to design an autonomous/intelligent agent that learns by **interacting with an environment**.

**The Standard RL Setting**

In the standard RL setting, the following loop repeats at every time step:
1. The agent **perceives a state** $s_t$ at every time step.
2. The agent **chooses an action** $a_t$.
3. The action is **applied to the environment**.
4. The environment returns a **reward** and a **new state** $s_{t+1}$.
5. The agent trains a **policy** to choose actions that maximize the sum of rewards.

### 12.1.2 Definitions of Reinforcement Learning

Two technically correct (but somewhat abstract) definitions from experts in the field:

- **NVIDIA:** "RL, a type of machine learning, in which agents take actions in an environment aimed at maximizing their cumulative rewards."
- **Gartner:** "RL is based on rewarding desired behaviors or punishing undesired ones. Instead of one input producing one output, the algorithm produces a variety of outputs and is trained to select the right one based on certain variables."

The above definitions are technically provided by experts in the field; however, for someone who is starting with RL, these definitions might feel a little bit difficult. A friendlier definition:

**Beginner-Friendly Definition of RL**

Through a series of **Trial and Error** methods, an agent keeps learning continuously in an interactive environment from its own actions and experiences. The only goal of it is to find a suitable action model which would increase the total cumulative reward of the agent. It learns via **interaction and feedback**.

### 12.1.3 Daily-Life Example: Training a Dog

Imagine training your dog to complete a task within an environment.

- First, the trainer **issues a command**, which the dog observes (observation); the dog then responds by **taking an action**.
- If the action is close to the desired behavior, the trainer will likely provide a **reward**, such as a food treat or a toy. Otherwise, no reward or a negative reward will be provided.
- At the beginning of training, the dog will likely take more random actions — like rolling over when the command given is "sit" — as it is trying to associate specific observations with actions and rewards.
- This **association**, or **mapping**, between observations and actions is called a **policy**.
- From the dog's perspective, the ideal case would be one in which it would respond correctly to every command, so that it gets as many treats as possible.
- So, the whole meaning of reinforcement learning training is to "tune" the dog's policy so that it learns the desired behaviors that will maximize some reward.

- After training is complete, the dog should be able to observe the owner and take the appropriate action — for example, sitting when commanded to "sit" — by using the internal policy it has developed.

**Policy**

A **policy** is the association (mapping) from observations to actions. Training in RL means tuning this policy so that the resulting behaviors maximize the cumulative reward.

**Example: Identifying the RL Components in Dog Training**

**Question:** List the following in reference to the dog training example: Agent, Environment, Observations, Actions, Rewards, Policy.

**Answer:**
- **Agent:** Your dog.
- **Environment:** Your home, backyard, or any other place where you teach and play with your dog.
- **Observations:** What the dog observes (e.g., the trainer's command).
- **Actions:** Sit, Roll, Stand, Walk, etc.
- **Rewards:** Food treat or a toy.
- **Policy:** Generate the correct actions from the observations.

**Example: Identifying the RL Components in Automated Parking**

**Question:** Consider the task of parking a vehicle using an automated driving system. List the following in reference to this problem: Agent, Environment, Observations, Actions, Rewards, Policy.

**Answer:**
- **Agent:** Vehicle computer.
- **Environment:** Parking area.
- **Observations:** Readings from sensors such as cameras, GPS, and lidar (light detection and ranging).
- **Actions:** Generate steering, braking, and acceleration commands.
- **Rewards:** Reach the parking point as soon as possible.
- **Policy:** Generate the correct actions from the observations.

## 12.2 Basic Concepts

### 12.2.1 Motivation: Why Naive Reward Sums Do Not Work

**Example: Academic Life — What Is Wrong with This Argument?**

An assistant professor gets paid, say, 160K per year. How much, in total, will the assistant professor earn in their life?

$$160 + 160 + 160 + 160 + 160 + \ldots = \text{Infinity}$$

**Question:** What's wrong with this argument?

**Answer:** The argument treats every future payment as equally valuable as money received today, and sums infinitely many of them. In reality, **a reward in the future is worth less than the same reward now**, so the future payments must be discounted — which makes the total finite.

### 12.2.2 Discounted Rewards and the Discount Factor

A reward (payment) in the future is not worth quite as much as a reward now, because of inflation. For example, being promised \$10,000 next year is worth only 90% as much as receiving \$10,000 right now.

**Discounted Sum of Future Rewards**

Discounting uses a parameter called the **discount factor** $\gamma$, with $0 \leq \gamma \leq 1$, and a power of it multiplies each reward. The **discounted sum of future rewards** using discount factor $\gamma$ is

$$\begin{aligned}&(\text{reward now}) + \gamma\,(\text{reward in 1 time step from now})\\ &\quad + \gamma^2\,(\text{reward in 2 time steps from now})\\ &\quad + \gamma^3\,(\text{reward in 3 time steps from now}) + \ldots\end{aligned}$$

People in economics and probabilistic decision-making do this all the time.

**Geometric Series Reminder**

For $0 \leq \gamma < 1$, the infinite geometric series converges:

$$1 + \gamma + \gamma^2 + \gamma^3 + \ldots = \frac{1}{1-\gamma}$$

This is exactly why discounting turns an infinite total reward into a finite number.

**Example: Discounted Sum of the Professor's Earnings**

**Question:** Assume a payment $n$ years in the future is worth only $(0.9)^n$ of a payment now. What is the assistant professor's future discounted sum of rewards (salary 160K per year)?

**Answer:**

$$\begin{aligned}&160 + 160 \times (0.9)^1 + 160 \times (0.9)^2 + 160 \times (0.9)^3 + \ldots\\ &= 160 \times \left(1 + 0.9 + (0.9)^2 + (0.9)^3 + \ldots\right)\\ &= 160 \times \left(\frac{1}{1-0.9}\right) = 1600\end{aligned}$$

So the discounted lifetime earning is 1600K = 1.6M — a finite number, even though the undiscounted sum diverges.

**Infinite Undiscounted Sums**

Never sum an infinite stream of equal rewards directly — the sum diverges to infinity and carries no useful information. Always apply a discount factor $\gamma < 1$ (or a finite horizon) so that the total becomes finite and comparable across policies.

### 12.2.3 Example: The Academic Life

Consider the following Markov system modelling an academic career, with five states:

| State | Meaning | Reward |
|---|---|---|
| $A$ | Assistant Professor | 160 |
| $B$ | Associate Professor | 480 |
| $F$ | Full Professor | 3200 |
| $S$ | On the Street | 80 |
| $D$ | Dead | 0 |

The transition probabilities are:

| From | To | Probability |
|---|---|---|
| $A$ | $A$ (self-loop) | 0.6 |
| $A$ | $B$ | 0.2 |
| $A$ | $S$ | 0.2 |
| $B$ | $B$ (self-loop) | 0.6 |
| $B$ | $F$ | 0.2 |
| $B$ | $S$ | 0.2 |
| $F$ | $F$ (self-loop) | 0.7 |
| $F$ | $D$ | 0.3 |
| $S$ | $S$ (self-loop) | 0.7 |
| $S$ | $D$ | 0.3 |
| $D$ | — | (no outgoing transitions) |

Define the following quantities:

- $V_A$ = expected discounted sum of future rewards starting in state $A$
- $V_B$ = expected discounted sum of future rewards starting in state $B$
- $V_F$ = expected discounted sum of future rewards starting in state $F$
- $V_S$ = expected discounted sum of future rewards starting in state $S$
- $V_D$ = expected discounted sum of future rewards starting in state $D$

**Question:** Assume discount factor $\gamma = 0.9$. How do we compute $V_A$, $V_B$, $V_F$, $V_S$, $V_D$?

**Hint: Expected Value Computation**

Suppose we roll a fair 6-sided die. The expected value of our die roll is

$$\left(\frac{1}{6}\right) \times 1 + \left(\frac{1}{6}\right) \times 2 + \left(\frac{1}{6}\right) \times 3 + \left(\frac{1}{6}\right) \times 4 + \left(\frac{1}{6}\right) \times 5 + \left(\frac{1}{6}\right) \times 6 = 3.5$$

The value of a state is computed the same way: a probability-weighted average over what can happen next, plus the immediate reward.

### 12.2.4 Sampling Episodes: Why Direct Enumeration Fails

Starting from state $A$, there are so many different possibilities — each episode (path through the system) occurs with a different probability. Each **sample episode** contributes its rewards weighted by the probability of the path taken so far, discounted by $\gamma^t$ at time step $t$.

**Example: Sample Episodes Starting from State $A$ ($\gamma = 0.9$)**

Sample episodes, all starting from $A$:

**Episode $A \to B \to F \to D$:**

$$160 + (0.2)(0.9)^1(480) + (0.2)(0.2)(0.9)^2(3200) + (0.2)(0.2)(0.3)(0.9)^3(0)$$
$$= 160 + 86.4 + 103.68 + 0 = 350.08$$

**Episode $A \to A \to S \to D$:**

$$160 + (0.6)(0.9)^1(160) + (0.6)(0.2)(0.9)^2(80) + (0.6)(0.2)(0.3)(0.9)^3(0)$$
$$= 160 + 86.4 + 7.776 + 0 = 254.176$$

**Episode $A \to B \to S \to D$:**

$$160 + (0.2)(0.9)^1(480) + (0.2)(0.2)(0.9)^2(80) + (0.2)(0.2)(0.3)(0.9)^3(0)$$
$$= 160 + 86.4 + 2.592 + 0 = 248.992$$

And there are infinitely many more episodes ($A \to A \to A \to \ldots$). It is very difficult to compute $V_A$ by enumerating episodes. $>.<$

### 12.2.5 Bootstrapping: Computing Values Step by Step

**Idea:** instead of enumerating infinite episodes, compute values for finite horizons and build up.

Let $V_A^1, V_B^1, V_F^1, V_S^1, V_D^1$ be the expected discounted sum of rewards over the next 1 time step from now. These are just the immediate rewards. Then let $V_A^2$ be the expected discounted sum of rewards over the next 2 time steps — it can be found from the $V^1$ values.

**Example: Computing $V^1$ and $V_A^2$ for the Academic Life ($\gamma = 0.9$)**

**Step 1 (horizon $k = 1$):** the 1-step values are exactly the immediate rewards:

$$V_A^1 = 160, \qquad V_B^1 = 480, \qquad V_F^1 = 3200, \qquad V_S^1 = 80, \qquad V_D^1 = 0$$

**Step 2 (horizon $k = 2$):** use the transition probabilities out of $A$ to average the $V^1$ values:

$$\begin{aligned} V_A^2 &= 160 + 0.9 \times \left(P_{AA}V_A^1 + P_{AB}V_B^1 + P_{AF}V_F^1 + P_{AS}V_S^1 + P_{AD}V_D^1\right) \\ &= 160 + 0.9 \times (0.6(160) + 0.2(480) + 0(3200) + 0.2(80) + 0(0)) \\ &= 160 + 0.9 \times (96 + 96 + 0 + 16 + 0) = 160 + 0.9 \times 208 = 347.2 \end{aligned}$$

**Exercise:** Do you know how to compute $V_B^2$, $V_F^2$, $V_S^2$, $V_D^2$ the same way? (Apply each state's own row of transition probabilities.)

This bootstrapping idea — computing $k$-step values from $(k-1)$-step values — is exactly **value iteration**, formalized below.

### 12.2.6 The Markov Property

**Markov Property**

A state $S_t$ is **Markov** if and only if

$$P(S_{t+1} \mid S_t) = P(S_{t+1} \mid S_1, \ldots, S_t)$$

Interpretation:

- The future is independent of the past given the present.
- The present state captures **all relevant information** from the history.
- Once the present state is known, the history may be **thrown away**.

## 12.3 Problem Formulation

### 12.3.1 A Markov System with Rewards

A **Markov system** (with rewards) consists of the following:

1. A set of $N$ **states** $\{s_1, s_2, \ldots, s_N\}$.
2. A **transition probability matrix** (i.e., a 2D array showing the probability of going

from one state to another state):

$$T = \begin{bmatrix} T_{11} & T_{12} & \cdots & T_{1N} \\ T_{21} & T_{22} & \cdots & T_{2N} \\ \vdots & \vdots & \ddots & \vdots \\ T_{N1} & T_{N2} & \cdots & T_{NN} \end{bmatrix} \quad \text{(rows: From; columns: To)}$$

where $T_{ij} = P(\text{next state } s_{t+1} = s_j \mid \text{this state } s_t = s_i)$.

**Note:** each row of the matrix sums to 1.

3. Each state has a **reward** $\{r_1, r_2, \ldots, r_N\}$.
4. There is a **discount factor** $\gamma$, where $0 < \gamma < 1$. All future rewards are discounted by $\gamma$.

**Example: The Academic Life as a Markov System**

**Question:** What are the states, transition probability matrix, rewards, and discount factor for the academic life problem?

**Answer:**

- **States:** $\{A, B, F, S, D\}$
- **Transition probability matrix** (rows/columns in the order $A, B, F, S, D$):

$$T = \begin{array}{c} \\ A \\ B \\ F \\ S \\ D \end{array} \begin{array}{c} \begin{array}{ccccc} A & B & F & S & D \end{array} \\ \begin{pmatrix} 0.6 & 0.2 & 0 & 0.2 & 0 \\ 0 & 0.6 & 0.2 & 0.2 & 0 \\ 0 & 0 & 0.7 & 0 & 0.3 \\ 0 & 0 & 0 & 0.7 & 0.3 \\ 0 & 0 & 0 & 0 & 0 \end{pmatrix} \end{array}$$

- **Rewards:** $\{160, 480, 3200, 80, 0\}$
- **Discount factor:** 0.9

**Row Sums of the Transition Matrix**

Each row of a transition probability matrix must sum to 1 — except for a **dead-end (absorbing) state** like $D$ above, which has no outgoing transitions and hence a row of all zeros. Do not "fix" such a row by inventing transitions; it simply models the end of every episode.

### 12.3.2 The Value Function

**Solving a Markov system** means finding the value of every state. Write

$$V(s_i) = \text{expected discounted sum of future rewards starting in state } s_i.$$

The value satisfies the recursion:

$$\begin{aligned} V(s_i) &= r(s_i) + \gamma \cdot \text{Expected future rewards starting from next state} \\ &= r(s_i) + \gamma \cdot (T_{i1}V(s_1) + T_{i2}V(s_2) + \ldots + T_{iN}V(s_N)) \end{aligned}$$

Using vector notation, we have:

$$\begin{bmatrix} V(s_1) \\ V(s_2) \\ \vdots \\ V(s_N) \end{bmatrix} = \begin{bmatrix} r_1 \\ r_2 \\ \vdots \\ r_N \end{bmatrix} + \gamma \begin{bmatrix} T_{11} & T_{12} & \cdots & T_{1N} \\ T_{21} & T_{22} & \cdots & T_{2N} \\ \vdots & \vdots & \ddots & \vdots \\ T_{N1} & T_{N2} & \cdots & T_{NN} \end{bmatrix} \begin{bmatrix} V(s_1) \\ V(s_2) \\ \vdots \\ V(s_N) \end{bmatrix}$$

This is the **Bellman equation** for a Markov reward system.

### 12.3.3 Solving the System of Linear Equations

The equation above is a linear equation, which can be solved directly:

$$\begin{aligned} V &= R + \gamma T V \\ (I - \gamma T)\, V &= R \\ V &= (I - \gamma T)^{-1} R \end{aligned}$$

where $I$ is the $N \times N$ identity matrix.

- **The good thing** about directly solving the above equation is that you get an exact number.
- **The bad thing** is that it is slow if you have a large number of states, i.e., $N$ is big (matrix inversion is expensive).

There are many **iterative methods** for solving the equation, e.g.,

1. **Dynamic programming** (we will do Value Iteration),
2. **Monte-Carlo evaluation**,
3. **Temporal-Difference learning**.

### 12.3.4 Value Iteration

Define the finite-horizon values:

- $V_i^1(s)$ = expected discounted sum of rewards over the next 1 time step from now
- $V_i^2(s)$ = expected discounted sum of rewards over the next 2 time steps from now
- $V_i^3(s)$ = expected discounted sum of rewards over the next 3 time steps from now
- $\cdots$
- $V_i^k(s)$ = expected discounted sum of rewards over the next $k$ time steps from now

**Value Iteration Recurrence (No Actions)**

The formulas to compute all of them:

$$\begin{aligned} V^1(s_i) &= r(s_i) \\ V^2(s_i) &= r(s_i) + \gamma \left( T_{i1} V^1(s_1) + T_{i2} V^1(s_2) + \ldots + T_{iN} V^1(s_N) \right) \\ V^3(s_i) &= r(s_i) + \gamma \left( T_{i1} V^2(s_1) + T_{i2} V^2(s_2) + \ldots + T_{iN} V^2(s_N) \right) \\ &\vdots \\ V^k(s_i) &= r(s_i) + \gamma \left( T_{i1} V^{k-1}(s_1) + T_{i2} V^{k-1}(s_2) + \ldots + T_{iN} V^{k-1}(s_N) \right) \end{aligned}$$

As $k \to \infty$, $V^k$ converges to the true value $V$.

### 12.3.5 Worked Example: The Weather System

**Example: Value Iteration for the Weather System ($\gamma = 0.5$)**

Consider a weather system with three states — $S$ (Sun, reward 4), $W$ (Wind, reward 0), $H$ (Hail, reward $-8$) — and transition matrix (rows/columns in the order $S, W, H$):

$$T = \begin{array}{c} \\ S \\ W \\ H \end{array} \begin{array}{c} \begin{array}{ccc} S & W & H \end{array} \\ \begin{pmatrix} 0.5 & 0.5 & 0 \\ 0.5 & 0 & 0.5 \\ 0 & 0.5 & 0.5 \end{pmatrix} \end{array}$$

i.e., from Sun we go to Sun or Wind with probability 0.5 each; from Wind to Sun or Hail; from Hail to Wind or stay in Hail.

**Iteration** $k = 1$ (immediate rewards):

$$V^1(S) = r(S) = 4, \qquad V^1(W) = r(W) = 0, \qquad V^1(H) = r(H) = -8$$

**Iteration** $k = 2$**:**

$$\begin{aligned} V^2(S) &= r(S) + \gamma \left(T_{SS}V^1(S) + T_{SW}V^1(W) + T_{SH}V^1(H)\right) \\ &= 4 + 0.5\,(0.5 \times 4 + 0.5 \times 0 + 0 \times (-8)) = 5 \\ V^2(W) &= r(W) + \gamma \left(T_{WS}V^1(S) + T_{WW}V^1(W) + T_{WH}V^1(H)\right) \\ &= 0 + 0.5\,(0.5 \times 4 + 0 \times 0 + 0.5 \times (-8)) = -1 \\ V^2(H) &= r(H) + \gamma \left(T_{HS}V^1(S) + T_{HW}V^1(W) + T_{HH}V^1(H)\right) \\ &= -8 + 0.5\,(0 \times 4 + 0.5 \times 0 + 0.5 \times (-8)) = -10 \end{aligned}$$

**Iteration** $k = 3$**:**

$$\begin{aligned} V^3(S) &= 4 + 0.5\,(0.5 \times 5 + 0.5 \times (-1) + 0 \times (-10)) = 5 \\ V^3(W) &= 0 + 0.5\,(0.5 \times 5 + 0 \times (-1) + 0.5 \times (-10)) = -1.25 \\ V^3(H) &= -8 + 0.5\,(0 \times 5 + 0.5 \times (-1) + 0.5 \times (-10)) = -10.75 \end{aligned}$$

**Iteration** $k = 4$**:**

$$\begin{aligned} V^4(S) &= 4 + 0.5\,(0.5 \times 5 + 0.5 \times (-1.25) + 0 \times (-10.75)) = 4.9375 \\ V^4(W) &= 0 + 0.5\,(0.5 \times 5 + 0 \times (-1.25) + 0.5 \times (-10.75)) = -1.4375 \\ V^4(H) &= -8 + 0.5\,(0 \times 5 + 0.5 \times (-1.25) + 0.5 \times (-10.75)) = -11 \end{aligned}$$

**Iteration** $k = 5$**:**

$$\begin{aligned} V^5(S) &= 4 + 0.5\,(0.5 \times 4.9375 + 0.5 \times (-1.4375) + 0 \times (-11)) = 4.875 \\ V^5(W) &= 0 + 0.5\,(0.5 \times 4.9375 + 0 \times (-1.4375) + 0.5 \times (-11)) = -1.515625 \\ V^5(H) &= -8 + 0.5\,(0 \times 4.9375 + 0.5 \times (-1.4375) + 0.5 \times (-11)) = -11.109375 \end{aligned}$$

**Summary of iterations:**

| $k$ | $V_k(S)$ | $V_k(W)$ | $V_k(H)$ |
|---|---|---|---|
| 1 | 4 | 0 | -8 |
| 2 | 5 | -1 | -10 |
| 3 | 5 | -1.25 | -10.75 |
| 4 | 4.9375 | -1.4375 | -11 |
| 5 | 4.875 | -1.515625 | -11.109375 |

Observe that successive values change less and less — the iteration is converging.

### 12.3.6 Value Iteration: Algorithm and Stopping Criterion

The value iteration procedure for solving the system of linear equations:

1. Compute $V^1(s_i)$ for each $i$ in range $[1, N]$.
2. Compute $V^2(s_i)$ for each $i$ in range $[1, N]$.
3. Compute $V^3(s_i)$ for each $i$ in range $[1, N]$.

   ...
4. Compute $V^k(s_i)$ for each $i$ in range $[1, N]$.

**Stopping Criterion**

**When to stop?** When the maximum absolute difference between two successive

expected discounted sums of rewards ($V^k$ and $V^{k-1}$) is less than a threshold $\xi$, i.e.,

$$\max_i \left|V^k(s_i) - V^{k-1}(s_i)\right| < \xi$$

```
import numpy as np

# Weather example: states ordered as (S, W, H)
T = np.array([[0.5, 0.5, 0.0],
              [0.5, 0.0, 0.5],
              [0.0, 0.5, 0.5]])
R = np.array([4.0, 0.0, -8.0])
gamma = 0.5
xi = 1e-6                       # stopping threshold

V = R.copy()                    # V^1(s) = r(s)
while True:
    V_new = R + gamma * (T @ V)         # Bellman update
    if np.max(np.abs(V_new - V)) < xi: # stopping criterion
        V = V_new
        break
    V = V_new
print(V)                        # converged state values
```

## 12.4 Markov Decision Processes

### 12.4.1 Definition of a Markov Decision Process

A **Markov Decision Process (MDP)** is a Markov reward process with decisions. It is an environment in which **all states are Markov**.

**Markov Decision Process**

A Markov Decision Process is a tuple $\langle S, A, T, R, \gamma \rangle$:

- $S$: a finite set of **states** $\{s_1, s_2, \ldots, s_N\}$
- $A$: a finite set of **actions** $\{a_1, a_2, \ldots, a_M\}$
- $T$: a **transition probability matrix** per action:

$$T_{ij}^a = P(S_{t+1} = s_j \mid S_t = s_i, A_t = a)$$

- $R$: each state has a **reward** $\{r_1, r_2, \ldots, r_N\}$
- $\gamma$: a **discount factor**, $0 \leq \gamma \leq 1$

### 12.4.2 Value Iteration with Actions: The Bellman Optimality Equation

How to determine actions? As before, define $V_i^1(s), V_i^2(s), \ldots, V_i^k(s)$ as the expected discounted sums of rewards over the next $1, 2, \ldots, k$ time steps. Now, at every step the agent chooses the best action:

$$\begin{aligned}
V^1(s_i) &= r(s_i) \\
V^2(s_i) &= \max_a \left(r(s_i) + \gamma \left(T_{i1}^a V^1(s_1) + T_{i2}^a V^1(s_2) + \ldots + T_{iN}^a V^1(s_N)\right)\right) \\
V^3(s_i) &= \max_a \left(r(s_i) + \gamma \left(T_{i1}^a V^2(s_1) + T_{i2}^a V^2(s_2) + \ldots + T_{iN}^a V^2(s_N)\right)\right) \\
&\vdots \\
V^k(s_i) &= \max_a \left(r(s_i) + \gamma \left(T_{i1}^a V^{k-1}(s_1) + T_{i2}^a V^{k-1}(s_2) + \ldots + T_{iN}^a V^{k-1}(s_N)\right)\right)
\end{aligned}$$

**Bellman Optimality Equation**

$$V^k(s_i) = \max_a \left( r(s_i) + \gamma \sum_{j=1}^{N} T_{ij}^a \, V^{k-1}(s_j) \right)$$

The only difference from the no-action case is the $\max_a$: in each state we pick the action that yields the largest expected discounted sum of future rewards.

**Markov Reward System vs. MDP**

In a plain Markov system with rewards there are no decisions, so value iteration just averages over the next states using the (single) transition matrix $T$. In an MDP there is one transition matrix $T^a$ per action, and the update takes a **maximum over actions** — forgetting the $\max_a$ turns an MDP back into a Markov reward system and gives wrong values.

### 12.4.3 Policies

**Policy**

A **policy** $\pi$ is a mapping from states to actions: $\pi(s)$ tells the agent which action to take in state $s$.

To illustrate, consider an MDP with four states — $PU$ (Poor & Unknown, reward 0), $PF$ (Poor & Famous, reward 0), $RU$ (Rich & Unknown, reward 10), $RF$ (Rich & Famous, reward 10) — and two actions $A$ (Advertise) and $S$ (Save). Two example policies:

| Policy 1 | |
|---|---|
| **State** | **Action** |
| $PU$ | $S$ |
| $PF$ | $A$ |
| $RU$ | $S$ |
| $RF$ | $A$ |

| Policy 2 | |
|---|---|
| **State** | **Action** |
| $PU$ | $A$ |
| $PF$ | $A$ |
| $RU$ | $A$ |
| $RF$ | $A$ |

Different policies lead to different expected discounted sums of rewards — the goal is to find the best one.

### 12.4.4 Finding the Near-Optimal Policy

**Extracting the Near-Optimal Policy from Value Iteration**

1. Compute $V^k(s_i)$ for all $i$ using value iteration, until

$$\max_i \left| V^{k+1}(s_i) - V^k(s_i) \right| < \xi$$

2. Compute the (near-)optimal policy $\pi(s_i)$ in state $s_i$ as

$$\pi(s_i) = \arg\max_a \left( r(s_i) + \gamma \left( T_{i1}^a V^{k-1}(s_1) + T_{i2}^a V^{k-1}(s_2) + \ldots + T_{iN}^a V^{k-1}(s_N) \right) \right)$$

Once it is done, the near-optimal policy consists of taking the action that leads to the state(s) with maximum state value.

### 12.4.5 Worked Example: Poor/Rich, Unknown/Famous MDP

**Example: Full Value Iteration for the PU/PF/RU/RF MDP ($\gamma = 0.9$)**

**Setup.** States: $PU$ (Poor & Unknown), $PF$ (Poor & Famous), $RU$ (Rich & Unknown), $RF$ (Rich & Famous). Actions: $A$ (Advertise), $S$ (Save).
Reward vector (order $PU, PF, RU, RF$):

$$R = [0 \quad 0 \quad 10 \quad 10]$$

Transition matrices:

$$T^A = \begin{array}{c} \\ PU \\ PF \\ RU \\ RF \end{array} \begin{array}{c} \begin{array}{cccc} PU & PF & RU & RF \end{array} \\ \begin{pmatrix} 0.5 & 0.5 & 0 & 0 \\ 0 & 1 & 0 & 0 \\ 0.5 & 0.5 & 0 & 0 \\ 0 & 1 & 0 & 0 \end{pmatrix} \end{array} \qquad T^S = \begin{array}{c} \\ PU \\ PF \\ RU \\ RF \end{array} \begin{array}{c} \begin{array}{cccc} PU & PF & RU & RF \end{array} \\ \begin{pmatrix} 1 & 0 & 0 & 0 \\ 0.5 & 0 & 0 & 0.5 \\ 0.5 & 0 & 0.5 & 0 \\ 0 & 0 & 0.5 & 0.5 \end{pmatrix} \end{array}$$

**Iteration $k = 1$** (immediate rewards):

$$V^1(PU) = 0, \qquad V^1(PF) = 0, \qquad V^1(RU) = 10, \qquad V^1(RF) = 10$$

**Iteration $k = 2$:**

$$V^2(PU) = \max_{a \in \{A,S\}} \left( r(PU) + \gamma \textstyle\sum_{s'} T^a_{PU,s'} V^1(s') \right)$$
$$= \max\big(0 + 0.9(0.5{\cdot}0 + 0.5{\cdot}0 + 0{\cdot}10 + 0{\cdot}10),$$
$$0 + 0.9(1{\cdot}0 + 0{\cdot}0 + 0{\cdot}10 + 0{\cdot}10)\big) = \max(0, 0) = 0$$

(Tie: both $A$ and $S$ are optimal at $PU$ this round.)

$$V^2(PF) = \max\big(0 + 0.9(0{\cdot}0 + 1{\cdot}0 + 0{\cdot}10 + 0{\cdot}10),$$
$$0 + 0.9(0.5{\cdot}0 + 0{\cdot}0 + 0{\cdot}10 + 0.5{\cdot}10)\big) = \max(0, 4.5) = 4.5 \;\Rightarrow\; S$$

$$V^2(RU) = \max\big(10 + 0.9(0.5{\cdot}0 + 0.5{\cdot}0 + 0{\cdot}10 + 0{\cdot}10),$$
$$10 + 0.9(0.5{\cdot}0 + 0{\cdot}0 + 0.5{\cdot}10 + 0{\cdot}10)\big) = \max(10, 14.5) = 14.5 \;\Rightarrow\; S$$

$$V^2(RF) = \max\big(10 + 0.9(0{\cdot}0 + 1{\cdot}0 + 0{\cdot}10 + 0{\cdot}10),$$
$$10 + 0.9(0{\cdot}0 + 0{\cdot}0 + 0.5{\cdot}10 + 0.5{\cdot}10)\big) = \max(10, 19) = 19 \;\Rightarrow\; S$$

**Iteration $k = 3$:**

$$V^3(PU) = \max\big(0 + 0.9(0.5{\cdot}0 + 0.5{\cdot}4.5 + 0{\cdot}14.5 + 0{\cdot}19),$$
$$0 + 0.9(1{\cdot}0 + 0{\cdot}4.5 + 0{\cdot}14.5 + 0{\cdot}19)\big) = \max(2.025, 0) = 2.025 \;\Rightarrow\; A$$

$$V^3(PF) = \max\big(0 + 0.9(0{\cdot}0 + 1{\cdot}4.5 + 0{\cdot}14.5 + 0{\cdot}19),$$
$$0 + 0.9(0.5{\cdot}0 + 0{\cdot}4.5 + 0{\cdot}14.5 + 0.5{\cdot}19)\big)$$
$$= \max(4.05, 8.55) = 8.55 \;\Rightarrow\; S$$

$$V^3(RU) = \max\big(10 + 0.9(0.5{\cdot}0 + 0.5{\cdot}4.5 + 0{\cdot}14.5 + 0{\cdot}19),$$
$$10 + 0.9(0.5{\cdot}0 + 0{\cdot}4.5 + 0.5{\cdot}14.5 + 0{\cdot}19)\big)$$
$$= \max(12.025, 16.525) = 16.525 \;\Rightarrow\; S$$

$$V^3(RF) = \max\big(10 + 0.9(0{\cdot}0 + 1{\cdot}4.5 + 0{\cdot}14.5 + 0{\cdot}19),\\ 10 + 0.9(0{\cdot}0 + 0{\cdot}4.5 + 0.5{\cdot}14.5 + 0.5{\cdot}19)\big)\\ = \max(14.05, 25.075) = 25.075 \;\Rightarrow\; S$$

**Iteration $k = 4$:**

$$V^4(PU) = \max\big(0 + 0.9(0.5{\cdot}2.025 + 0.5{\cdot}8.55 + 0{\cdot}16.525 + 0{\cdot}25.075),\\ 0 + 0.9(1{\cdot}2.025 + 0{\cdot}8.55 + 0{\cdot}16.525 + 0{\cdot}25.075)\big)\\ = \max(4.75875, 1.8225) = 4.75875 \;\Rightarrow\; A$$

$$V^4(PF) = \max\big(0 + 0.9(0{\cdot}2.025 + 1{\cdot}8.55 + 0{\cdot}16.525 + 0{\cdot}25.075),\\ 0 + 0.9(0.5{\cdot}2.025 + 0{\cdot}8.55 + 0{\cdot}16.525 + 0.5{\cdot}25.075)\big)\\ = \max(7.695, 12.195) = 12.195 \;\Rightarrow\; S$$

$$V^4(RU) = \max\big(10 + 0.9(0.5{\cdot}2.025 + 0.5{\cdot}8.55 + 0{\cdot}16.525 + 0{\cdot}25.075),\\ 10 + 0.9(0.5{\cdot}2.025 + 0{\cdot}8.55 + 0.5{\cdot}16.525 + 0{\cdot}25.075)\big)\\ = \max(14.75875, 18.3475) = 18.3475 \;\Rightarrow\; S$$

$$V^4(RF) = \max\big(10 + 0.9(0{\cdot}2.025 + 1{\cdot}8.55 + 0{\cdot}16.525 + 0{\cdot}25.075),\\ 10 + 0.9(0{\cdot}2.025 + 0{\cdot}8.55 + 0.5{\cdot}16.525 + 0.5{\cdot}25.075)\big)\\ = \max(17.695, 28.72) = 28.72 \;\Rightarrow\; S$$

**Iterations $k = 5$ and $k = 6$:** applying the same update rule gives

$$V^5:\; V^5(PU) = 7.62919,\; V^5(PF) = 15.0654,\\ V^5(RU) = 20.3978,\; V^5(RF) = 31.1804,\\ V^6:\; V^6(PU) = 10.2126,\; V^6(PF) = 17.4643,\\ V^6(RU) = 22.6121,\; V^6(RF) = 33.2102$$

with policy $(A, S, S, S)$ in both rounds.

**Summary of values and policies:**

| $k$ | $V(PU)$ | $V(PF)$ | $V(RU)$ | $V(RF)$ | $\pi(PU)$ | $\pi(PF)$ | $\pi(RU)$ | $\pi(RF)$ |
|---|---|---|---|---|---|---|---|---|
| 1 | 0 | 0 | 10 | 10 | — | — | — | — |
| 2 | 0 | 4.5 | 14.5 | 19 | $A/S$ | $S$ | $S$ | $S$ |
| 3 | 2.025 | 8.55 | 16.525 | 25.075 | $A$ | $S$ | $S$ | $S$ |
| 4 | 4.75875 | 12.195 | 18.3475 | 28.72 | $A$ | $S$ | $S$ | $S$ |
| 5 | 7.62919 | 15.0654 | 20.3978 | 31.1804 | $A$ | $S$ | $S$ | $S$ |
| 6 | 10.2126 | 17.4643 | 22.6121 | 33.2102 | $A$ | $S$ | $S$ | $S$ |

The near-optimal policy stabilizes at $\pi(PU) = A$ (Advertise when Poor & Unknown, to become famous) and $\pi = S$ (Save) in all other states.

**Practice:** Can you calculate the remaining ones (e.g., verify $V^5$ and $V^6$, and continue until $\max_i |V^{k+1}(s_i) - V^k(s_i)| < \xi$)? :)

```
import numpy as np

# States: PU, PF, RU, RF; actions: 0 = A (advertise), 1 = S (save)
TA = np.array([[0.5, 0.5, 0.0, 0.0],
               [0.0, 1.0, 0.0, 0.0],
               [0.5, 0.5, 0.0, 0.0],
               [0.0, 1.0, 0.0, 0.0]])
TS = np.array([[1.0, 0.0, 0.0, 0.0],
               [0.5, 0.0, 0.0, 0.5],
```

```
                [0.5, 0.0, 0.5, 0.0],
                [0.0, 0.0, 0.5, 0.5]])
T = np.stack([TA, TS])          # T[a][i][j] = P(j | i, a)
R = np.array([0.0, 0.0, 10.0, 10.0])
gamma = 0.9
xi = 1e-6

V = R.copy()                    # V^1(s) = r(s)
while True:
    Q = R + gamma * (T @ V)              # Q[a][i]: value of action a \
   in state i
    V_new = Q.max(axis=0)                # Bellman optimality update
    if np.max(np.abs(V_new - V)) < xi:   # stopping criterion
        V = V_new
        break
    V = V_new

Q = R + gamma * (T @ V)
policy = Q.argmax(axis=0)       # 0 = A, 1 = S
print(V, policy)
```

### 12.4.6 Pros and Cons of Value Iteration

**Pros and Cons of Value Iteration**

**Pros:**

- Will converge towards optimal values.
- Good for a small set of states.

**Cons:**

- Value iteration has to touch every state in every iteration, so if we have a large number of total states, value iteration suffers.
- It is slow because we have to consider all actions at every state, and often there are many actions.